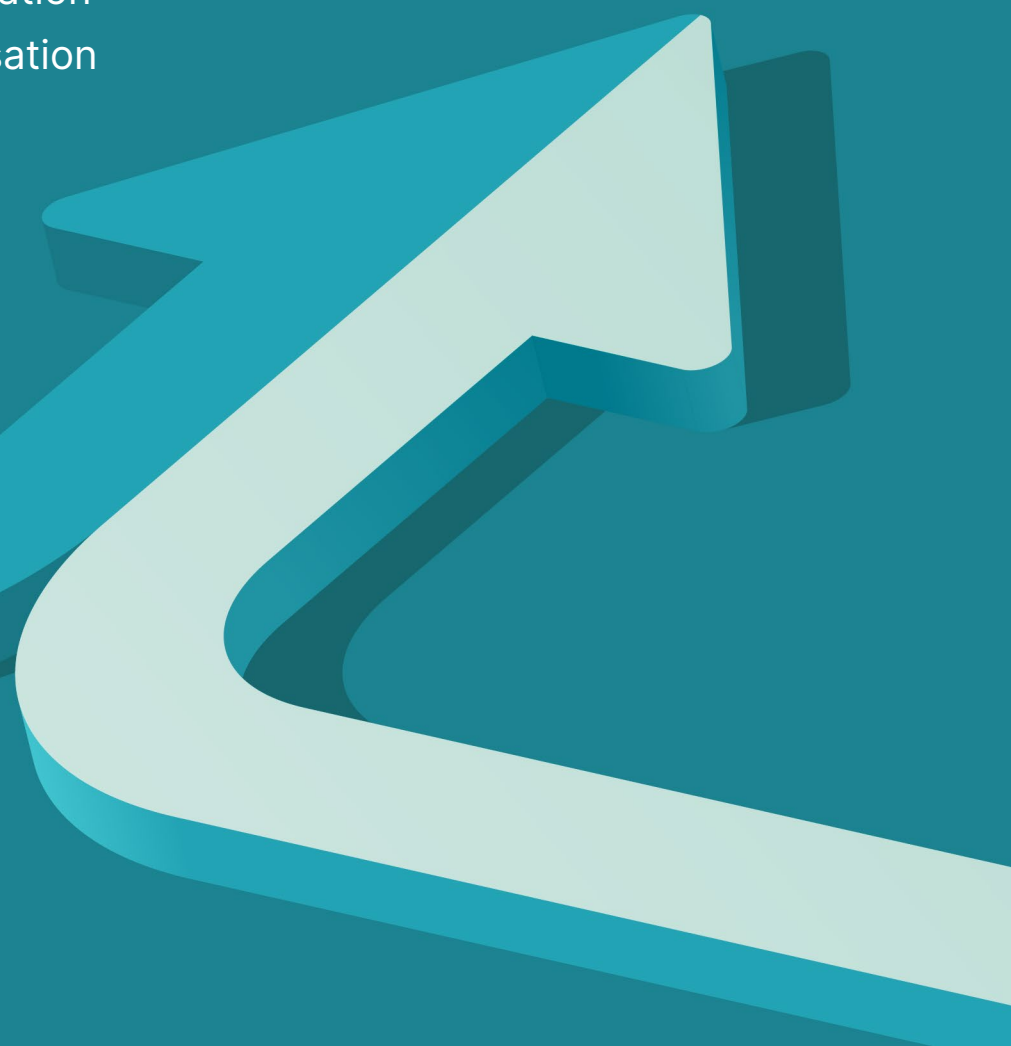


# 2026 Compensation Best Practices Report

Survey data and insights from HR and compensation professionals to support best-in-class compensation management in a **year of strategic alignment.**



# What Payscale survey participants have to say about the Compensation Best Practices Report

For over a decade, our Compensation Best Practice Report has been recognized as a leading benchmark in the compensation industry, guiding organizations on how to design, reward, and retain top talent. Don't just take our word for it: here's what HR and compensation leaders say about its impact.

"This compensation study is top shelf!"

"CBPR helps us understand the labor market and provides tools to face the challenges of talent attraction."

"This report has helped our team ensure we are keeping up with market trends and norms while also giving us insights into what's up and coming and how to stay ahead of the curve."

"I really appreciate how comprehensive and data-driven the CBPR is each year. The mix of quantitative data and qualitative stories gives the report both depth and real-world relevance."

"CBPR is a trusted source for reliable, real-world compensation data and insights."

"This report helps me stay ahead of emerging practices, benchmark effectively, and make informed decisions that balance competitiveness with internal equity. It's not just informative; it's a strategic tool that elevates the entire compensation conversation."

"I find this report very helpful with both hiring practices and wage negotiations."

Participate in next year's survey and receive the report when it is available.

The Compensation Best Practices Report is an annual report. The survey is fielded October-December, and the report is released in the first quarter after the New Year.

[Sign up here](#)

# Table of contents

|                                               |           |
|-----------------------------------------------|-----------|
| <b>Executive summary</b>                      | <b>4</b>  |
| <b>Highlights</b>                             | <b>5</b>  |
| <b>Spotlight on artificial intelligence</b>   | <b>6</b>  |
| Use of AI for compensation                    | 7         |
| Investment in AI for compensation             | 10        |
| Benefits of AI in compensation                | 11        |
| Risks of AI in compensation                   | 11        |
| Trust in AI for compensation                  | 12        |
| The AI job evolution                          | 14        |
| Rewarding AI skills                           | 16        |
| <b>Labor market</b>                           | <b>17</b> |
| Business performance                          | 18        |
| Fair pay perception                           | 21        |
| Recruiting                                    | 25        |
| Retention                                     | 26        |
| Responses to challenges                       | 29        |
| <b>Compensation preparedness</b>              | <b>32</b> |
| HR priorities                                 | 32        |
| Compensation priorities                       | 33        |
| Legal compliance                              | 34        |
| Compensation team                             | 34        |
| Compensation maturity                         | 37        |
| Executive support                             | 38        |
| Return on investment (ROI)                    | 40        |
| <b>Compensation software</b>                  | <b>41</b> |
| Impact of compensation technology on maturity | 42        |
| <b>Compensation planning</b>                  | <b>44</b> |
| Base pay increases                            | 44        |
| By size and industry                          | 45        |
| Factors                                       | 47        |
| Confidence in pay increases                   | 48        |
| Operations                                    | 48        |

|                                                                             |            |
|-----------------------------------------------------------------------------|------------|
| Performance                                                                 | 50         |
| Pay compression                                                             | 51         |
| <b>Salary data</b>                                                          | <b>53</b>  |
| <b>Job management</b>                                                       | <b>60</b>  |
| Job descriptions                                                            | 60         |
| Job architecture                                                            | 62         |
| <b>Benchmarking</b>                                                         | <b>63</b>  |
| Market pricing strategy                                                     | 65         |
| Aging data                                                                  | 66         |
| Confidence in market pricing                                                | 67         |
| <b>Compensation strategy</b>                                                | <b>68</b>  |
| Influences                                                                  | 70         |
| Pay structures                                                              | 71         |
| Pay progression                                                             | 71         |
| <b>Geographic pay</b>                                                       | <b>72</b>  |
| Workforce environment                                                       | 73         |
| Geographic differentials                                                    | 74         |
| On-site pay premiums                                                        | 75         |
| <b>Pay equity</b>                                                           | <b>76</b>  |
| <b>Pay transparency</b>                                                     | <b>81</b>  |
| Compliance                                                                  | 82         |
| Pay transparency spectrum                                                   | 86         |
| Communications                                                              | 87         |
| <b>Total rewards</b>                                                        | <b>91</b>  |
| Variable pay                                                                | 92         |
| Benefits                                                                    | 94         |
| Confidence in total rewards                                                 | 96         |
| <b>Methodology</b>                                                          | <b>97</b>  |
| <b>Make compensation your strategic lever to accelerate business growth</b> | <b>102</b> |

# Executive summary

The 2026 Compensation Best Practices Survey gathered 3,413 responses from October–December 2025 with a completion rate of 50%. A breakdown by company size, industry, and other firmographics are available in the [methodology](#) at the end of this report.

---

In 2026, compensation management is shaped by a slow-moving labor market and tighter financial discipline, requiring organizations to be deliberate in how they invest in pay. Voluntary turnover has dropped to 8%, and positions take a median of 30 days to fill, signaling reduced churn and less urgency to compete aggressively for talent. As a result, organizations are planning measured base pay increases of 3.5%, balancing market movements and employee expectations around inflation concerns with constrained budgets. Notably, 51% of organizations cite balancing pay expectations with financial limits as their top challenge, underscoring the central tension.

Despite these pressures, compensation is increasingly being recognized as critical to strategy. A strong majority of executive leaders (68%) view compensation as a strategic lever for business success, and 63% of organizations believe their compensation policies drive positive outcomes. At the same time, compensation teams are under strain, increasing the need for frictionless processes and better tools that can deliver compensation intelligence at scale and in real time.

Compensation software is emerging as a force multiplier. While 40% of organizations report faster and more efficient compensation decision-making through AI, confidence depends heavily on governance. This highlights a clear executive concern: speed and insight must be balanced with fairness, explainability, and risk management.

Confidence in the competitiveness of market pricing, pay increases, and total rewards is a defining characteristic of top performers, which is notably higher for Payscale customers. To support defensible pay decisions, organizations increasingly rely on multiple industry-relevant salary data sources. In addition, more organizations (62%) have established formal job architectures, and pay equity analysis remains a priority for 60% of organizations, reinforcing its dual role as both a compliance imperative and a critical driver of employee trust.

Overall, compensation management in 2026 is defined by strategic transformation: organizations are investing carefully, leveraging technology and data to do more with less, and positioning compensation not as a cost center, but as a disciplined, business-critical tool for performance, equity, and engagement. Once the track is laid, the goal is acceleration.

# 2026 highlights



→ Jump links

[Use of AI](#)

[Investment in AI](#)

[Benefits of AI](#)

[Risk of AI](#)

[Trust in AI](#)

[The AI job evolution](#)

[Rewarding AI skills](#)

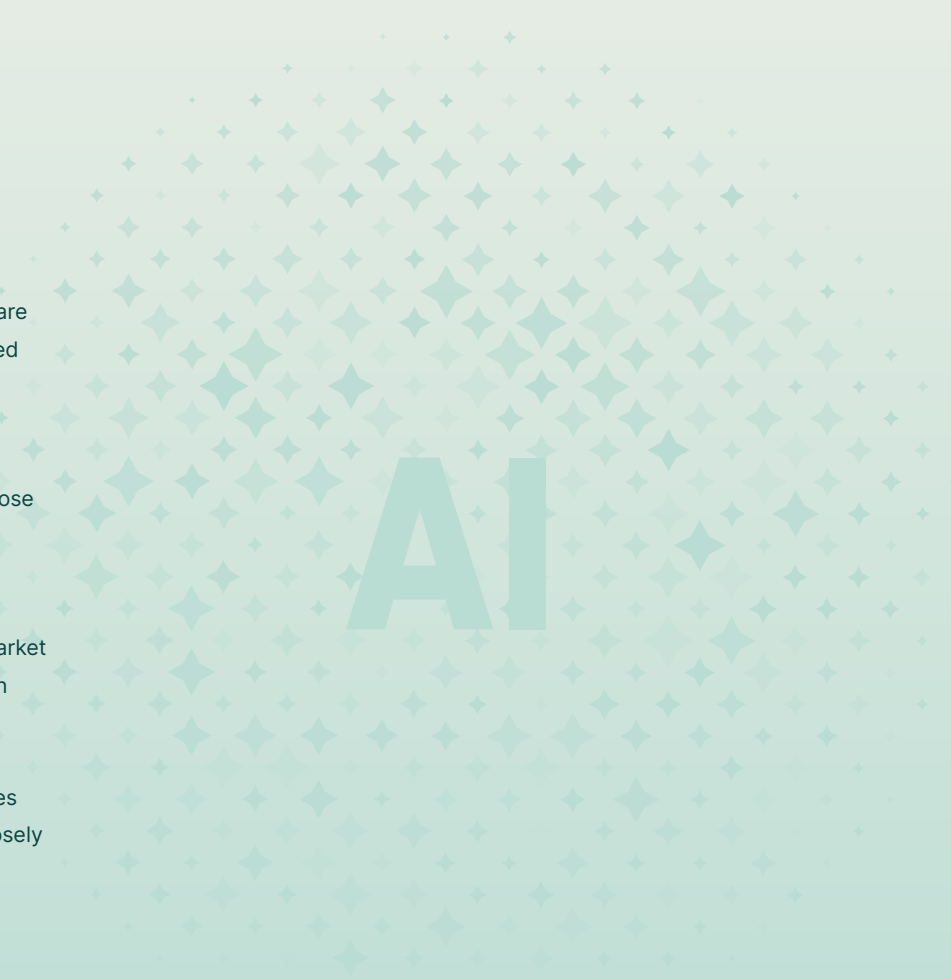
# Spotlight on artificial intelligence

Artificial intelligence is transforming the job market and reshaping how pay decisions are made at scale and in real time. But there are concerns that opaque algorithms or biased data could undermine fairness and employee trust.

Compensation decisions need to be built on trustworthy data with governance over processes to ensure that compensation is equitable and explainable to employees whose livelihoods are ultimately affected.

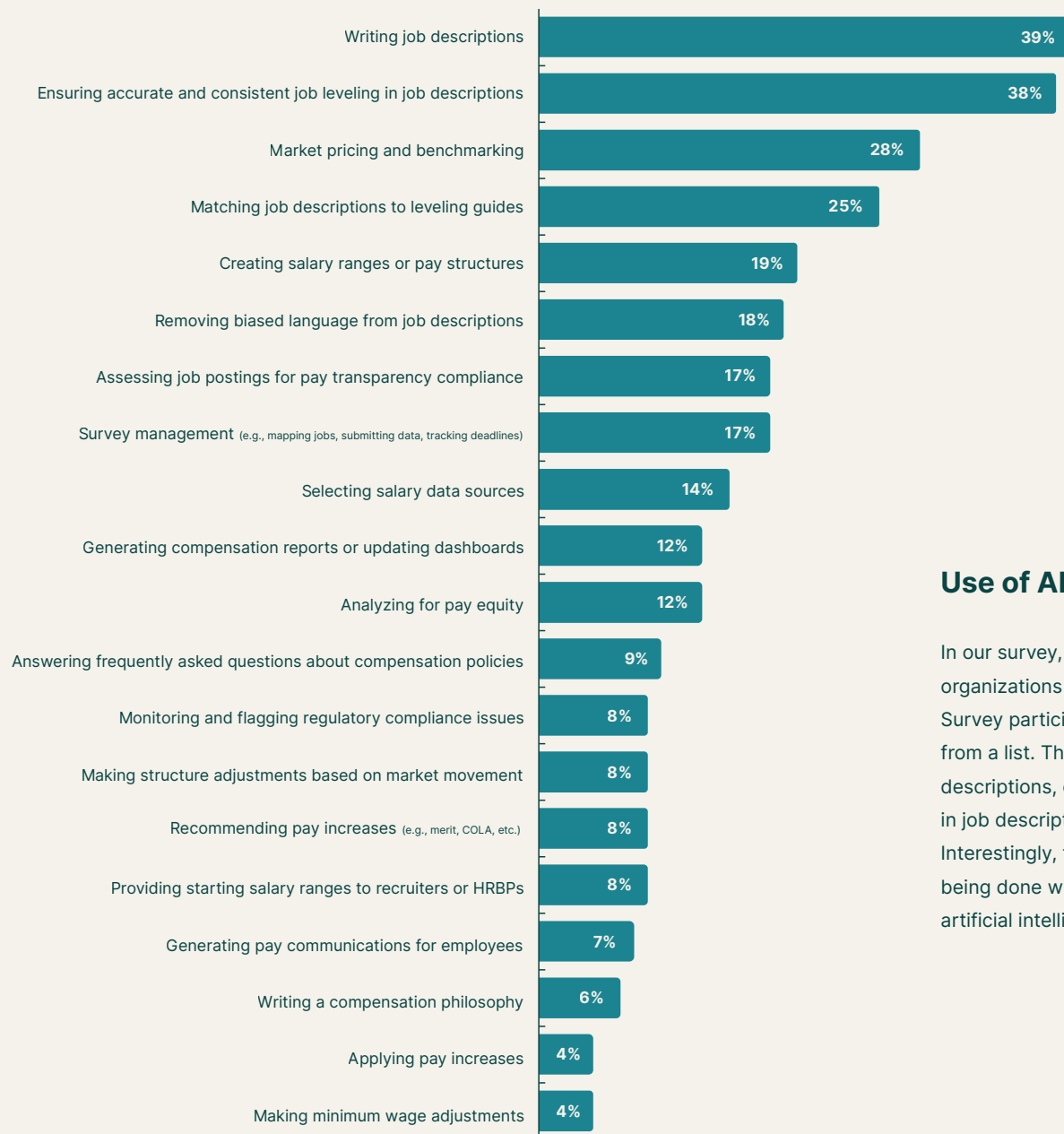
Properly employed, artificial intelligence can help organizations make faster, more informed decisions. AI can write job descriptions, identify pay equity gaps, improve market benchmarking, support skills-based pay, and automate time-consuming compensation processes like survey participation, pay increase recommendations, and reporting.

As jobs evolve and pay transparency and compliance requirements increase, AI enables compensation teams to manage complexity, improve accuracy, and align pay more closely with business and talent strategies.



# AI

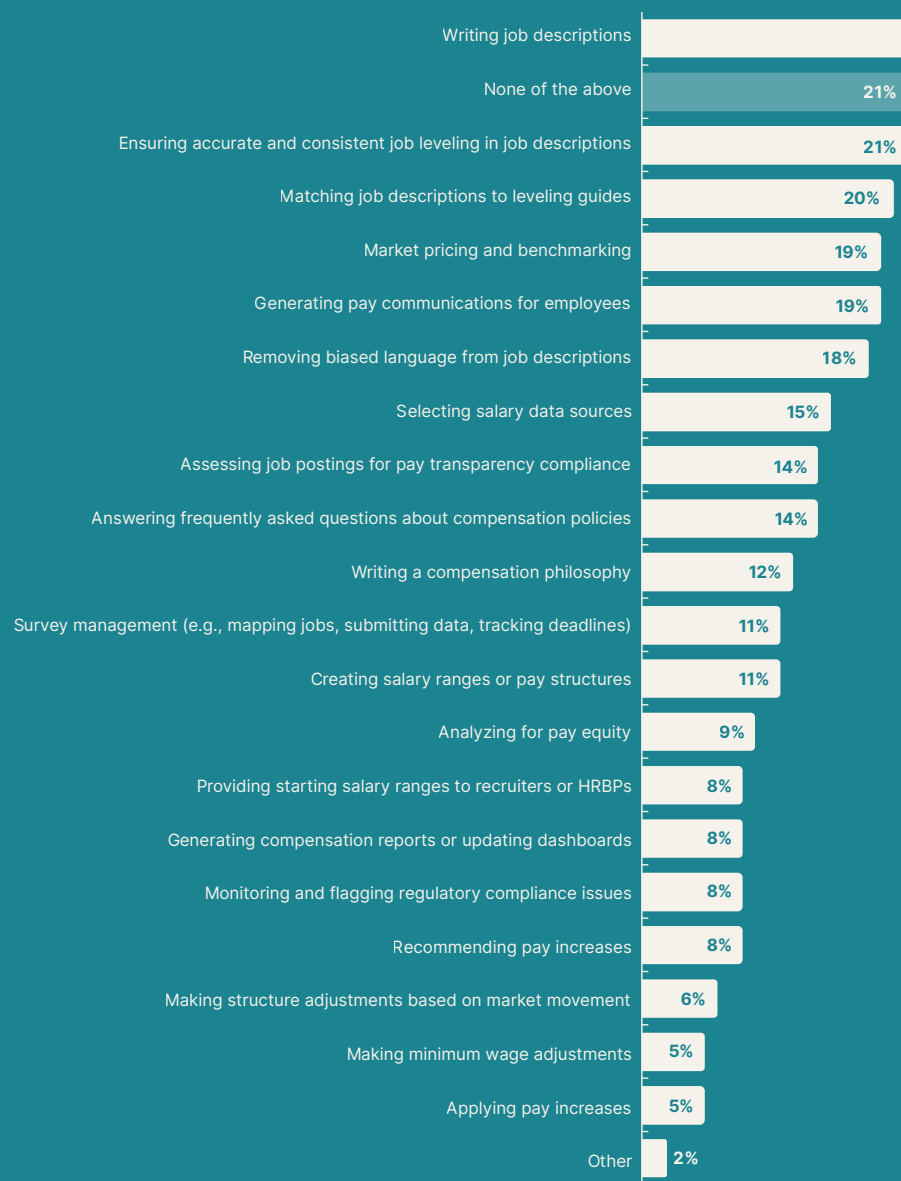
### What compensation activities would you most want to automate if you could? (Select top three)



### Use of AI for compensation

In our survey, we asked which compensation activities organizations would most want to automate if they could. Survey participants were asked to select three activities from a list. The top-ranked answer choices are writing job descriptions, ensuring accurate and consistent job leveling in job descriptions, and market pricing and benchmarking. Interestingly, these choices align with what is currently being done with generative AI, which is only one aspect of artificial intelligence.

### What have you personally used AI tools for in the last 6 months? (Select all that apply)



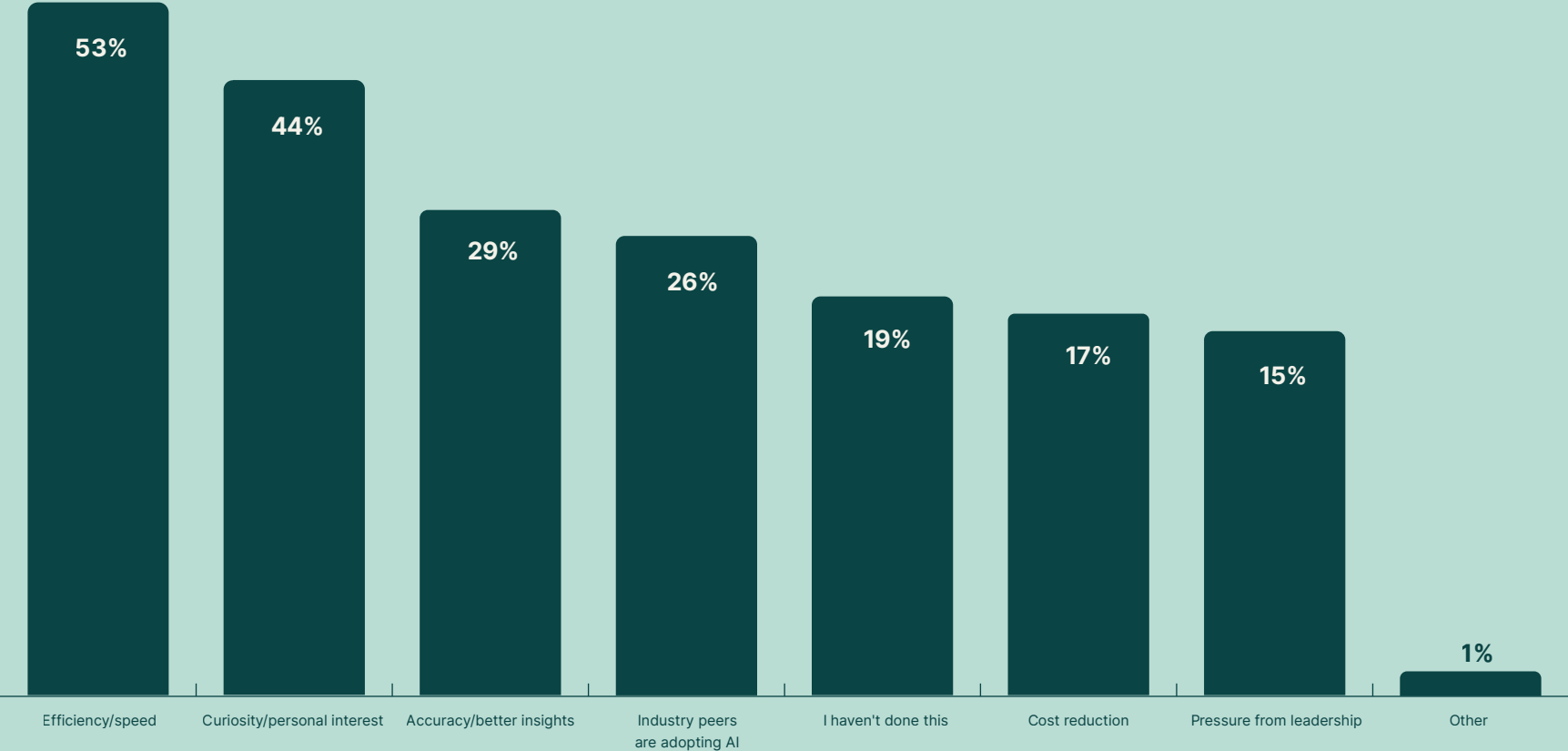
When it comes to tools our audience has actually used in the last 6 months, the top answers were using AI for writing job descriptions (46%), ensuring accurate job leveling in job descriptions (21%), and matching jobs to leveling guides (20%). However, we also saw about a fifth of organizations say they are using AI for market pricing and benchmarking (19%).



## Motivation to try AI tools

When we asked what motivated organizations to try AI-powered tools for compensation management and HR-related tasks, a majority (53%) said efficiency/speed, followed by curiosity/personal interest (44%). A distant third was accuracy/better insights (29%).

What motivated you (or your team) to try AI-powered tools for compensation management or HR-related tasks? (Select all that apply)

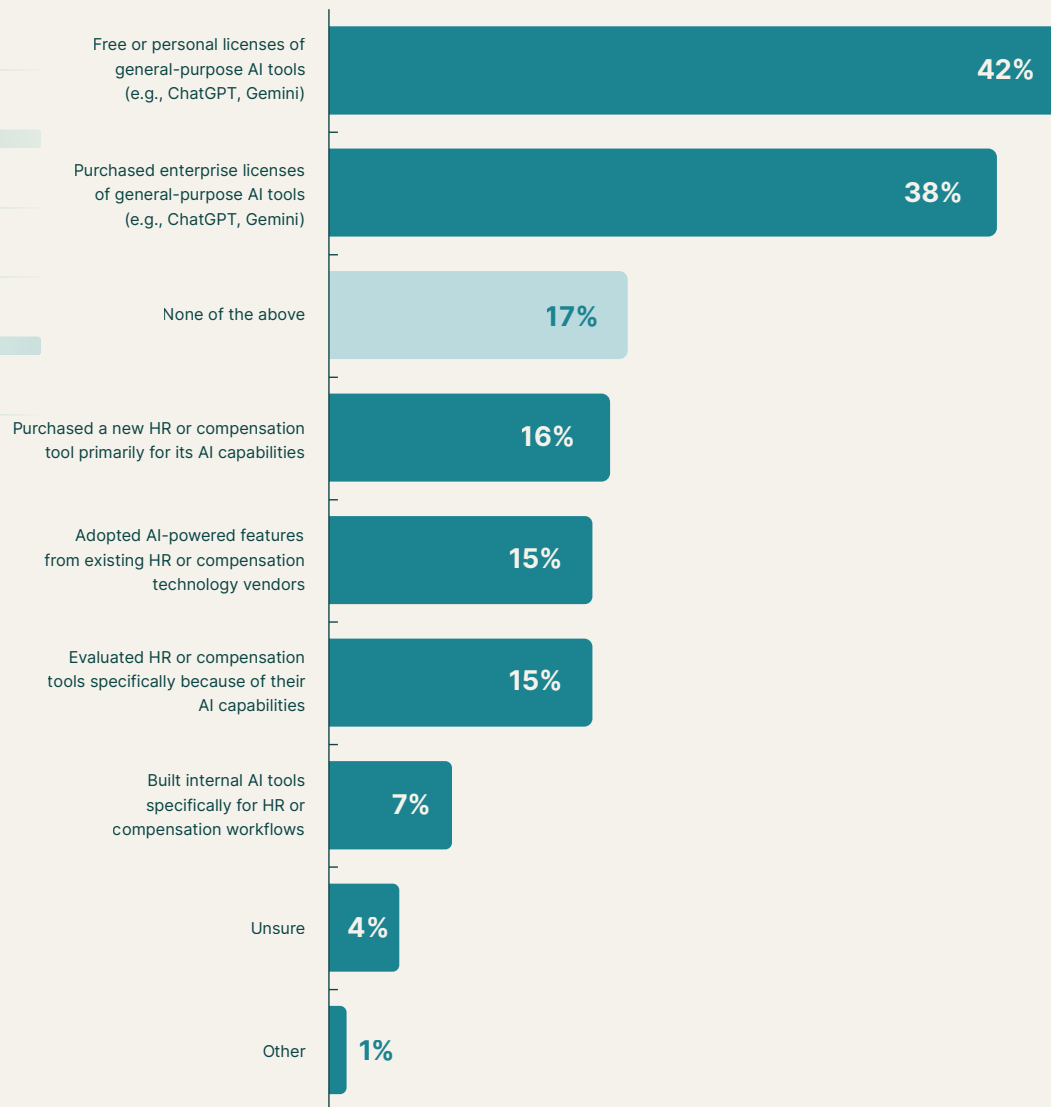




## Investment in AI for compensation

Casual use of AI tools for personal reasons is not the same as organizational investment in AI technology to support compensation-related tasks formally. In our survey, 42% of participants said they use free or personal licenses for general-purpose AI tools, and 38% said they have purchased enterprise licenses for general-purpose AI tools. However, only 16% have purchased a new HR or compensation tool primarily for its AI capabilities, and only 15% have adopted AI-powered features in existing tools or evaluated tools specifically for their AI abilities.

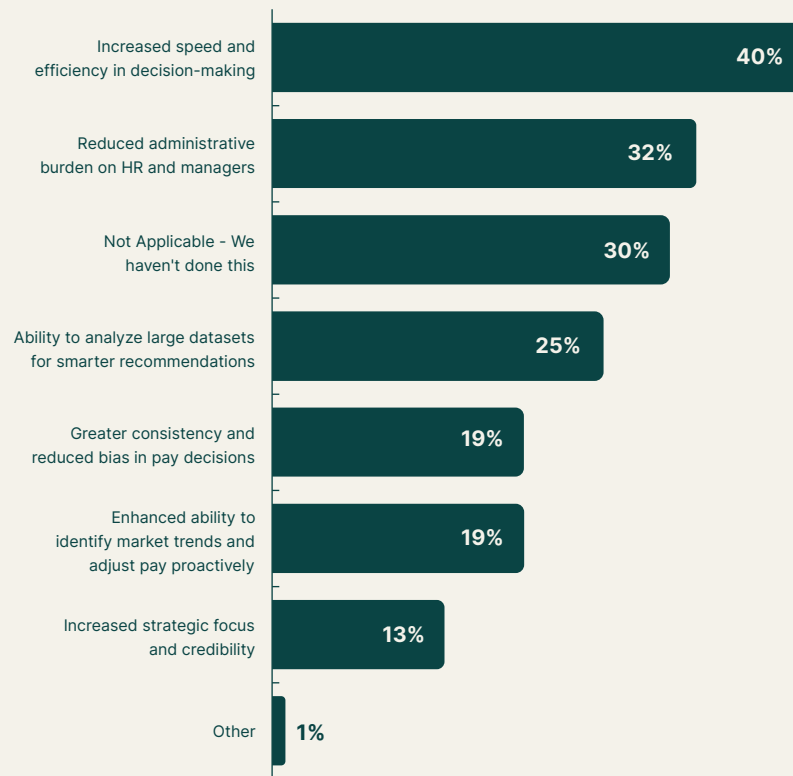
**In which of the following AI-related actions has your organization invested in to support compensation-related tasks this year?**  
(e.g. job descriptions, pricing a job) (Select all that apply)



## Benefits of AI in compensation

When it comes to using AI for compensation decisions, organizations cite increased speed and efficiency in decision-making as the leading benefit (40%). The second most cited benefit is reduced administrative burden on HR and managers (32%). Increased strategic focus and credibility ranked last.

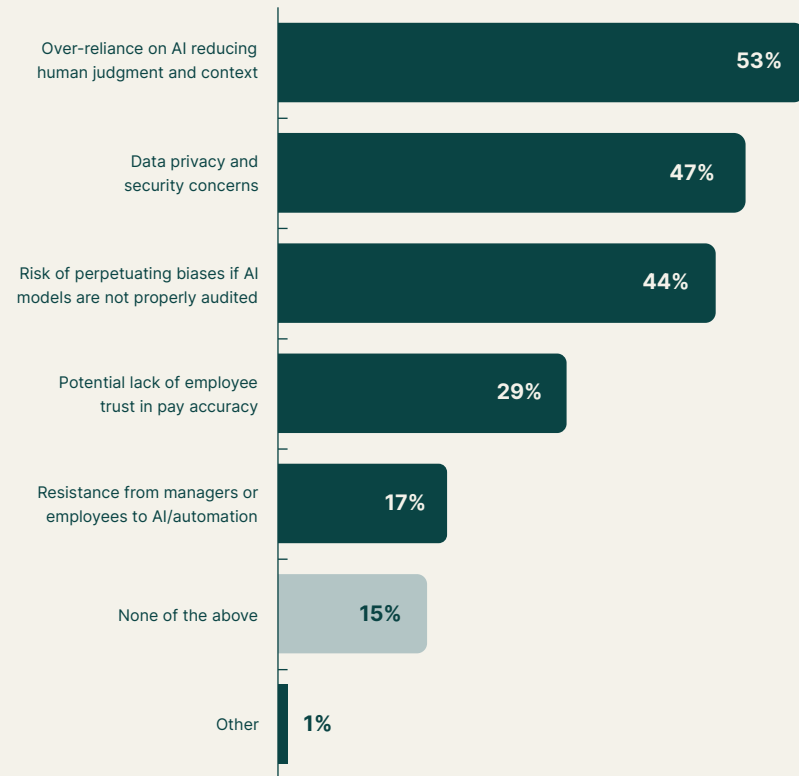
Which of the following benefits has your organization experienced from AI/automated compensation decisions? (Select all that apply)



## Risks of AI in compensation

While adoption of artificial intelligence is accelerating, there are risks and challenges associated with new technology. According to Payscale survey participants, for compensation decisions, the most concerning risk is over-reliance on AI reducing human judgment and context (53%), followed by data privacy and security concerns (47%) and risk of perpetuating bias (44%).

Which of the following risks or challenges do you associate with AI/automated compensation decisions? (Select all that apply)

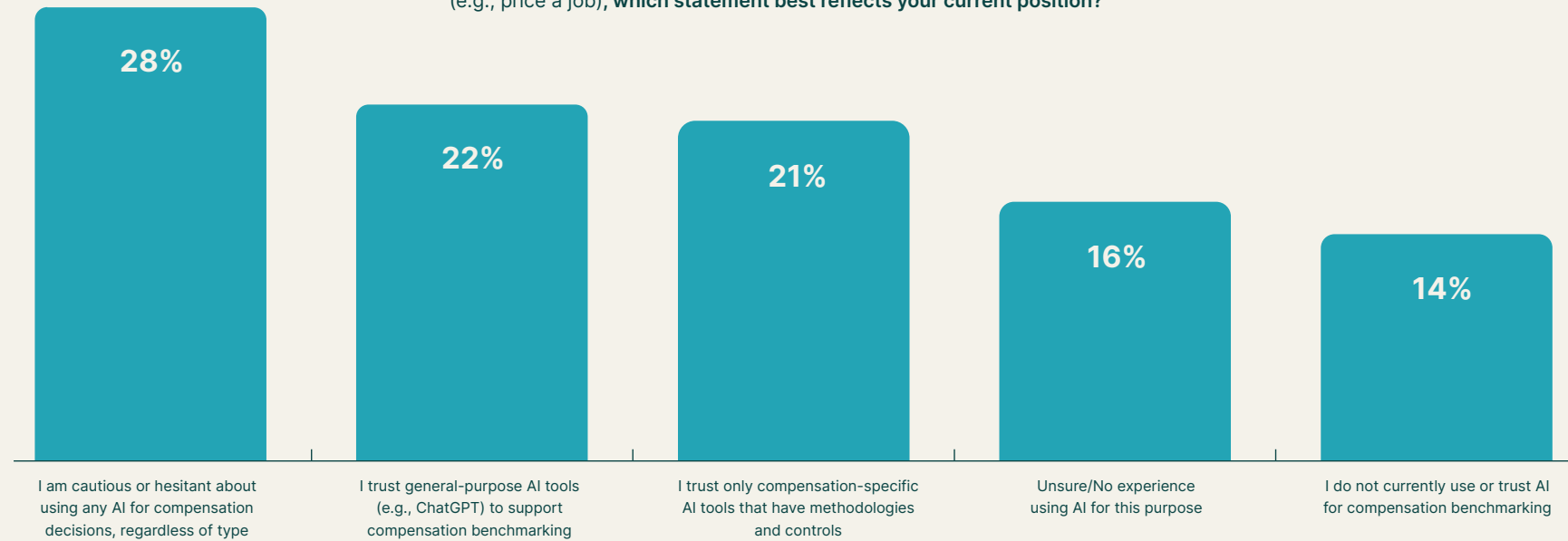


## Trust in AI for compensation

Trust in using artificial intelligence for compensation decisions must be earned. In 2026, opinion is split, with 28% of Payscale survey participants saying they are cautious or hesitant about using AI for any compensation decisions, 22% saying they trust general purpose AI tools to support compensation benchmarking, 21% saying they only trust compensation-specific AI tools that have methodologies and controls, and another 14% of respondents say they do not use or trust AI for compensation benchmarking at all. Overall, this suggests the market is guarded about the use of AI when the context is critical business functions rather than playful exploration for personal tasks.



**When it comes to trusting AI tools for compensation benchmarking  
(e.g., price a job), which statement best reflects your current position?**

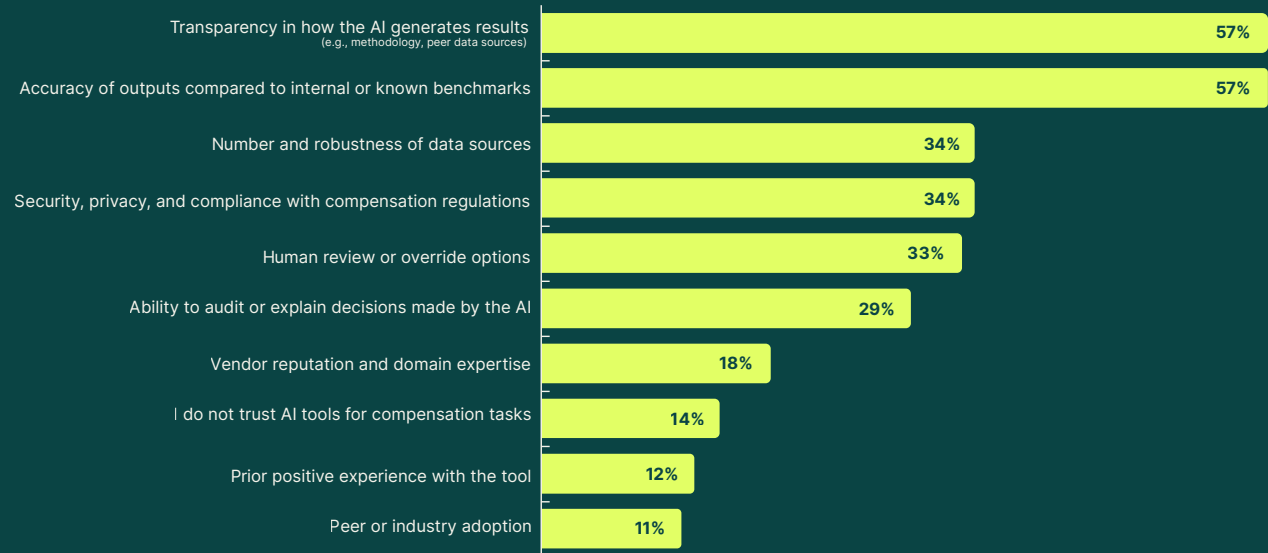


## Influences on trust

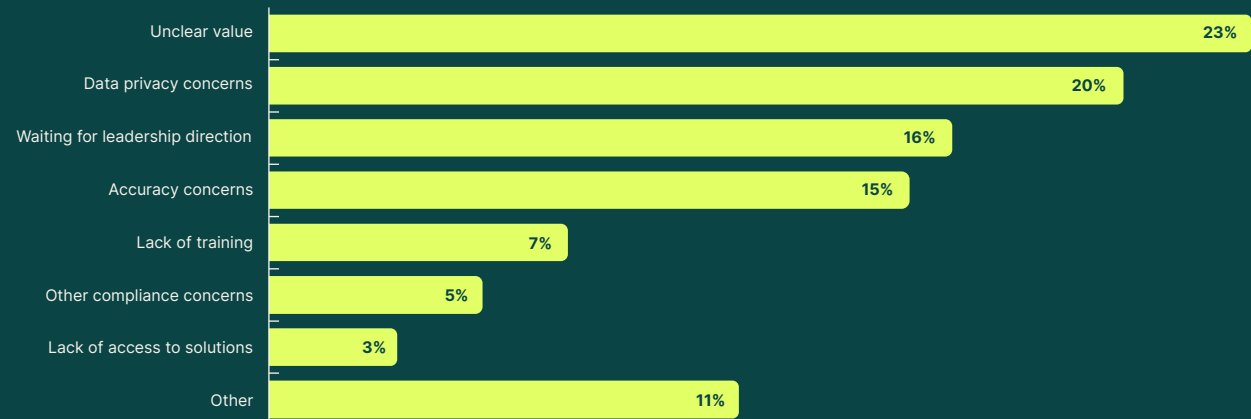
We asked those with trust in AI for compensation what most influences their decision. Payscale survey participants selected three tiered choices, which we ranked according to most selected. Tied for most important was transparency in how AI generates results and the accuracy of outputs compared to internal or known benchmarks, which would act as a validation guardrail to ensure confidence. The number and robustness of data sources and security, privacy, and compliance with compensation regulations both ranked third.

We also asked those who do not trust AI for compensation what is holding them back. We learned that the biggest concerns are unclear value (23%), data privacy concerns (20%), and lack of direction from leadership (16%).

What factors most influence your trust in an AI tool for compensation-related tasks such as salary benchmarking or aggregating and weighting data? (Select up to three)

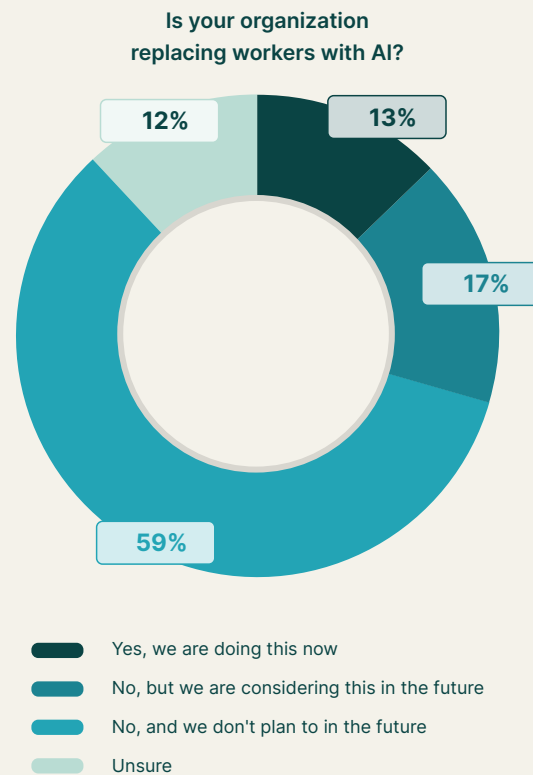


If you haven't tried AI-powered tools yet for HR or compensation-related activities, what's holding you back?



## The AI job evolution

AI is already transforming the job market, displacing jobs and changing the skills needed to perform critical work. We asked our audience of HR leaders and compensation teams if AI is replacing workers at their organizations. While a majority (59%) said they are not and don't plan to replace workers with AI now or in the future, 30% say they are either doing this now or are considering it in the future.



The top industries most likely to replace workers with AI now include Construction (27%), Business Services (19%), Technology (17%), and Healthcare (16%). Over 30% of organizations in Agencies & Consultancies; Business Services; Construction; Education; Food, Beverage, & Hospitality; Manufacturing; Real Estate, Rental, & Leasing; Retail & Customer Service; and Technology say they are either replacing workers with AI now or considering it in the future.

### Is your organization replacing workers with AI? (Industries)

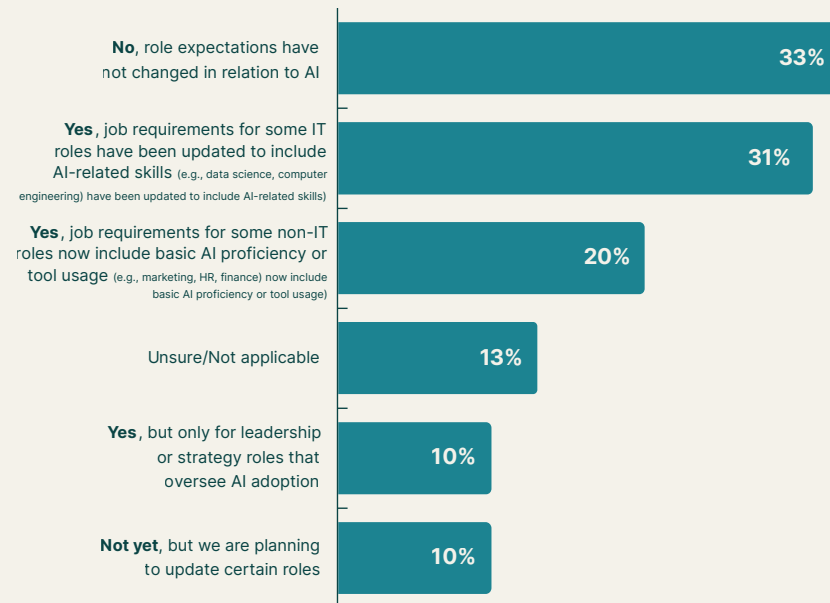
|                                              | Yes<br>we are doing this now | No<br>but we are considering<br>this in the future | No<br>and we don't plan<br>to in the future | Unsure |
|----------------------------------------------|------------------------------|----------------------------------------------------|---------------------------------------------|--------|
| <b>Agencies &amp; Consultancies</b>          | 9%                           | 23%                                                | 63%                                         | 5%     |
| <b>Arts, Entertainment, &amp; Recreation</b> | N/A                          | N/A                                                | N/A                                         | N/A    |
| <b>Business Services</b>                     | 19%                          | 21%                                                | 51%                                         | 9%     |
| <b>Construction</b>                          | 27%                          | 15%                                                | 53%                                         | 5%     |
| <b>Education</b>                             | 14%                          | 18%                                                | 55%                                         | 13%    |
| <b>Energy &amp; Utilities</b>                | 2%                           | 22%                                                | 56%                                         | 20%    |
| <b>Engineering &amp; Science</b>             | 13%                          | 8%                                                 | 74%                                         | 6%     |
| <b>Finance &amp; Insurance</b>               | 8%                           | 21%                                                | 53%                                         | 18%    |
| <b>Food, Beverage, &amp; Hospitality</b>     | 11%                          | 19%                                                | 57%                                         | 13%    |
| <b>Government</b>                            | 11%                          | 18%                                                | 64%                                         | 7%     |
| <b>Healthcare &amp; Social Assistance</b>    | 16%                          | 13%                                                | 57%                                         | 14%    |
| <b>Manufacturing</b>                         | 12%                          | 19%                                                | 58%                                         | 11%    |
| <b>Nonprofit</b>                             | 2%                           | 5%                                                 | 91%                                         | 3%     |
| <b>Pharmaceutical &amp; Biotechnology</b>    | N/A                          | N/A                                                | N/A                                         | N/A    |
| <b>Real Estate, Rental, &amp; Leasing</b>    | 9%                           | 26%                                                | 60%                                         | 5%     |
| <b>Retail &amp; Customer Service</b>         | 13%                          | 28%                                                | 48%                                         | 11%    |
| <b>Technology (including Software)</b>       | 17%                          | 18%                                                | 50%                                         | 15%    |
| <b>Telecommunications</b>                    | N/A                          | N/A                                                | N/A                                         | N/A    |
| <b>Transportation &amp; Warehousing</b>      | 7%                           | 27%                                                | 49%                                         | 16%    |
| <b>Other</b>                                 | 9%                           | 9%                                                 | 69%                                         | 13%    |

## Updating jobs for AI skills

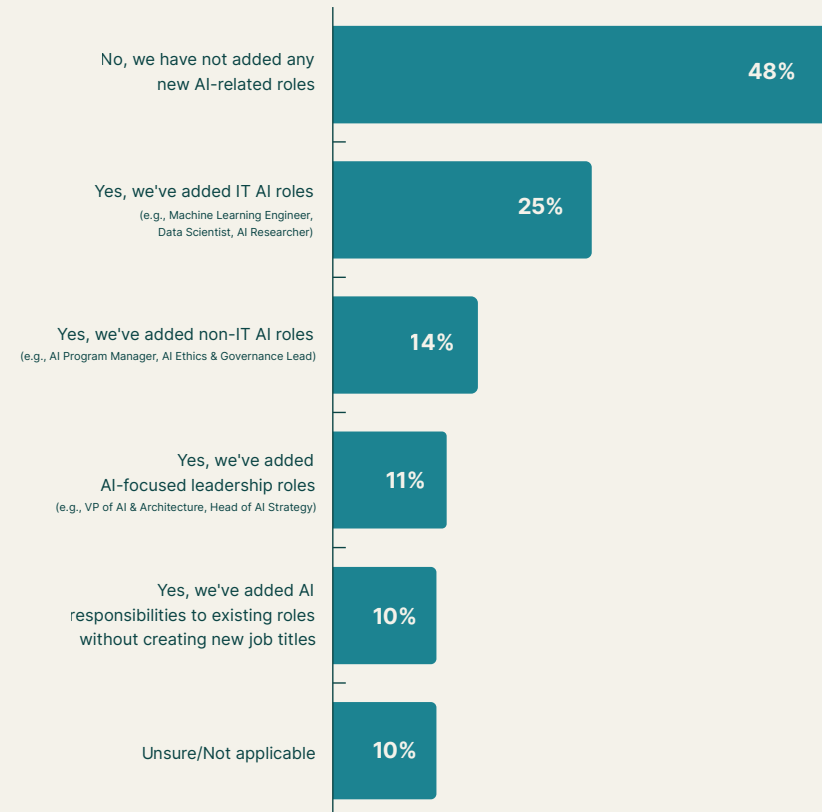
While some jobs may be replaced with AI, other jobs will require AI skills. Existing jobs are being reshaped, with workers needing to adapt to using automation to perform tasks more efficiently or handle more complex responsibilities.

We asked Payscale survey participants if AI-related skills or competencies have been added to existing roles. While IT roles are the most likely to see this addition (31%), job requirements for non-IT related roles are also making an impact (20%), as well as 10% for leadership or strategy roles that oversee AI adoption. However, a third of organizations (33%) say that role expectations have not changed in relation to AI — at least not yet.

**At your organization, have expectations for any existing roles been updated to include AI-related skills or competencies (e.g., prompt engineering, AI tool usage, automation workflows)? (Select all that apply)**



**In the past year, has your organization added any net-new roles specifically focused on AI? (Select all that apply)**



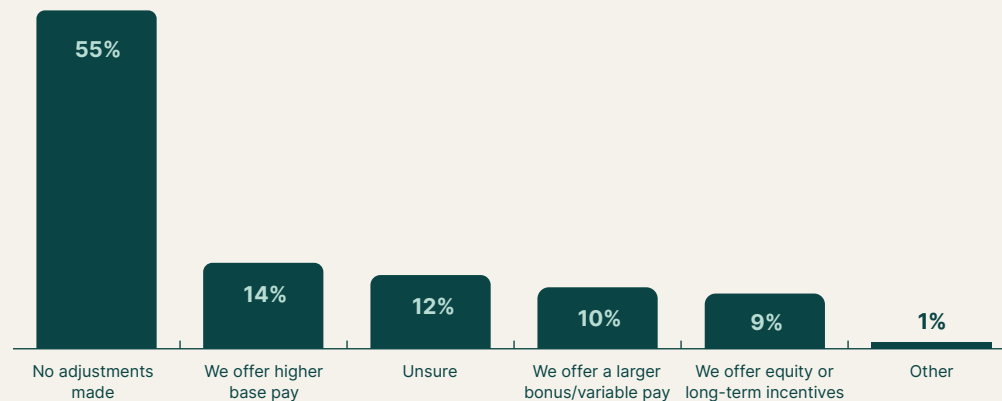
New roles are also emerging that require artificial intelligence skills, such as machine learning, data analysis, AI model development, and AI-driven decision-making. In the past year, a quarter of organizations (25%) say that they have added new IT AI roles. Slightly fewer organizations have added non-IT AI roles (14%), AI-focused leadership roles (11%), or new AI responsibilities to existing roles without creating new job titles (10%).

## Rewarding AI skills

The AI job evolution will require organizations to adjust compensation for roles requiring AI skills as there will be labor shortages while society adapts to new technology. In addition, AI job evolution has the potential to shift compensation management to include skill-based differentials, requiring more analytics and AI-powered workforce planning.

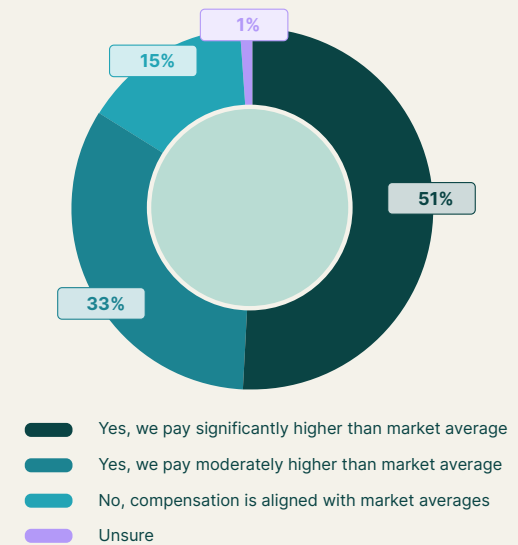
According to our survey, a majority of organizations (55%) have yet to do anything to adjust compensation for AI skills, but 14% are offering higher base pay, 10% are offering a bonus, and 9% are offering equity or long-term incentives to attract this talent. More top performers offer higher base pay (23%) than non-top performers (8%). More technology companies (29%) also offer higher base pay for AI skills.

How is your organization adjusting compensation for AI skills?



Of organizations adjusting pay for AI skills, 51% are paying a premium significantly higher than average. A third (33%) are paying moderately higher, and 15% are aligned with market averages. For technology organizations, 27% pay significantly higher.

Is your organization paying a compensation premium for roles requiring AI skills?



## AI-powered compensation built on trusted data

Payscale is leading innovation in AI-powered compensation management with an emphasis on trusted data from actual employee salaries and real-time insights that empower humans at the center of strategic rewards.

[Request a demo](#)



→ [Jump links](#)

[Business performance](#)

[Fair pay perception](#)

[Recruiting](#)

[Retention](#)

[Response to challenges](#)

# Labor market

The labor market examines how workers (supply of labor) and employers (demand for labor) interact, which influences employment, wage growth, and working conditions.

Throughout 2025, the **Jobs Openings and Labor Turnover Survey (JOLTS)** from the Bureau of Labor Statistics (BLS) showed a cooling but stable U.S. labor market, with slower hiring and more modest growth compared to previous years. Job openings and hiring are both lower YOY, showing that employers are adding headcount more cautiously.

Worker movement has also eased. Total separations remain relatively flat, while quits are lower compared with 2024, signaling reduced voluntary job switching and greater employee caution. Together, slower hiring and lower quits point to a tepid labor market continuing into 2026, with job gains decreasing overall in 2025 compared to 2024.

## U.S. Job gains

Source: U.S. Bureau of Labor Statistics



## Business performance

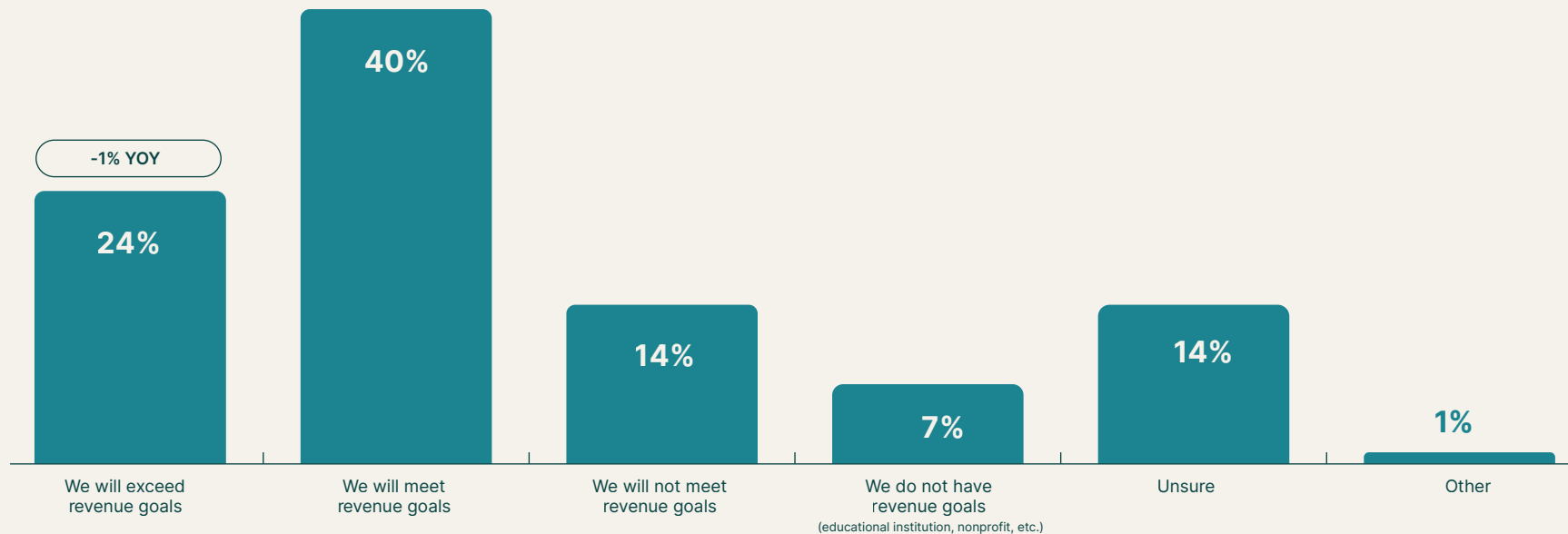
We asked Payscale survey participants if they would meet, exceed, or not meet their revenue goals for 2025 and compared responses to last year. While business performance looks largely the same, there is a slight reduction in organizations who said they will exceed revenue goals.

We use this question to segment top performers from non-top performers and look for patterns where performance may be influenced by compensation best practices.

Organizations with over 50,000 employees are more commonly top performers (36%). We also see more top performers in the industries Construction (38%), Energy & Utilities (31%), Finance & Insurance (30%), and Retail & Customer Service (32%). We see moderately more top performers in Agencies & Consultancies (27%); Business Services (27%); Food, Beverage, & Hospitality (29%); and Technology (26%).



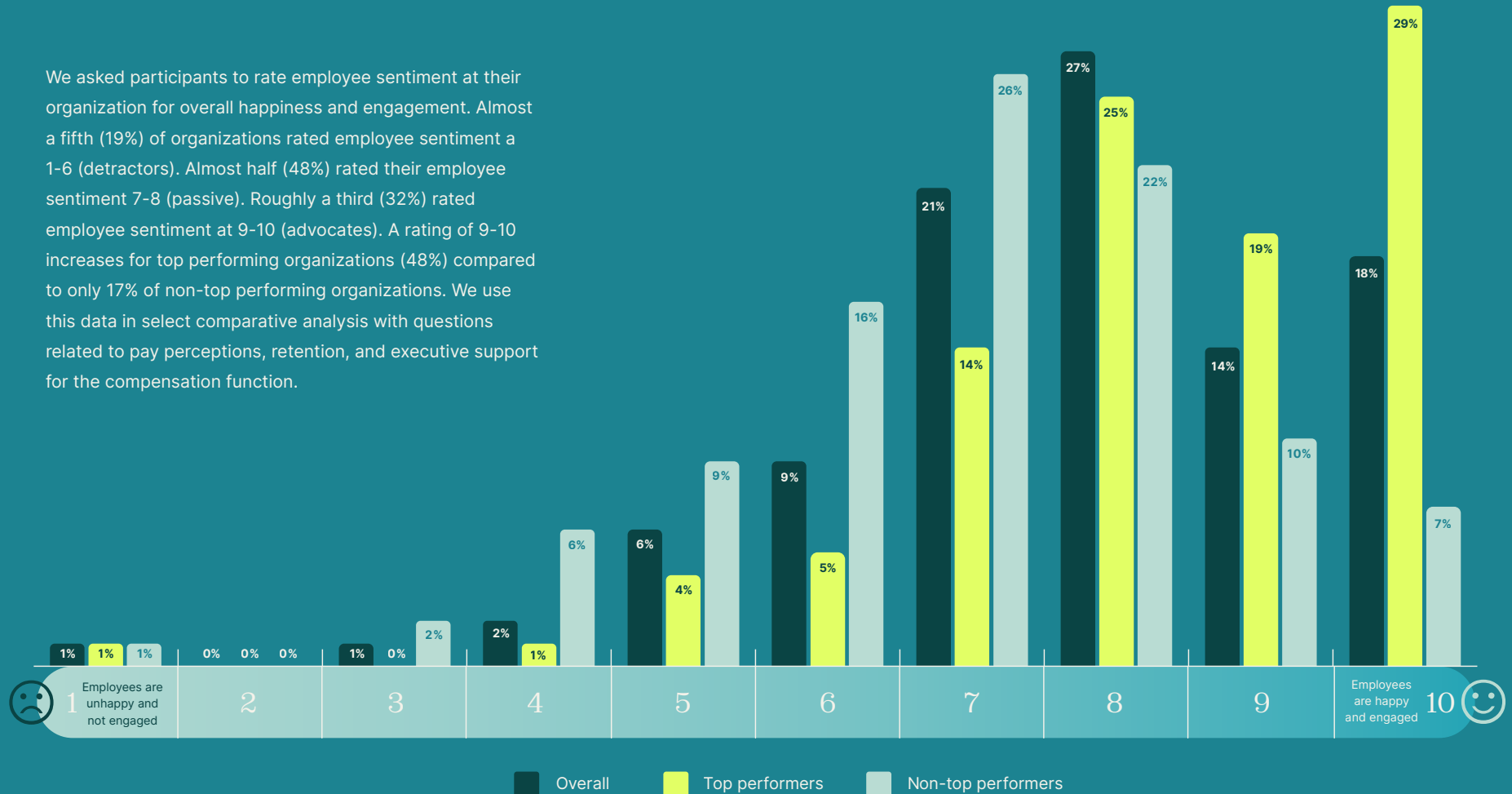
Top performers:  
Will your company meet its overall revenue goals for 2025?



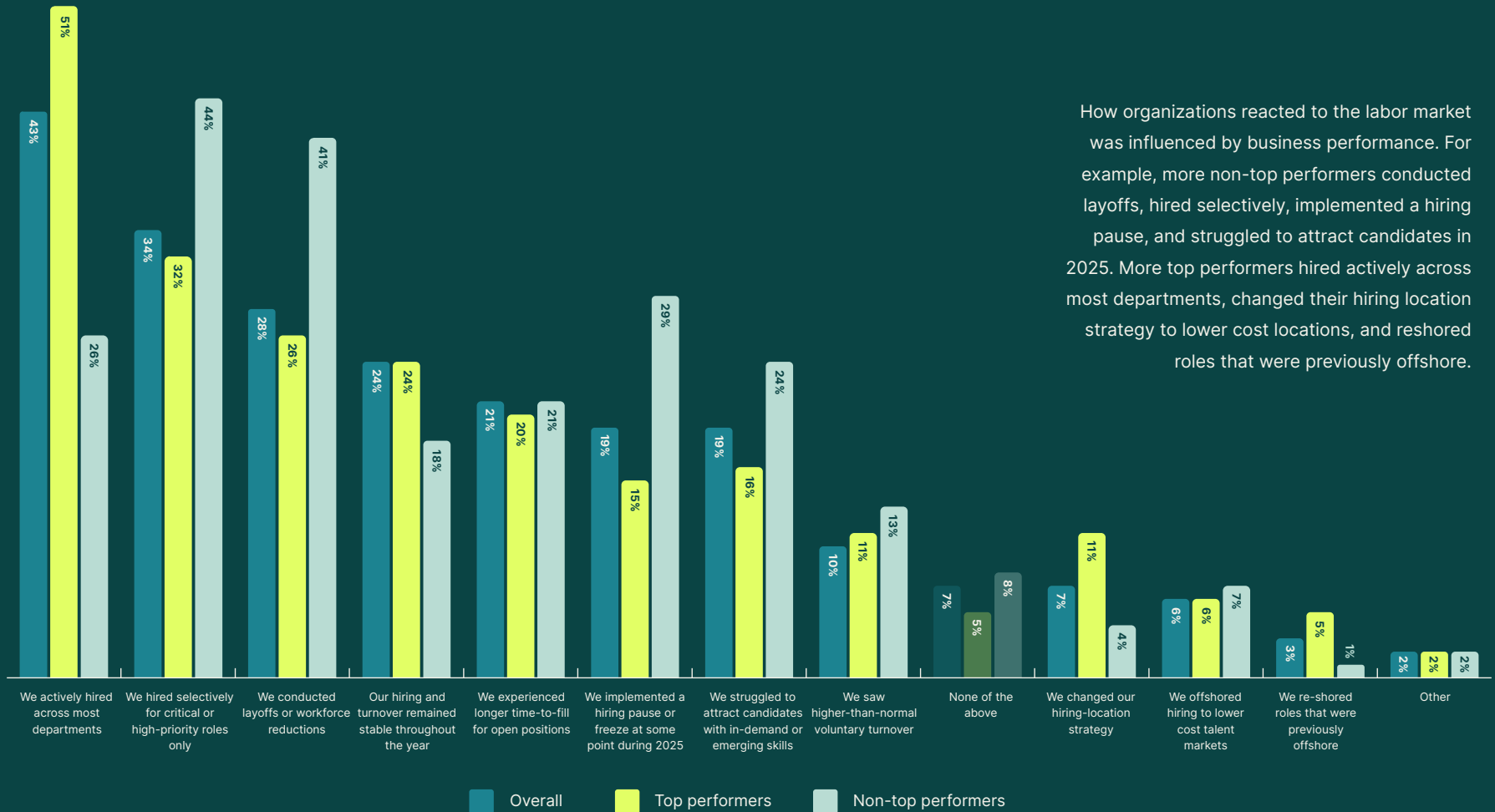
## Employee sentiment

How would you rate overall employee sentiment at your organization?

We asked participants to rate employee sentiment at their organization for overall happiness and engagement. Almost a fifth (19%) of organizations rated employee sentiment a 1-6 (detractors). Almost half (48%) rated their employee sentiment 7-8 (passive). Roughly a third (32%) rated employee sentiment at 9-10 (advocates). A rating of 9-10 increases for top performing organizations (48%) compared to only 17% of non-top performing organizations. We use this data in select comparative analysis with questions related to pay perceptions, retention, and executive support for the compensation function.



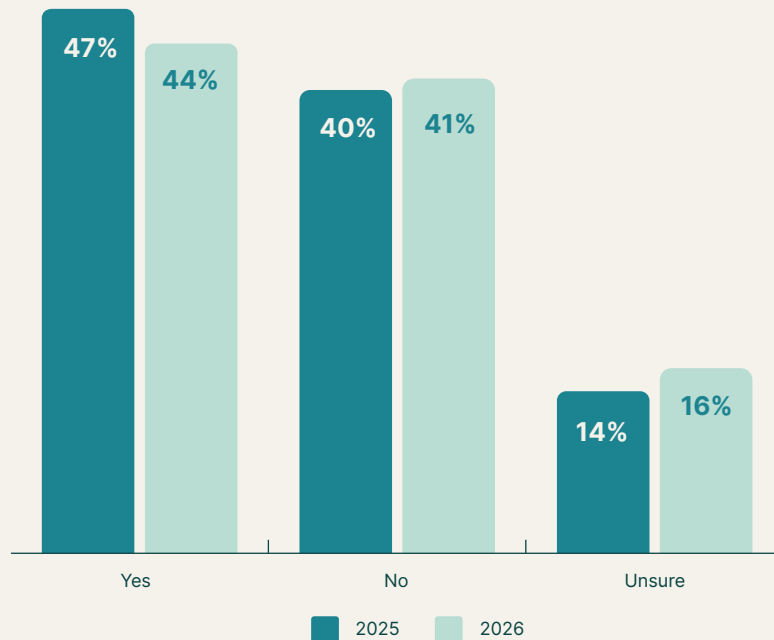
Which of the following statements applied to your organization's workforce in 2025?  
(Select all that apply)



## Fair pay perception

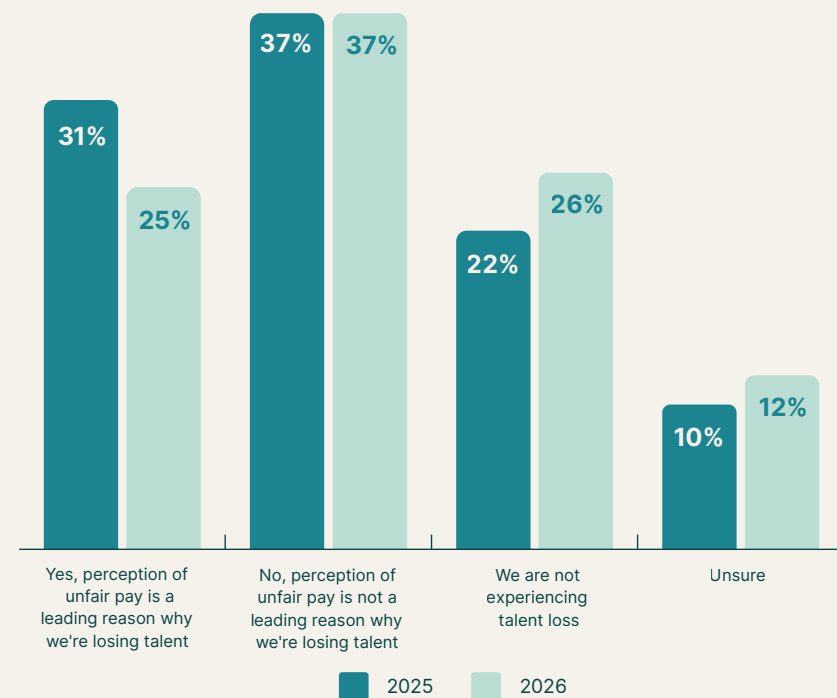
In an uncertain economy, controlling costs may put fair pay at risk. In our survey, we ask whether organizations are experiencing increased tension due to spend optimization. Overall, employers report less tension this year than last year. This may be due to labor market dynamics where the power has swung in the favor of employers, resulting in fewer employees voicing concerns or showing discontent by seeking new employment. It could also be because employers are paying employees more fairly, thus reducing tension.

Is your organization experiencing increased tension between ensuring fair pay for employees and optimizing spend on compensation in current market conditions (i.e., efficiency, cost, control)?



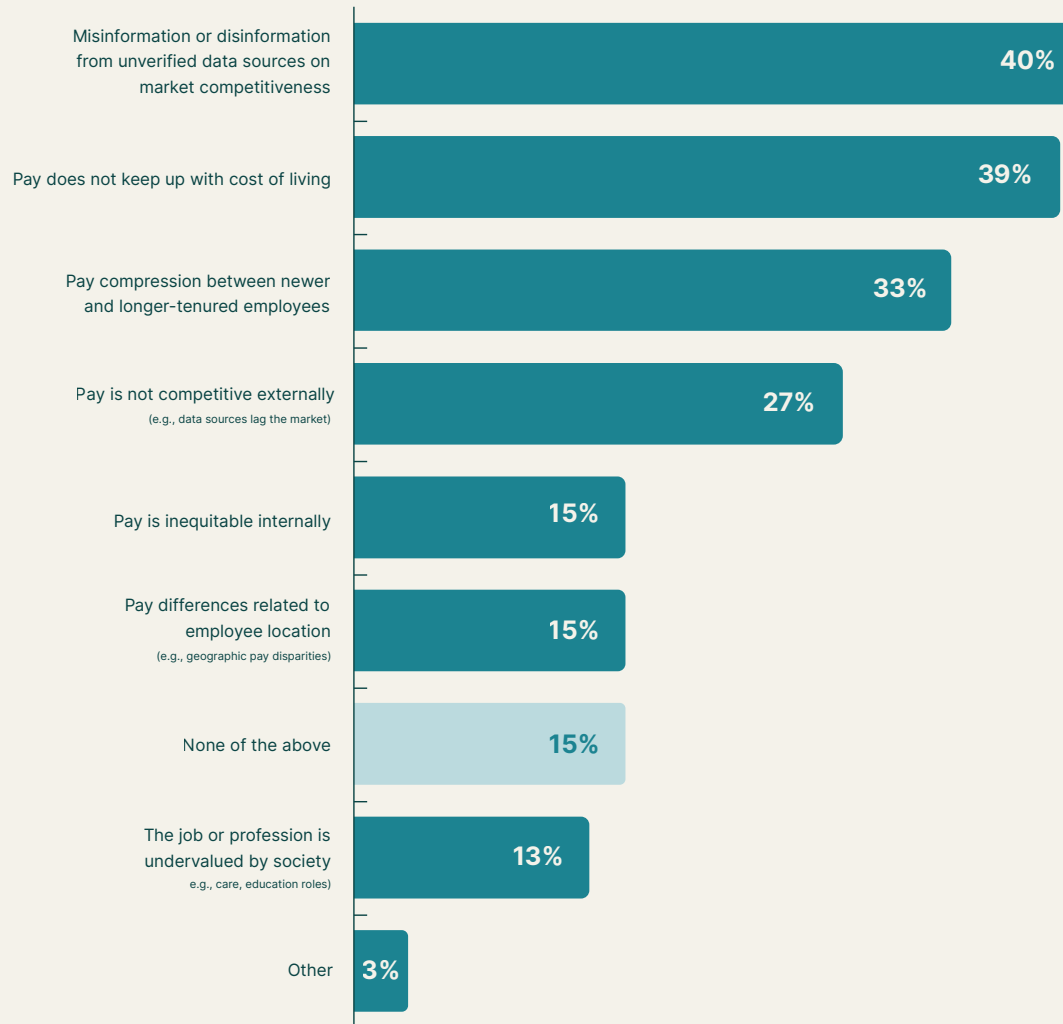
To find out, we asked employers if they are losing talent due to employee perception of unfair pay. While this doesn't necessarily mean pay is unfair, it is a rough measurement of whether poor pay practices or poor pay communications are effectively driving turnover. In 2026, fewer organizations report unfair pay perception as a leading reason for talent loss, but it is still a leading reason for a quarter of organizations (25%).

Do you think you are losing talent due to employee perceptions of unfair pay?



## Drivers of unfair pay perception

Which of the following factors do you believe contribute to employees perceiving pay as unfair in your organization? (Select all that apply)



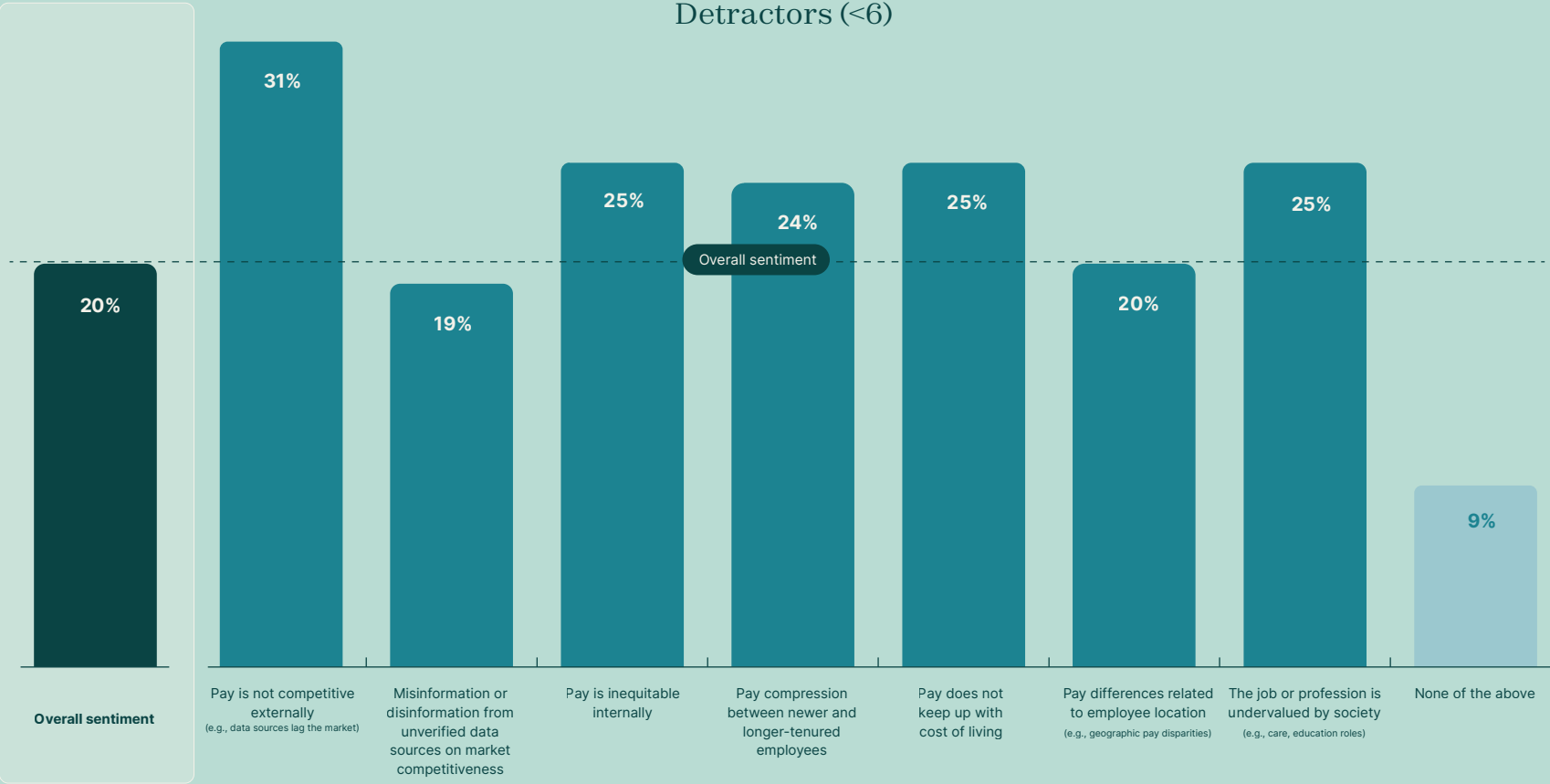
We also asked employers which factors they believe contribute to employees perceiving pay as unfair. Misinformation and disinformation from unverified data sources was the leading answer (40%), followed by pay not keeping up with the cost of living (39%), and pay compression affecting longer tenured employees (33%).

However, over a quarter of employers (27%) said that pay is not competitive to the external job market, meaning that employees could get paid more by leaving for an open position at a different organization. This answer choice was lower for top performers (23%).

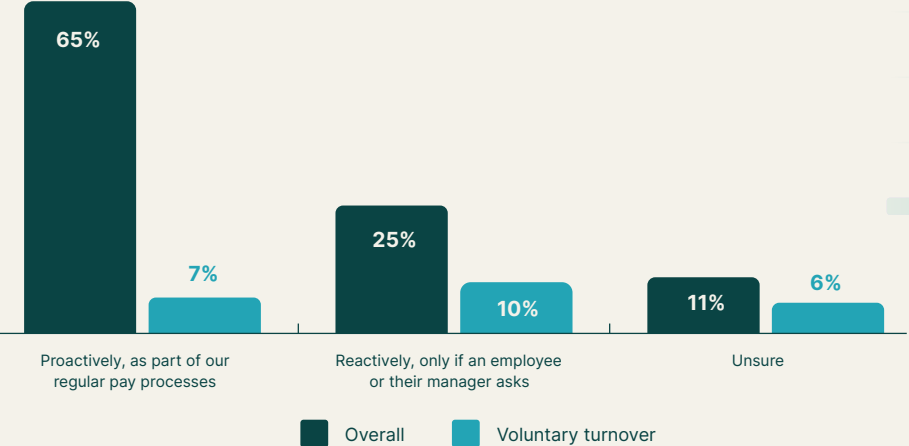
# Impact of unfair pay perception on employee sentiment

We compared factors influencing unfair pay perception to employee sentiment and found that employees are more likely to be unhappy and disengaged (rating of 6 or less) when pay is not competitive externally, pay is inequitable internally, when there is pay compression, pay does not keep up with the cost of living, or when the job or profession is undervalued. Correspondingly, employee sentiment was much more positive with none of these issues impacting pay perception. In other words, compensation management best practices improve employee sentiment and satisfaction at their place of work.

Which of the following factors do you believe contribute to employees perceiving pay as unfair in your organization? (Select all that apply)



Which of the following best describes how your organization addresses severely underpaid employees?



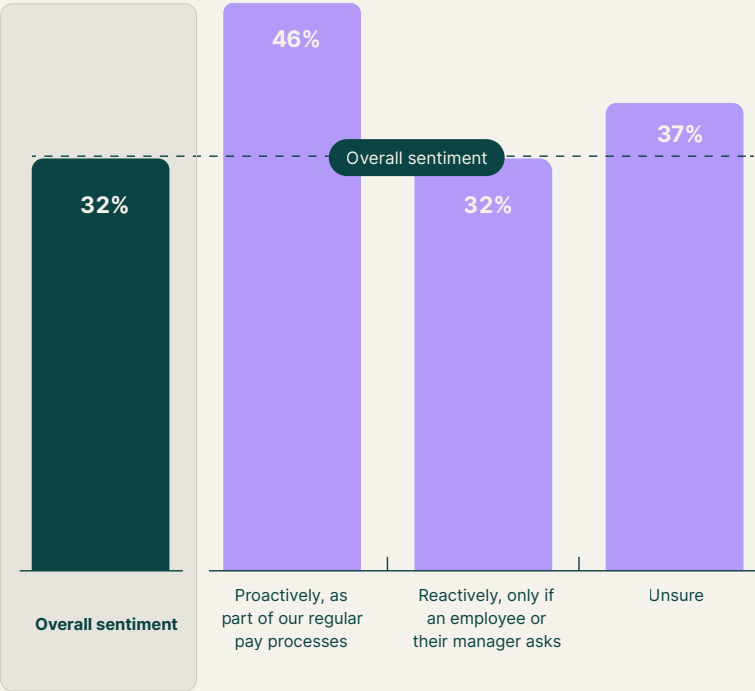
We also asked what best describes how organizations address severely underpaid employees, meaning when employee pay is not competitive with market rates or there is pay inequity internally.

A quarter of organizations (25%) admit to increasing pay for underpaid employees only if the employee or their manager directly asks. However, 65% follow the best practice of proactively increasing pay as part of regular pay processes. This rises to close to three-quarters for organizations who are top performers (73%). We also found that voluntary turnover declines and employee sentiment improves with proactive pay adjustments.



How would you rate overall employee sentiment at your organization?

Advocates (9+)





## Recruiting

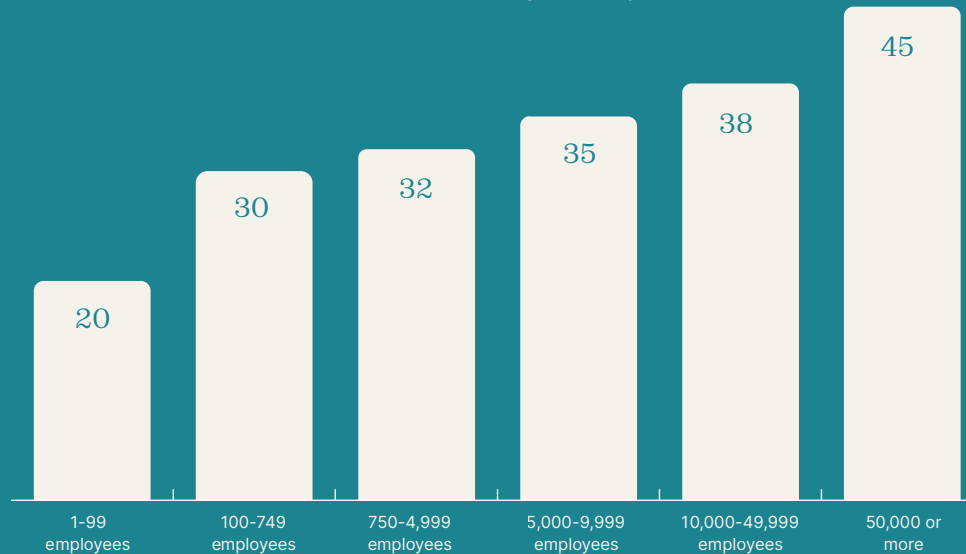
This year we asked employers for the average number of days required to fill an open position in their organization in 2025. The overall median was 30. Days needed to fill a job increases by organization size, likely due to larger organizations having more complex hiring processes. It also varies by industry, with Construction and Retail & Customer Service being able to hire within 14 days and Engineering & Science, Energy & Utilities, and Government taking 45 days to fill open positions. The Technology industry was also higher than the median at 35 days to fill open positions.

30

Median 2025 average  
number of days to fill a job

### Organization size

Median 2025 number of days to fill a job



## Industries

Median 2025 number  
of days to fill a job

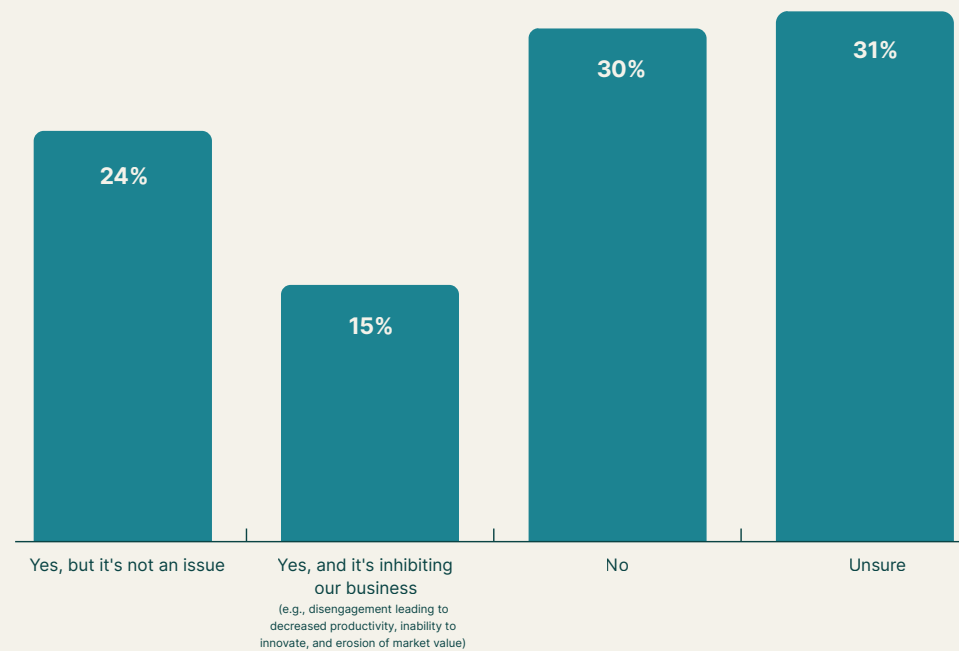
|                                   |      |
|-----------------------------------|------|
| Agencies & Consultancies          | 30   |
| Arts, Entertainment, & Recreation | N/A  |
| Business Services                 | 20   |
| Construction                      | 14   |
| Education                         | 22.5 |
| Energy & Utilities                | 45   |
| Engineering & Science             | 45   |
| Finance & Insurance               | 32   |
| Food, Beverage, & Hospitality     | 24.5 |
| Government                        | 45   |
| Healthcare & Social Assistance    | 30   |
| Manufacturing                     | 30   |
| Nonprofit                         | 30   |
| Pharmaceutical & Biotechnology    | N/A  |
| Real estate, Rental, & Leasing    | 23   |
| Retail & Customer Service         | 14   |
| Technology (including Software)   | 35   |
| Telecommunications                | N/A  |
| Transportation & Warehousing      | 30   |
| Other                             | 30   |

## Retention

An interesting trend of a labor market with slow hiring is that it also slows turnover as there are not enough open opportunities for job seekers. While low turnover is usually a sign of a strong company culture in a balanced labor market, when turnover is low everywhere it can cause disengaged employees to cling to jobs out of fear of unemployment. In the news, this trend is known as “job hugging,” which can result in reduced engagement and dissatisfaction for both employees and employers.

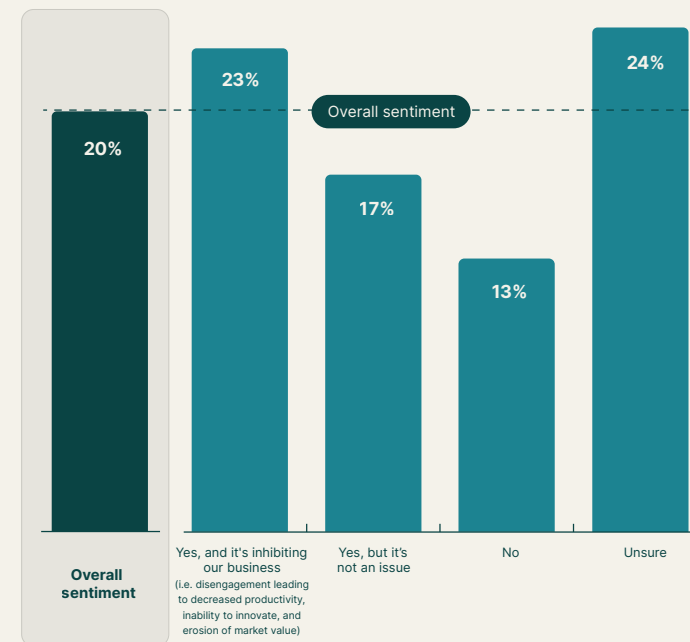
According to our survey, 40% of organizations experienced job hugging in 2025. While nearly a quarter (24%) do not find job hugging to be an issue, 15% said that it is inhibiting business growth. We compared this data to employee sentiment and found that organizations experiencing job hugging are also more likely to have unhappy and disengaged employees.

**Are employees job hugging in your organization** (i.e. employees are clinging to their current jobs out of fear of unemployment in a difficult job market)



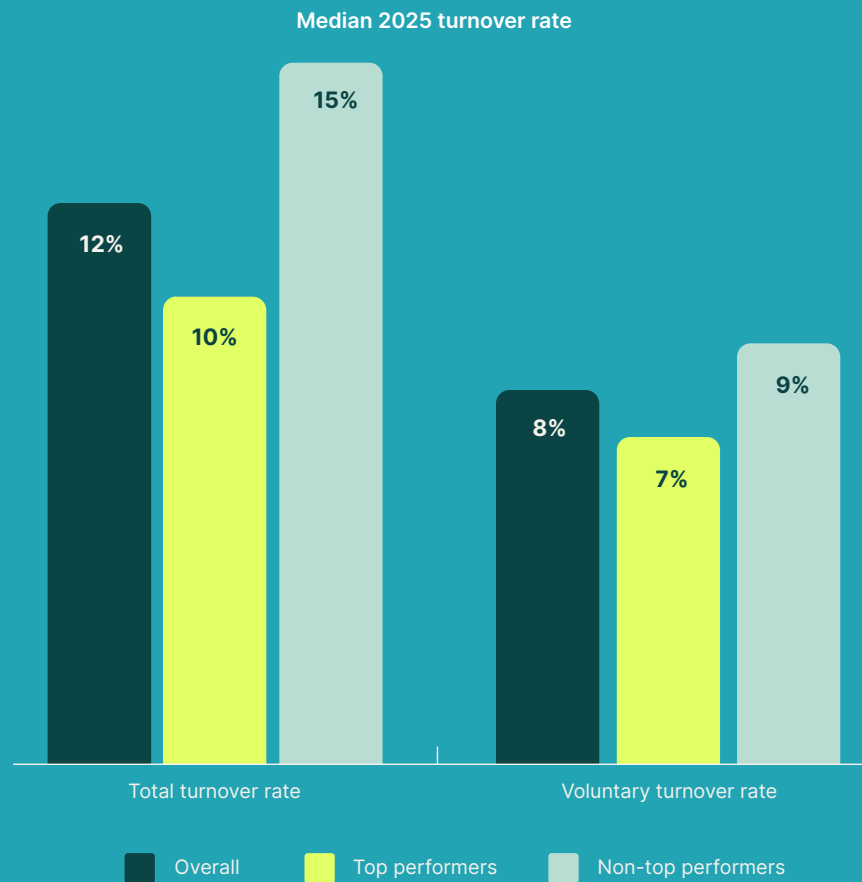
**Employees job hugging impact on employee sentiment**

**Detractors (<6)**



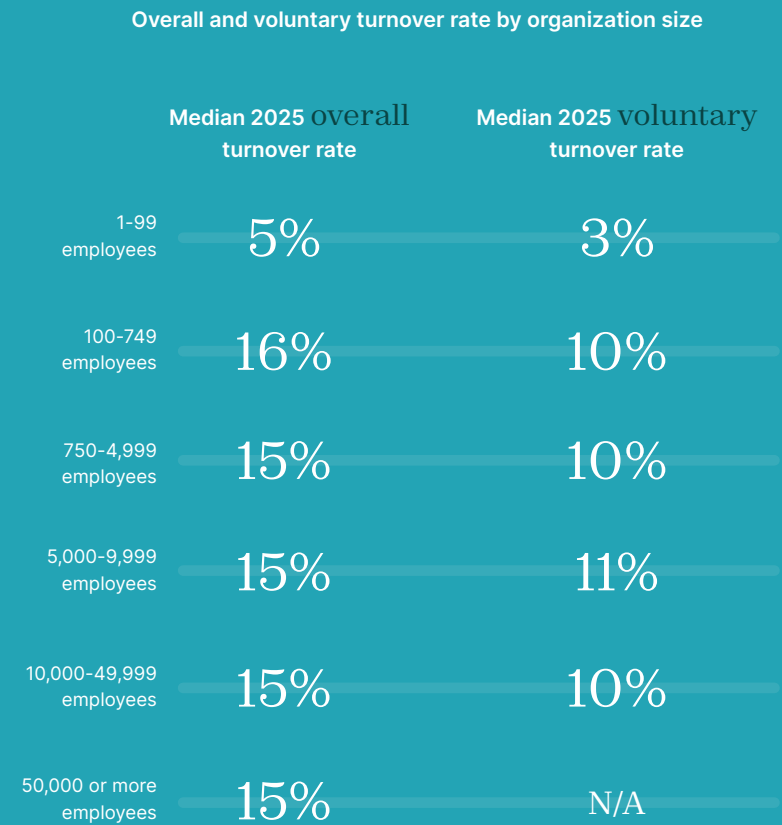
To get a better understanding of the situation, we asked about the total turnover rate and the voluntary turnover rate. Overall, the median for turnover in 2025 is 12%, which is relatively low and indicative of a depressed labor market with slower than average hiring. The median voluntary turnover rate is only 8%, which is exceedingly low historically.

For top performers, the median overall turnover rate drops to 10% for top performers and 15% for non-top performers. The voluntary turnover rate drops to 7% for top performers compared to 9% for non-top performers.



Interestingly, we see that organizations that have experienced increased tension between fair pay and optimizing spend on compensation see higher voluntary turnover rates (10%) compared to those without increased tension (5%).

We also see that both the overall turnover rate and the voluntary turnover rate increase for larger organizations compared to small businesses with fewer than 100 employees.



N/A is due to insufficient responses

## Turnover rates by industry

We see higher total turnover rates in Food, Beverage, & Hospitality; Healthcare & Social Assistance; Manufacturing; Retail & Customer Service; Technology; and Transportation & Warehousing. We see higher voluntary turnover rates for Education; Food, Beverage, & Hospitality; Healthcare & Social Assistance; Retail & Customer Service; and Transportation & Warehousing.

| Industries                                   | Median 2025 <b>overall</b><br>turnover rate | Median 2025 <b>voluntary</b><br>turnover rate |
|----------------------------------------------|---------------------------------------------|-----------------------------------------------|
| <b>Overall</b>                               | 12%                                         | 8%                                            |
| <b>Agencies &amp; Consultancies</b>          | 6%                                          | 4%                                            |
| <b>Arts, Entertainment, &amp; Recreation</b> | N/A                                         | N/A                                           |
| <b>Business Services</b>                     | 11%                                         | 6%                                            |
| <b>Construction</b>                          | 12%                                         | 7%                                            |
| <b>Education</b>                             | 11%                                         | 10%                                           |
| <b>Energy &amp; Utilities</b>                | 8%                                          | 6%                                            |
| <b>Engineering &amp; Science</b>             | 10%                                         | 8%                                            |
| <b>Finance &amp; Insurance</b>               | 10%                                         | 7%                                            |
| <b>Food, Beverage, &amp; Hospitality</b>     | 18%                                         | 12%                                           |
| <b>Government</b>                            | 13%                                         | 8%                                            |
| <b>Healthcare &amp; Social Assistance</b>    | 14%                                         | 10%                                           |
| <b>Manufacturing</b>                         | 14%                                         | 8%                                            |
| <b>Nonprofit</b>                             | 11%                                         | 6%                                            |
| <b>Pharmaceutical &amp; Biotechnology</b>    | N/A                                         | N/A                                           |
| <b>Real estate, Rental, &amp; Leasing</b>    | 10%                                         | 6%                                            |
| <b>Retail &amp; Customer Service</b>         | 13%                                         | 9%                                            |
| <b>Technology (including Software)</b>       | 15%                                         | 8%                                            |
| <b>Telecommunications</b>                    | N/A                                         | N/A                                           |
| <b>Transportation &amp; Warehousing</b>      | 19%                                         | 11%                                           |
| <b>Other</b>                                 | 10%                                         | 8%                                            |

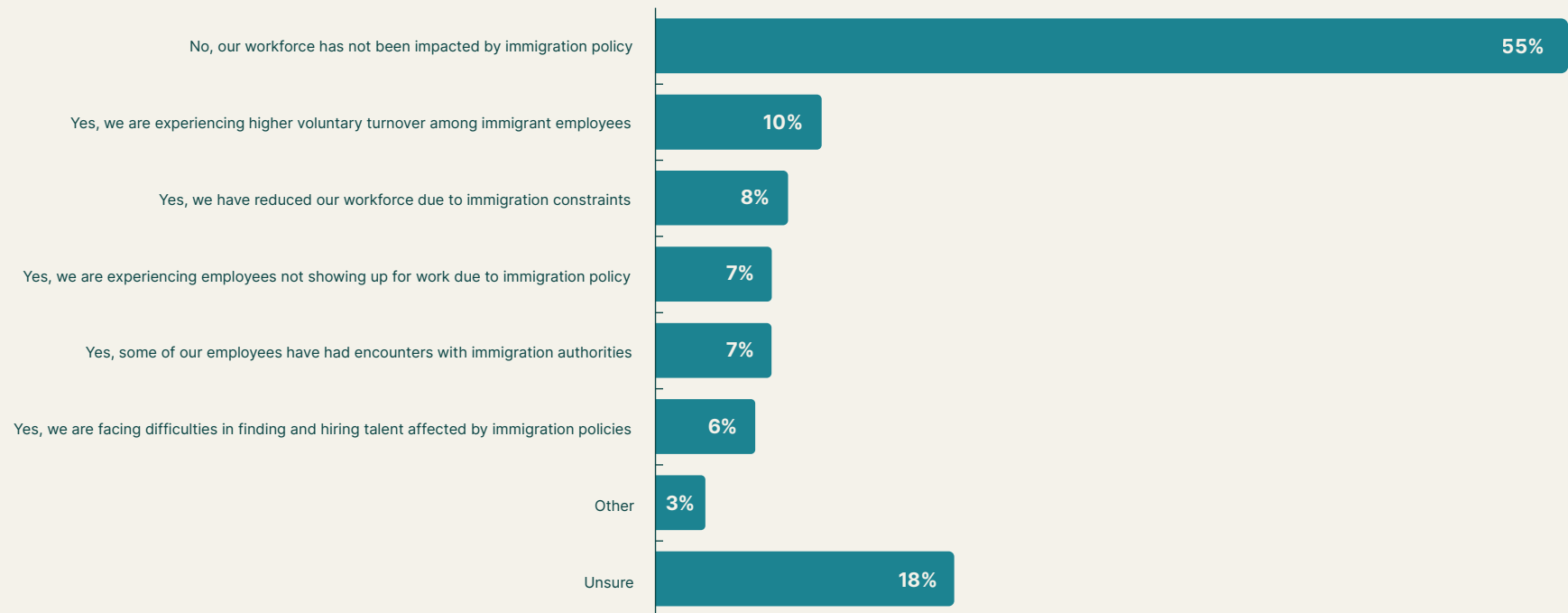
## Response to challenges

In addition to slowed hiring, HR and compensation teams have experienced other challenges in 2025 related to the labor market. We asked Payscale survey participants about their response to U.S. immigration policy as well as their response to inflation, tariffs, and trade.

Overall, 55% of organizations say that their workforce has not been impacted by immigration policy, but 10% say they are experiencing higher voluntary turnover and 8% have reduced their workforce due to immigration constraints. A smaller minority (7%) reports experiencing employees not showing up for work due to immigration policy and employees having had encounters with immigration authorities while 6% say they have faced difficulties finding and hiring talent affected by immigration policy. Overall, 39% (before rounding) are being affected in some way.

Industries experiencing higher turnover due to immigration policy include Business Services (14%); Construction (17%); Education (16%); Engineering & Science (13%); Food, Beverage, & Hospitality (11%); Retail & Customer Service (11%); Manufacturing (14%); and Transportation & Warehousing (11%).

**Has your organization's workforce been impacted by changes or challenges related to U.S. immigration policy? (Select all that apply)**

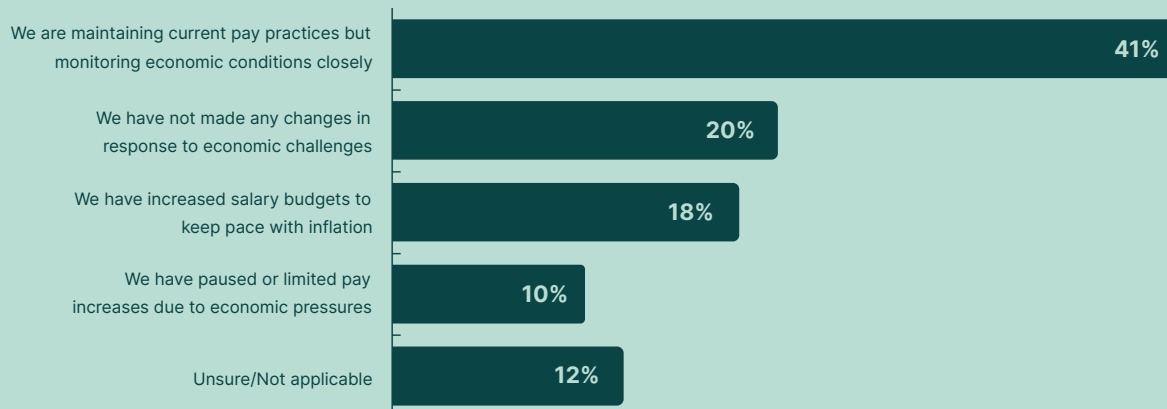


## Trade policy and economic challenges

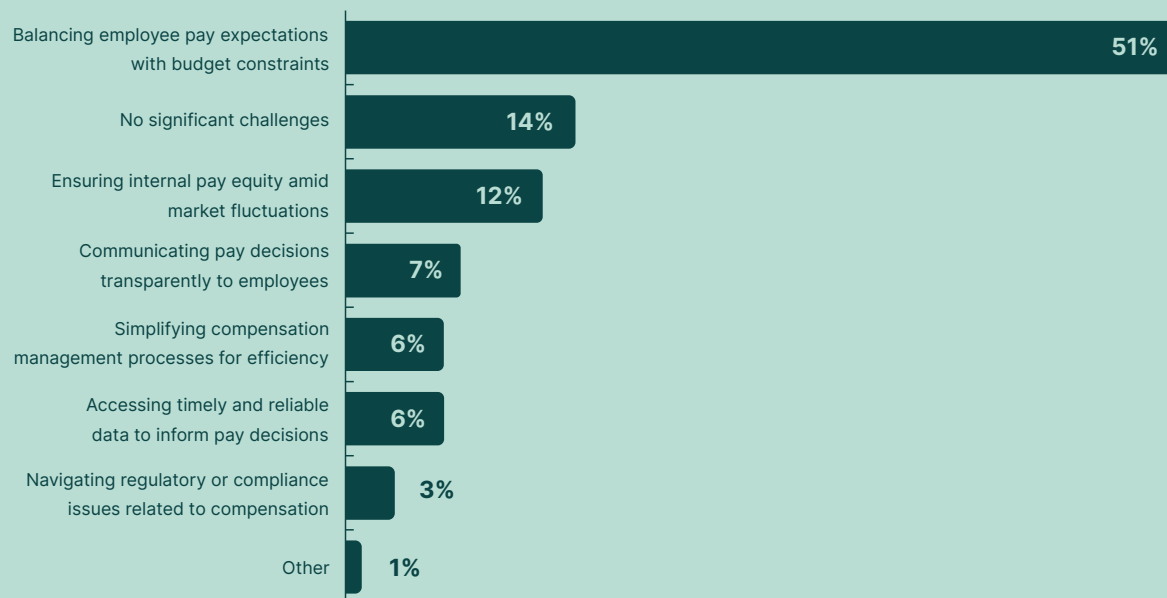
When we asked how organizations are adapting compensation strategies in response to inflation, tariffs, and trade policy, 41% say they are maintaining current pay practices but monitoring the situation closely and 20% say they have not made any changes. However, 18% have increased salary budgets to keep pace with inflation, and 10% have paused or limited pay increases.

We asked survey participants to select the biggest challenge they are facing, understanding that multiple priorities compete for attention. A slim majority (51%) selected balancing employee pay expectations with budget constraints. The rest of the options were chosen by only a small minority.

### How is your organization adapting its compensation strategy in response to inflation, tariffs, and trade policy disruptions? (Select one)



### What is the biggest challenge your organization faces managing compensation in the current economic landscape? (Select one)



We also asked how organizations are responding to economic conditions, as speculation of an impending recession can contribute to caution around hiring and a more conservative approach to compensation. While 43% of survey respondents report not strategizing ways to decrease compensation spend, the most popular strategy was reducing pay increases (16%) followed by cancelling pay increases (12%) and hiring less experienced talent (12%).



## Quick access insights for fast-moving jobs

For intelligence on how in-demand jobs are affecting wage growth and talent strategies, subscribe to compensation trends from Payscale.

[Follow Payscale](#)

→ Jump links

HR priorities

Compensation priorities

Legal compliance

Compensation team

Compensation maturity

Executive support

ROI

# Compensation preparedness

Compensation preparedness refers to an organization's readiness to manage pay effectively based on priorities, people, processes, technology, and executive support.

## HR priorities

In our Compensation Best Practices Survey, we asked participants to tell us which activities they expect will be most challenging for HR in 2026 and which will be the highest priority investment. This question was restructured from last year to force a top choice answer. However, compensation and recruiting continue to top the list, with retention coming in third place as a challenge but second place as a priority.

What will be the most challenging for HR in your organization in 2026? What will be the highest priority investment? (Select one for each)



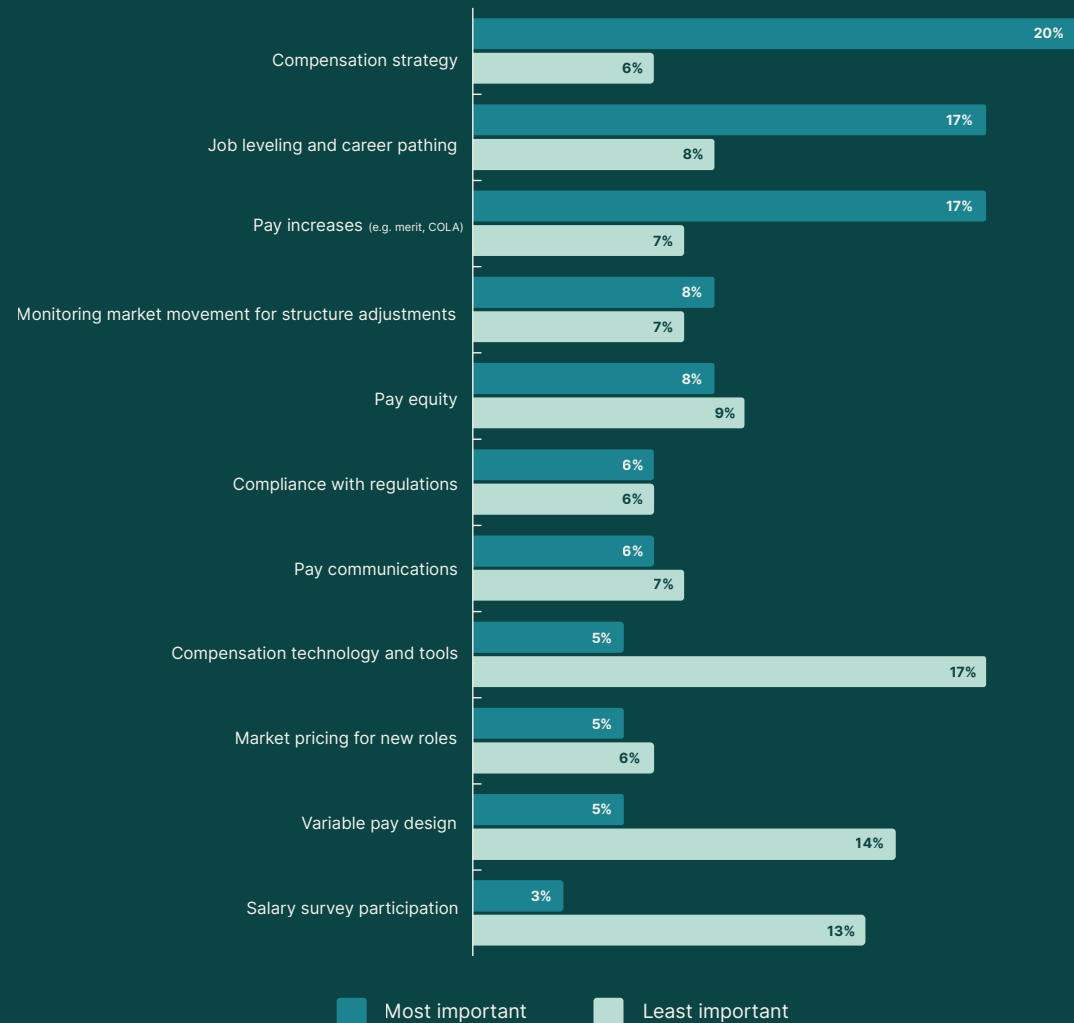


## Compensation priorities

We also asked Payscale survey participants to select the most and least important compensation activities, which is challenging as most areas of compensation are interrelated. Ranking at the top for “most important” are compensation strategy (20%), job leveling and career pathing (17%), and pay increases (17%).

Among the least important activities are compensation technology (17%), variable pay design (14%), and survey participation (13%). However, due to the changing landscape of compensation data and how AI is accelerating what is possible with compensation technology, it is worth considering how technology can be leveraged to offload the least important tasks to make more time for strategic thinking on the most important. Top performers cite compensation technology and tools as most important at double the rate (8%) of non-top performers (4%).

What will be the most and least important compensation activities at your organization in 2026?

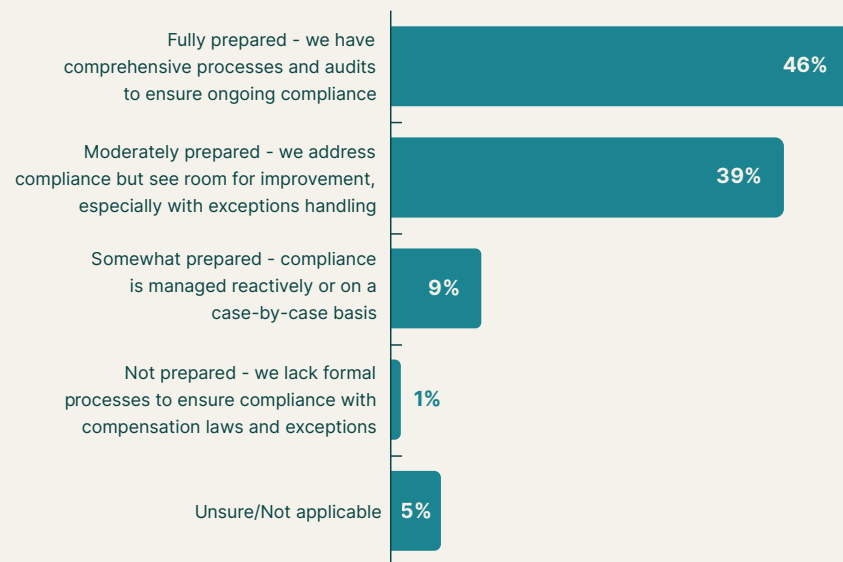


## Legal compliance

Labor laws like the FLSA (Fair Labor Standards Act) and state-specific regulations set standards for minimum wage, overtime, exempt/non-exempt classification, breaks, and recordkeeping. Noncompliance can result in back pay, fines, penalties, and lawsuits, and can damage employee trust and engagement. Conversely, following the law ensures fair and equitable treatment of employees, supports internal equity, and helps organizations maintain consistent, defensible pay practices across roles, locations, and employee groups.

Most organizations (85%) say they are at least moderately prepared when it comes to ensuring compliance with compensation laws and exceptions, with only 9% of organizations feeling only somewhat prepared and 1% admitting to not being prepared. More top performers report being fully prepared (61%).

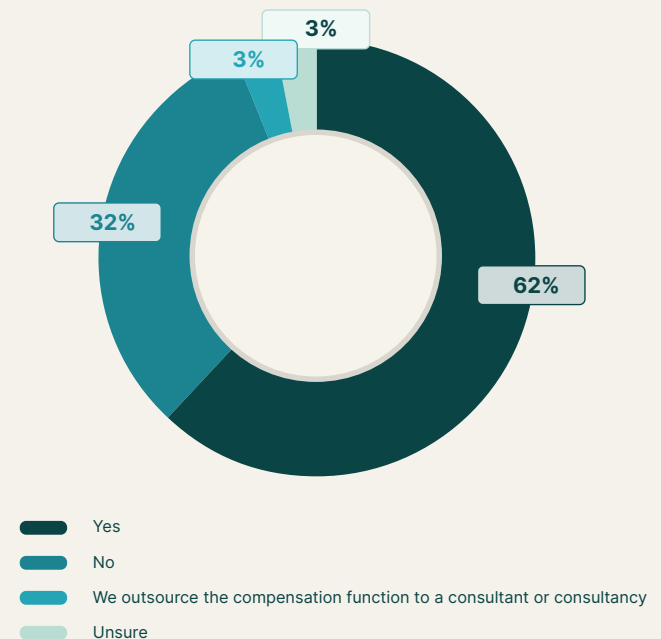
**How well prepared is your organization to ensure compliance with compensation laws and exceptions? (e.g., FLSA, California labor laws)**



## Compensation team

The majority of organizations (62%) have a dedicated compensation function, meaning they have at least one compensation professional in-house. This is a decrease from last year (70%) but higher than previous years. This year, we also asked for a whole number value for how many compensation professionals an organization has, with the median being three. By organization size, this varies from 2 for organizations with 1-99 employees to 25 for organizations with 50,000 employees or more.

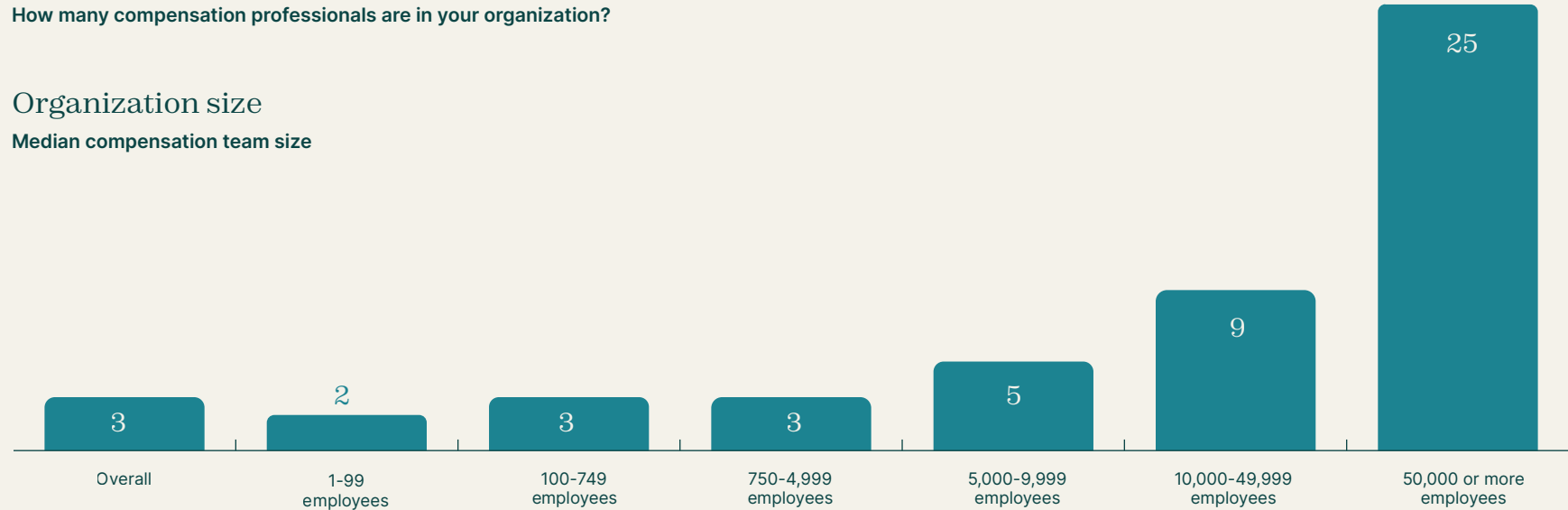
**Does your organization have a person or team solely dedicated to the function of compensation?**



How many compensation professionals are in your organization?

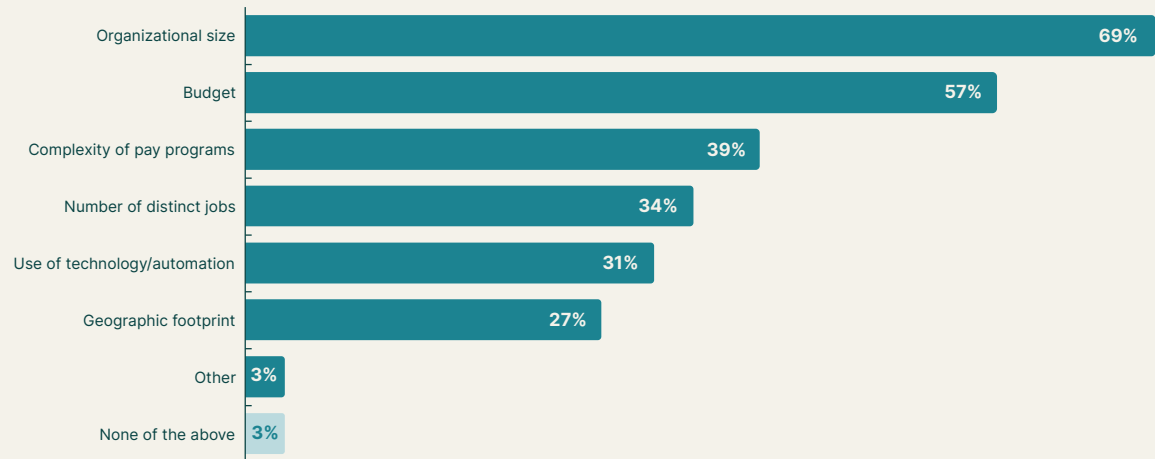
## Organization size

Median compensation team size



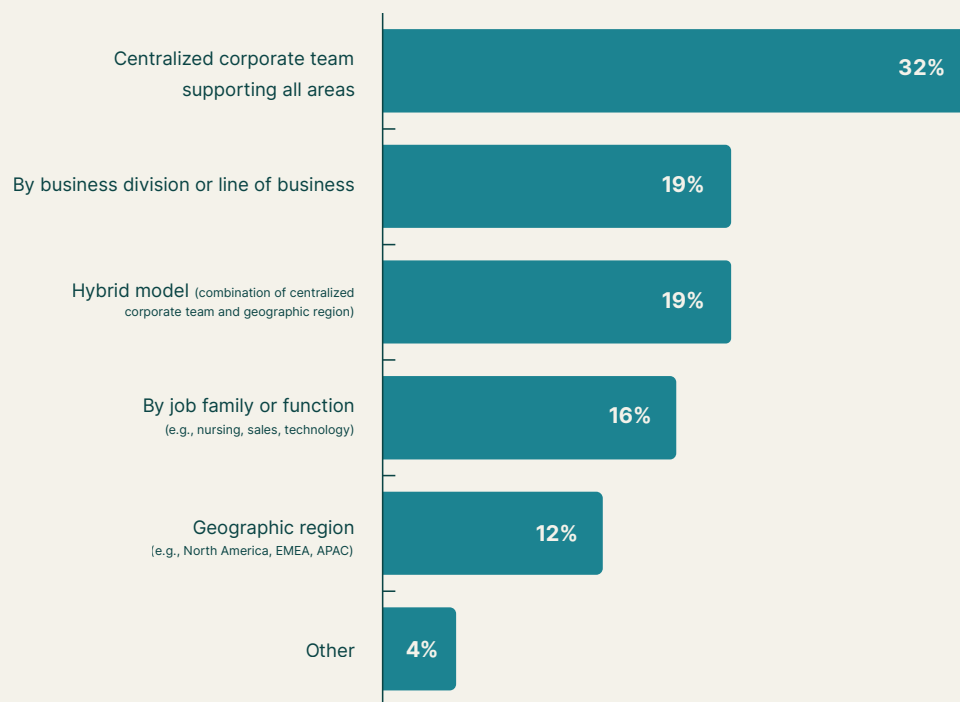
What factors influence your compensation team staffing model? (Select all that apply)

This year, we also asked what influences compensation team staffing models. While organizational size ranked at the top for 69% of organizations, the second largest influence is budget (57%), followed by complexity of pay programs (39%), number of distinct jobs (34%), and use of technology (31%).



We also asked how compensation teams primarily structure and assign compensation duties. The largest category is to use a centralized corporate team supporting all areas (32%). Organizing the compensation function by business division or a combination of both was the next most popular, both at 19%.

**How does your compensation team primarily structure and assign compensation duties?**

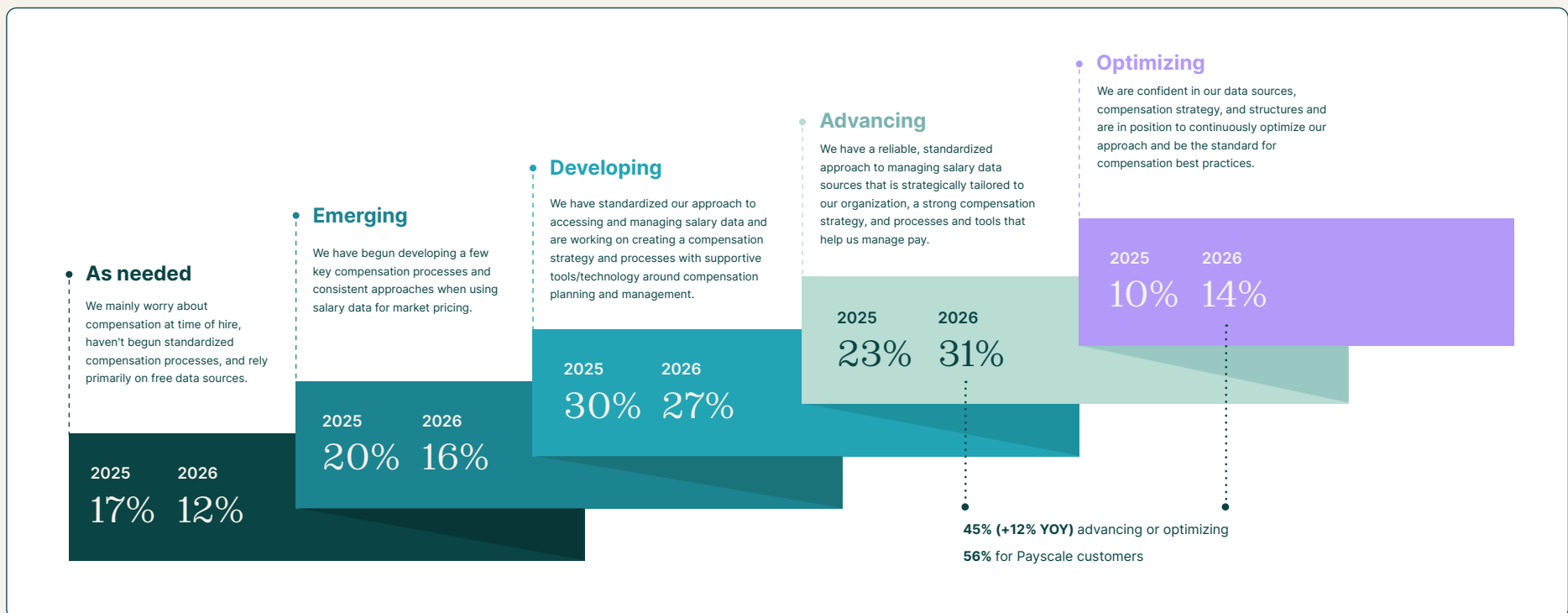


## Compensation maturity

The Payscale Compensation Maturity Model is a framework designed to help organizations evaluate and improve their compensation strategy, practices, and policies over time. It provides a roadmap for companies to progress from basic to advanced stages of compensation management, aligning pay practices with business goals and enhancing employee satisfaction and retention.

According to this model, 45% of organizations are mature (Advancing or Optimizing) while 28% are immature (As needed or Emerging). This is an improvement over 2025 when only a third (33%) of organizations were Advancing or Optimizing (mature). We also see higher maturity in very small organizations (1-99 employees) and very large organizations (10,000 or more employees), as well as Payscale customers and top performers.

Which of the following best describes your organization's current compensation management maturity level?



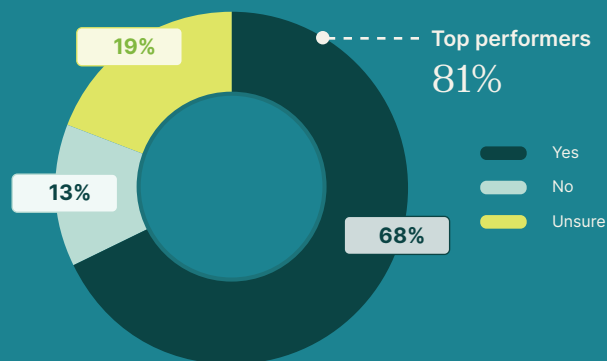
## Executive support

Executive support is important for the compensation function because compensation decisions affect the entire organization's ability to attract, retain, and motivate talent. When executives are engaged, they provide strategic alignment and greater visibility, ensuring pay decisions are consistent and programs support business goals.

Strong executive backing also reinforces credibility and fairness in compensation practices, helps drive adoption of new pay policies or changes, and ensures that the HR and compensation teams have the resources and influence needed to manage pay effectively, comply with laws, and respond to market pressures.

A majority of organizations (68%) say that their executive leadership team views the compensation function as a strategic lever for the organization. This increases to 78% for Payscale customers and 81% for top performers.

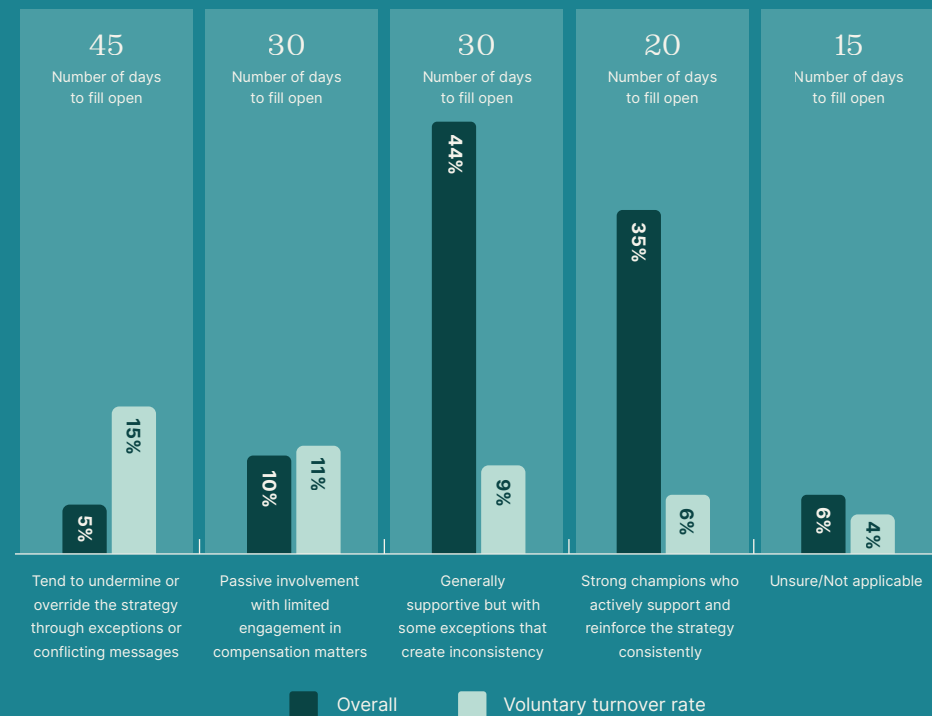
Does your executive leadership team view the compensation function as a strategic lever for your organization?



When we asked organizations to describe their leadership's support, 44% said they are generally supportive but with some exceptions that create inconsistency while 35% say they are strong champions who actively support and reinforce the strategy consistently. That leaves 10% of organizations whose executive leadership is passive and 5% who tend to undermine compensation strategy.

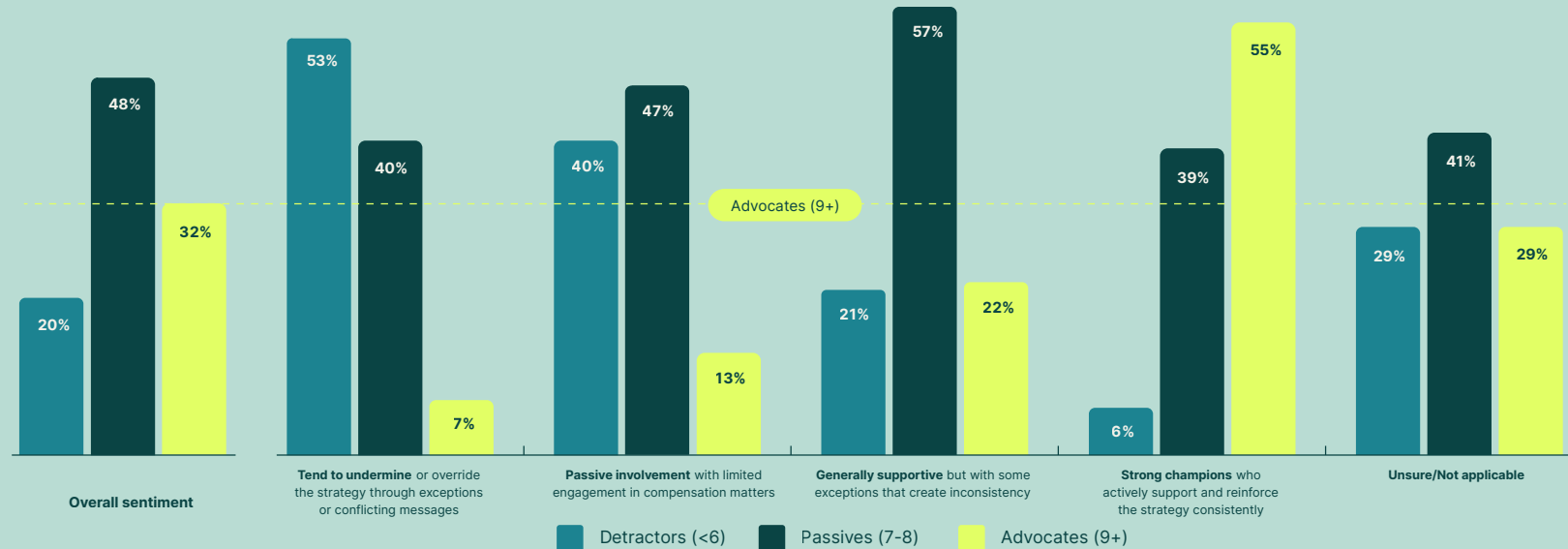
We see a connection between organizations whose executive leadership are strong champions of the compensation function and both reduced time-to-fill (open job positions) and voluntary turnover, suggesting that when executive leadership prioritizes compensation, it positively impacts talent attraction and retention. Strong champions were higher among Payscale customers (41%) and top performers (51%).

How would you describe your executive leadership's support for your compensation strategy?



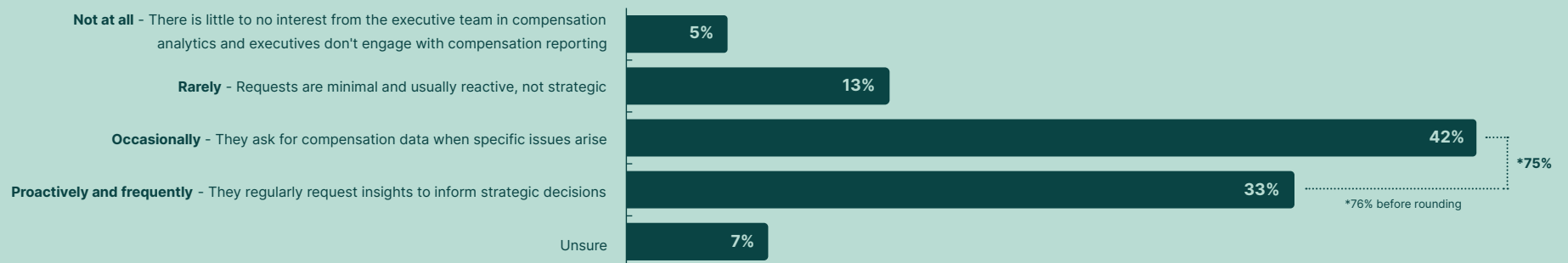
We also looked at how executive support of the compensation function impacts employee sentiment. Overall, we find that organizations who describe their executives as strong champions report considerably greater employee happiness and engagement.

#### How would you describe your executive leadership's support for your compensation strategy?



Support for the compensation strategy translates into engaged interest in compensation reporting and analytics, with 42% occasionally asking for data and 33% being proactively and frequently engaged. Once again, proactive and frequent engagement was higher for Payscale customers (44%) and top performers (47%).

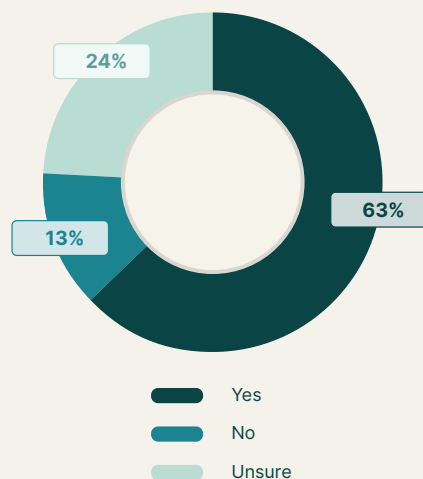
#### How actively is your executive team engaged in requesting compensation reporting and analytics?



## Return on investment (ROI)

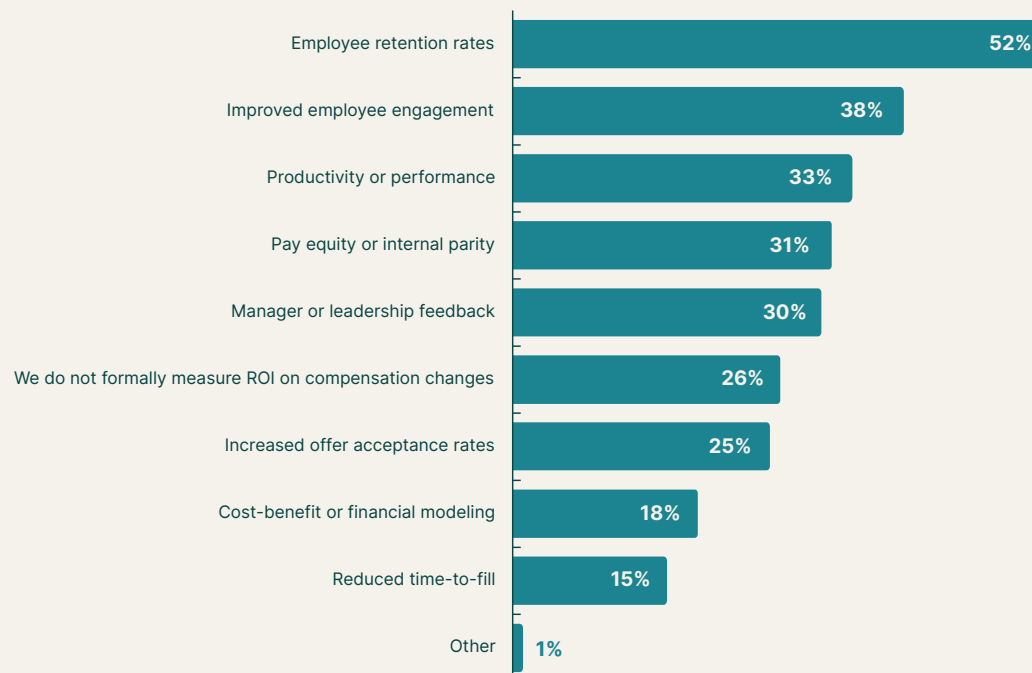
This year we asked concentrated questions on the ROI of compensation, with 63% of survey respondents saying they are confident that policies drive positive business outcomes such as retention, productivity, growth, and profits. This was higher for Payscale customers (73%) and top performers (78%).

**Are you confident that your compensation policies drive positive business outcomes?** (e.g., ROI, profit, growth, retention, productivity)



Specifically, organizations measure the ROI of compensation by measuring the change of HR and compensation metrics such as retention, engagement, accepted offers, pay equity, productivity, time-to-fill, feedback, and cost benefit modeling. The most popular metrics to measure are employee retention rates (52%) while the least popular are reduced time-to-fill (15%) which may be worth reconsideration in the current labor market.

### How does your organization measure the ROI of compensation changes? (Select all that apply)



**Calculate** the ROI

Learn how investment in compensation management software can drive measurable business results.

**Ask to talk to a representative**



→ [Jump links](#)

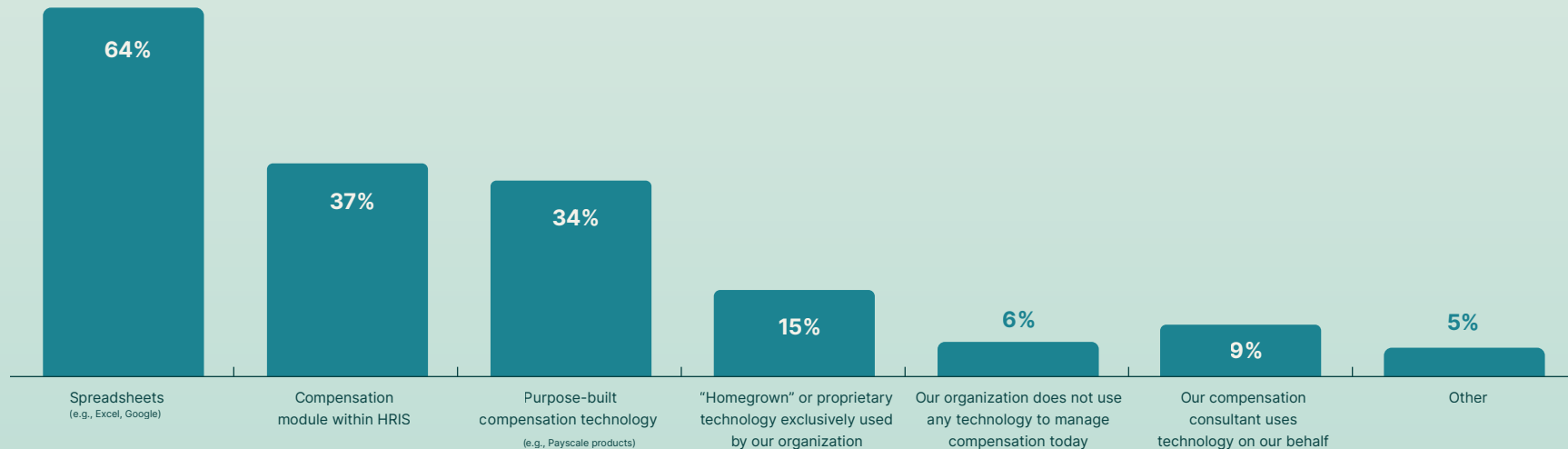
Impact of compensation technology on maturity

# Compensation software

Compensation software is technology that helps organizations plan, analyze, and administer employee pay, including salary offers, pay increases, and compliance.

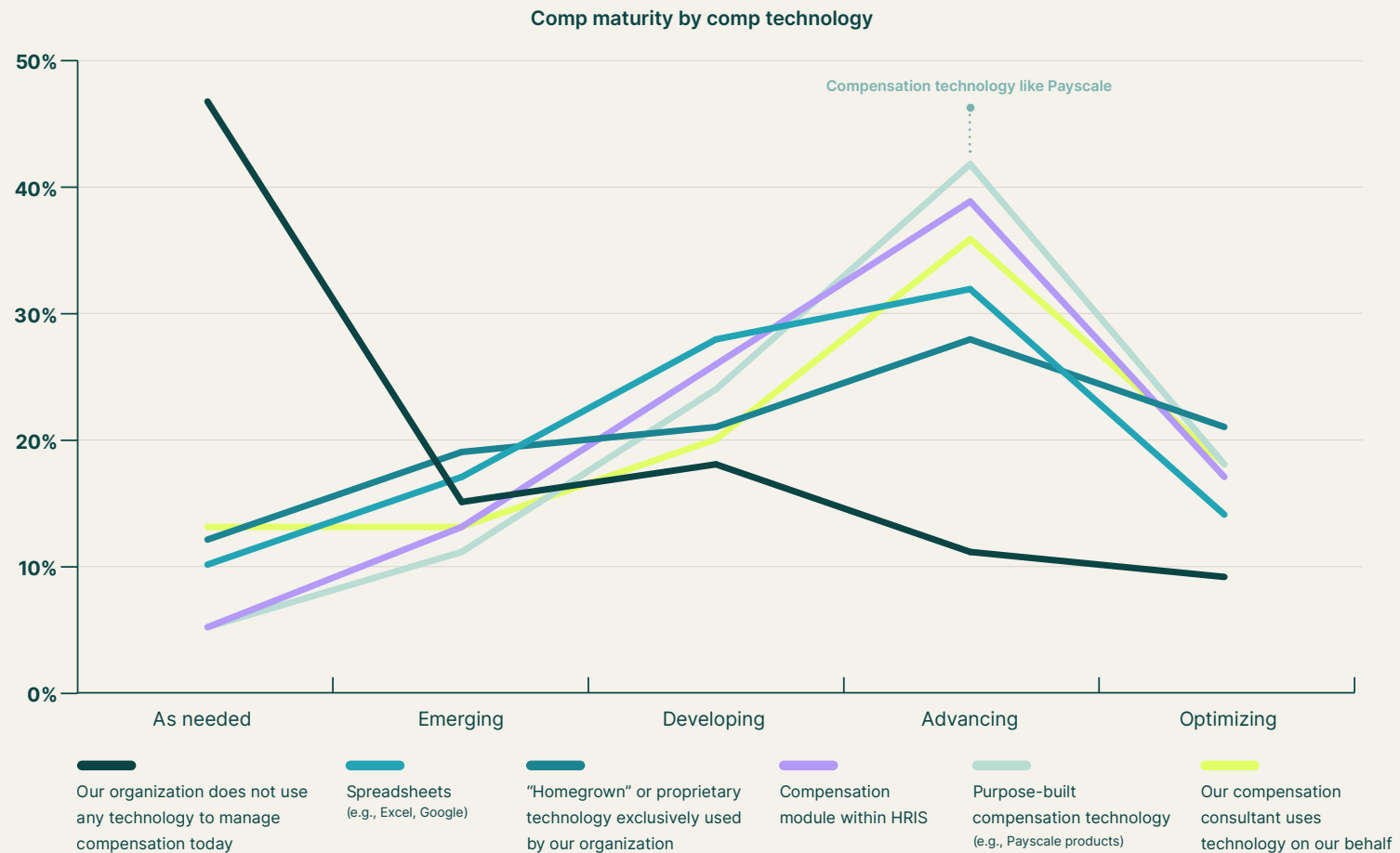
We asked our Payscale survey participants what technology they use to manage compensation, with the option to select multiple answers. The use of purpose-built compensation technology is up from last year, which marks a three-year streak, from 25% in 2024 to 30% in 2025 and now 34% in 2026.

**What technology does your organization use to manage compensation today?**  
(Select all that apply)



## Impact of compensation technology on maturity

We analyzed the relationship between compensation technology type and compensation maturity and found a correlation between the use of software and rising maturity levels. The strongest link is seen between purpose-built compensation software like Payscale and the Advancing and the Optimizing stages of the compensation maturity model, which has been true for three years running. Meanwhile, not using compensation technology appears to stymie progress in compensation maturity.



### What technology does your organization use to manage compensation today?

|                                                                            | As needed | Emerging | Developing | Advancing | Optimizing |
|----------------------------------------------------------------------------|-----------|----------|------------|-----------|------------|
| Our organization does not use any technology to manage compensation today  | 47%       | 15%      | 18%        | 11%       | 9%         |
| Spreadsheets                                                               | 10%       | 17%      | 28%        | 32%       | 14%        |
| "Homegrown" or proprietary technology exclusively used by our organization | 12%       | 19%      | 21%        | 28%       | 21%        |
| Compensation module within HRIS                                            | 5%        | 13%      | 26%        | 39%       | 17%        |
| Purpose-built compensation technology                                      | 5%        | 11%      | 24%        | 42%       | 18%        |
| Our compensation consultant uses technology on our behalf                  | 13%       | 13%      | 20%        | 36%       | 18%        |

## Move beyond compensation management to compensation intelligence

Discover how PayScale's AI-powered products turn trusted HR data into actionable insights for faster, fairer, and more defensible pay decisions.

[Explore PayScale products](#)

→ Jump links

Base pay increases

By size and industry

Factors

Confidence in pay increases

Operations

Performance

Pay compression

# Compensation planning

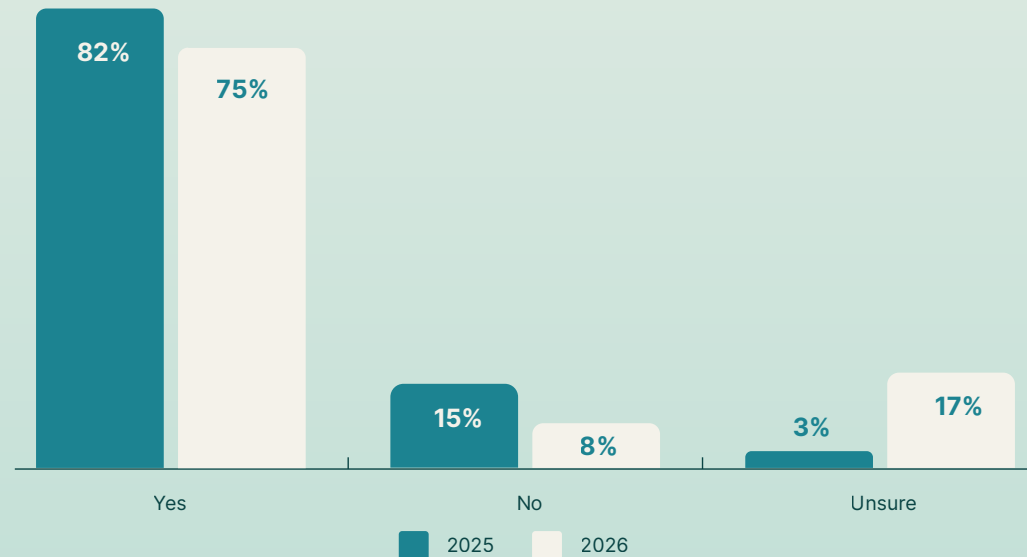
Compensation planning is the process of reviewing performance, budgets, and market data to decide how and when employee pay will be adjusted.

In 2025, pay increases remained moderate, shaped by a labor market with slower hiring and lower voluntary turnover. Although employers exercised fiscal discipline and aligned merit increases with budgets and strategic priorities, inflation has kept overall pay increases elevated above 3%.

## Base pay increases

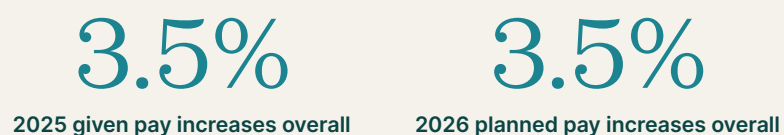
According to Payscale's survey, 75% of organizations are planning to give pay increases in 2026 while 17% are yet undecided. It's standard for the percentage of organizations giving pay increases to end up in the mid-80s, but this year we are seeing a higher percentage of organizations saying they are unsure when looking ahead.

Did/will your organization give base-pay increases?

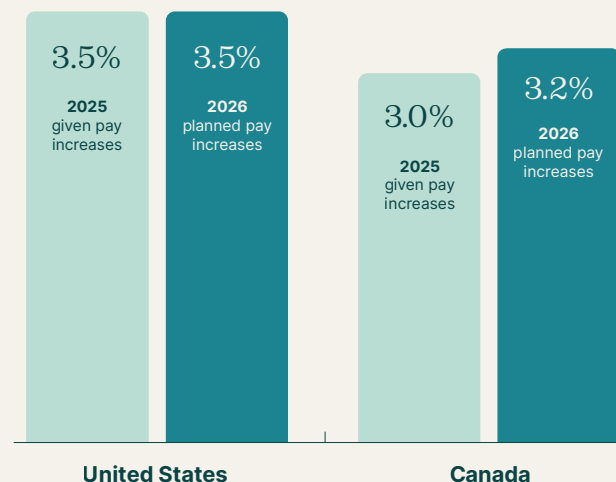


In 2026, U.S. employers are planning flat pay increases, with the median coming in at 3.5%. This is unchanged from [Payscale's Salary Budget Survey](#), which is fielded in the spring to inform budget planning over the summer for the next year. Pay increases are slightly lower for Canada.

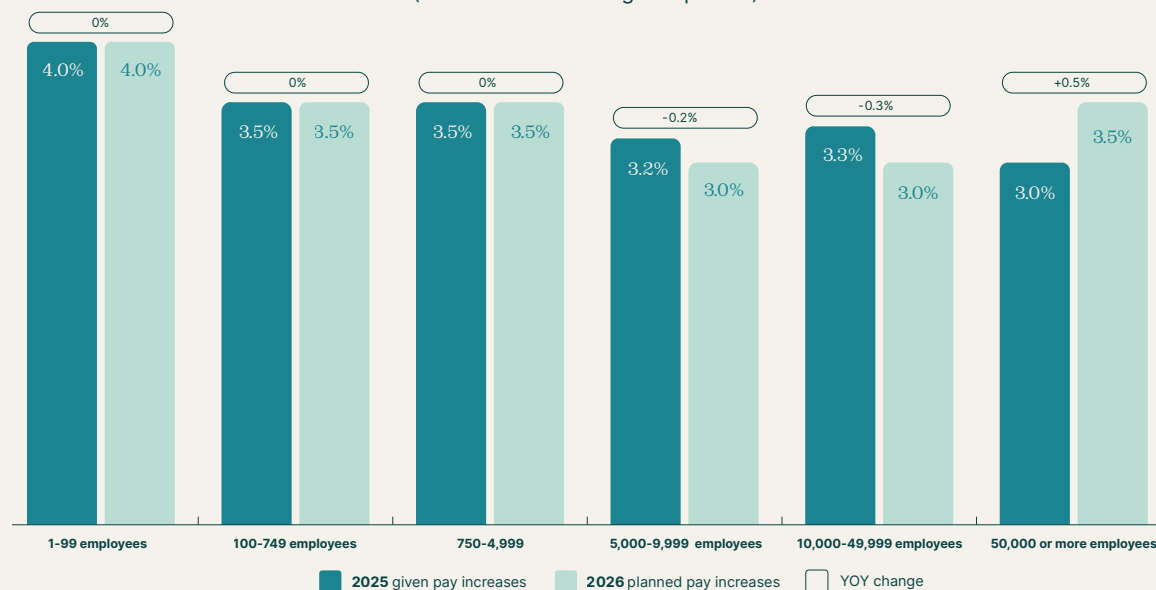
**Base-pay increases**  
(Median of the averages reported)



**Base-pay increases by location**  
(Median of the averages reported)



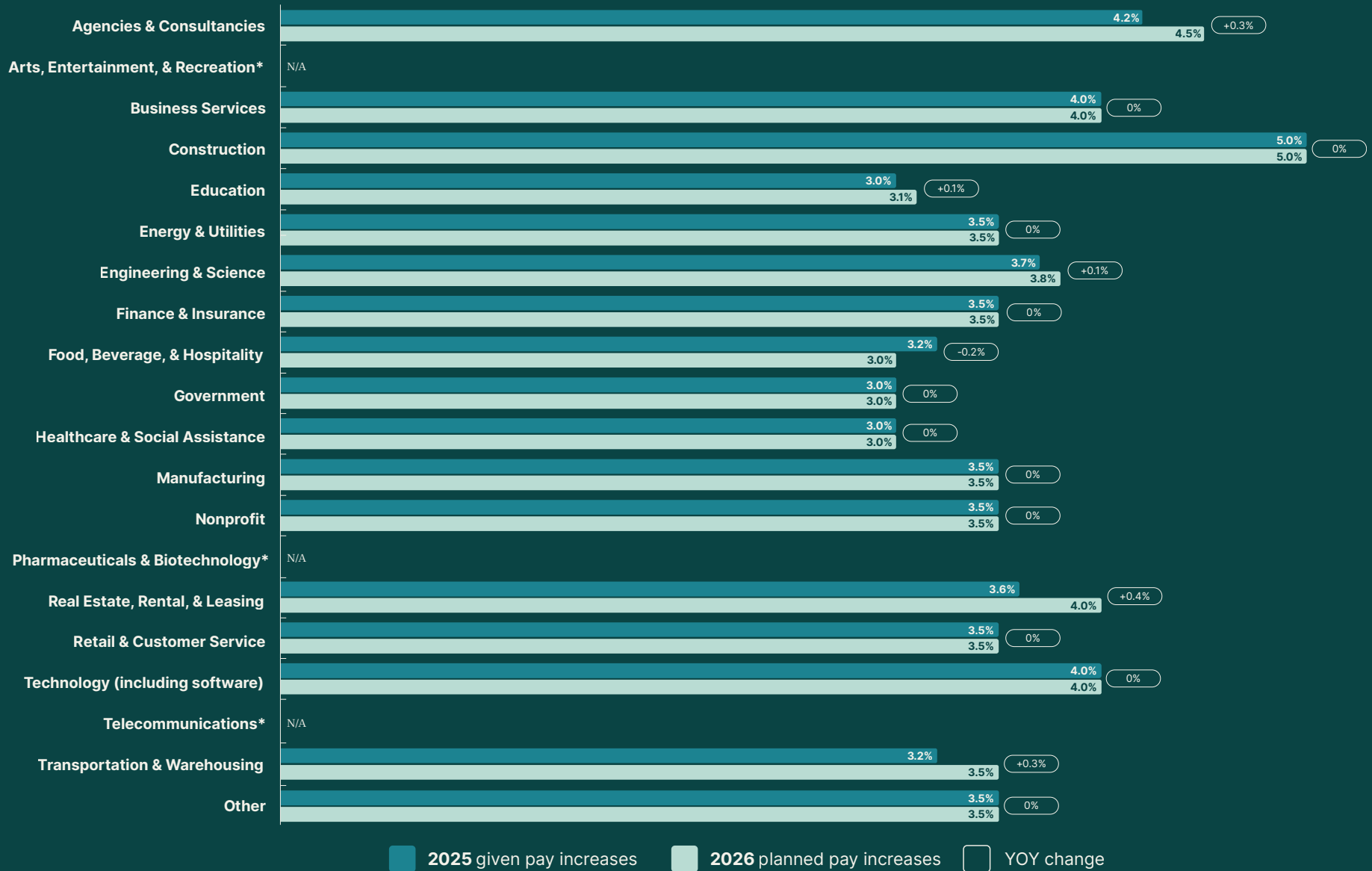
**Base-pay increases by org size**  
(Median of the averages reported)



## By size and industry

As is typically true, pay increases are higher for smaller organizations than larger ones. Overall, 2026 pay increases vary by industry, hitting 5% for Construction, which is likely driven by specialized segments and skill-intensive roles that are seeing stronger increases due to labor shortages, demand for infrastructure, and competition for skilled trades. We also see pay increases at 4% or higher planned for Agencies & Consultancies, Business Services, Real Estate, and Technology, with Engineering & Science close behind at 3.8%.

Base-pay increases by industry  
(Median of the averages reported)

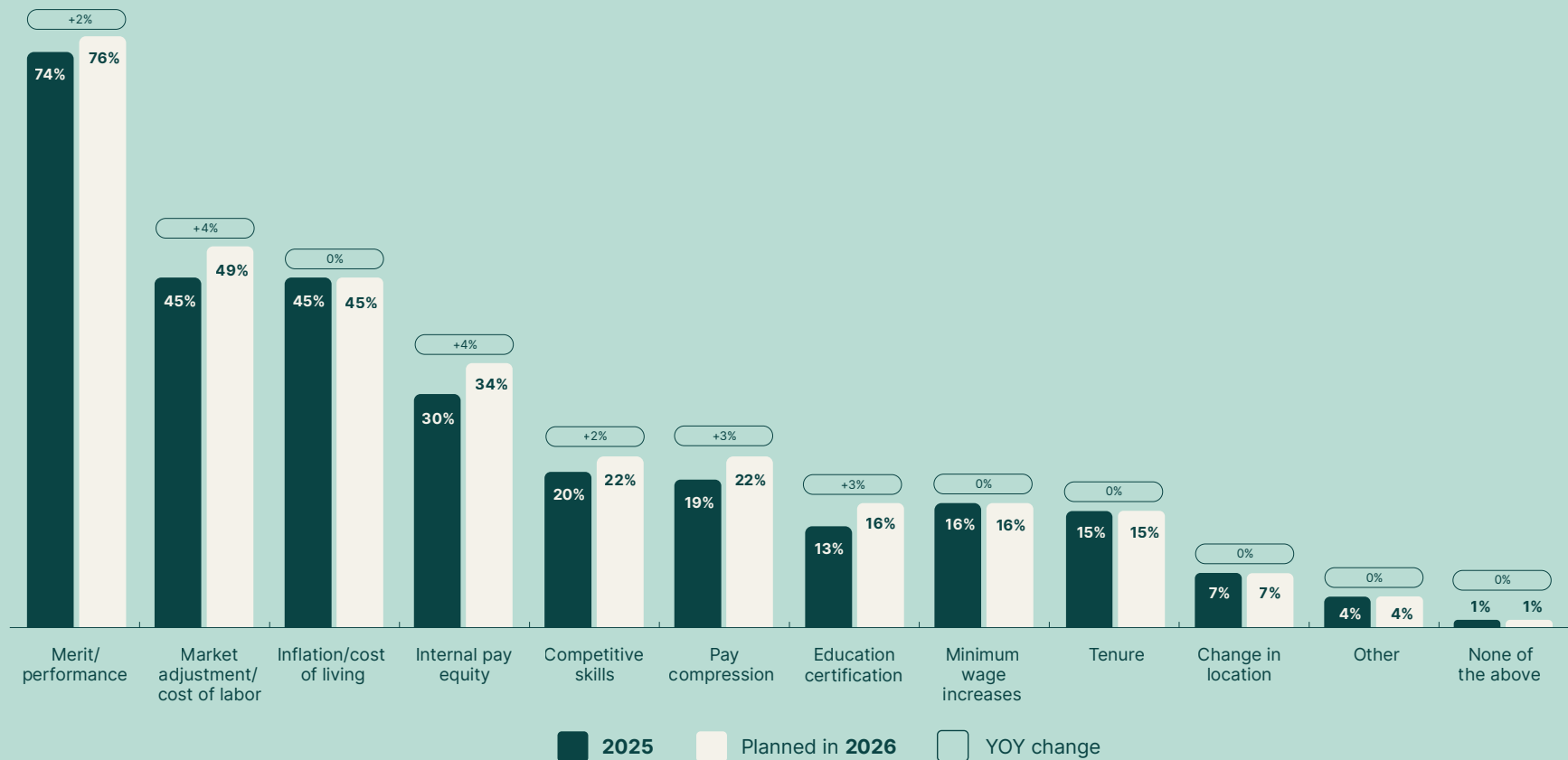


## Factors

Most organizations distinguish between merit increases (based on performance) and total increases, with merit increases being slightly below total increases. However, what goes into total increases depends on talent strategy.

According to our survey, 76% of organizations plan on giving merit/performance increases, which is comparable to last year. The next largest category is market adjustments (49%), at slightly below half of survey participants, followed by inflation (45%).

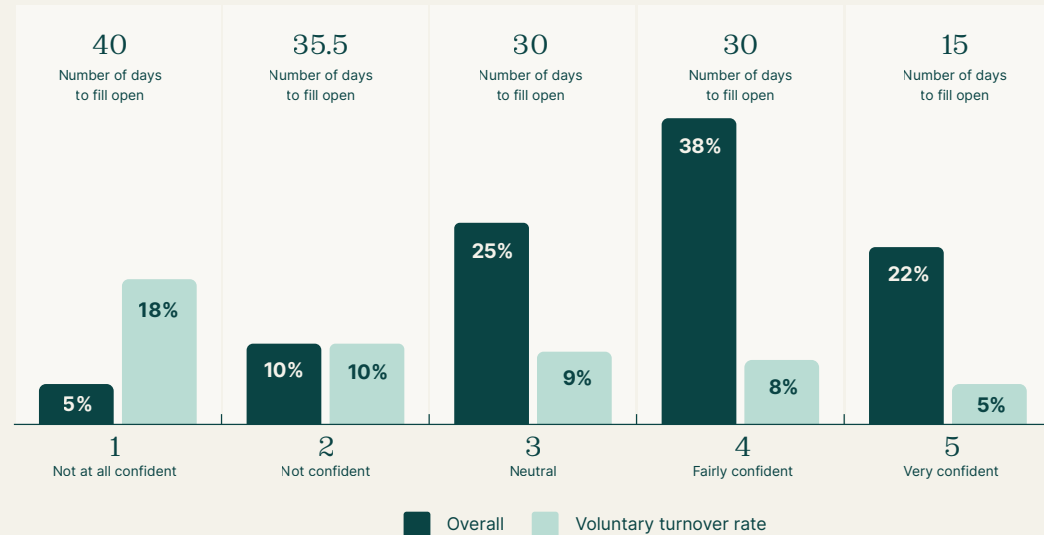
Which of the following were factored into base-pay increases? (Select all that apply)



## Confidence in pay increases

Most organizations (60%) are either fairly confident or very confident that their pay increases are competitive for retaining and engaging talent, which is unchanged from last year. Voluntary turnover rates drop for organizations that are confident in pay increases, as does time to fill open roles. Confidence in pay increases rises to 70% for Payscale customers and to 76% for top performers.

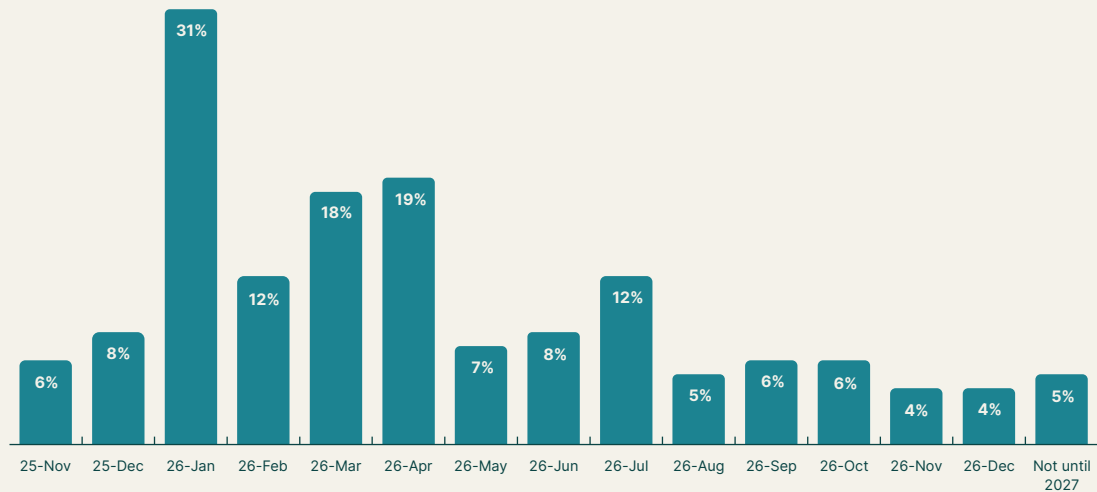
How confident are you that your organization's pay increases are competitive for retaining and engaging talent?



## Operations

Pay increases typically happen at the beginning of the fiscal year to reward performance in the previous year, but the timing for when employees see the difference in their paycheck can vary. According to our survey, most employees receive their pay increase in January (31%), with 61% seeing pay increases in the first quarter of the calendar year. While the percentage varies by industry, the only industry with a significantly different process is Education, which gives more pay increases in July in alignment with the academic calendar.

When will 2026 base-pay increases (adjustments for the 2025 merit year) become effective for employees in your organization? (Select all that apply)

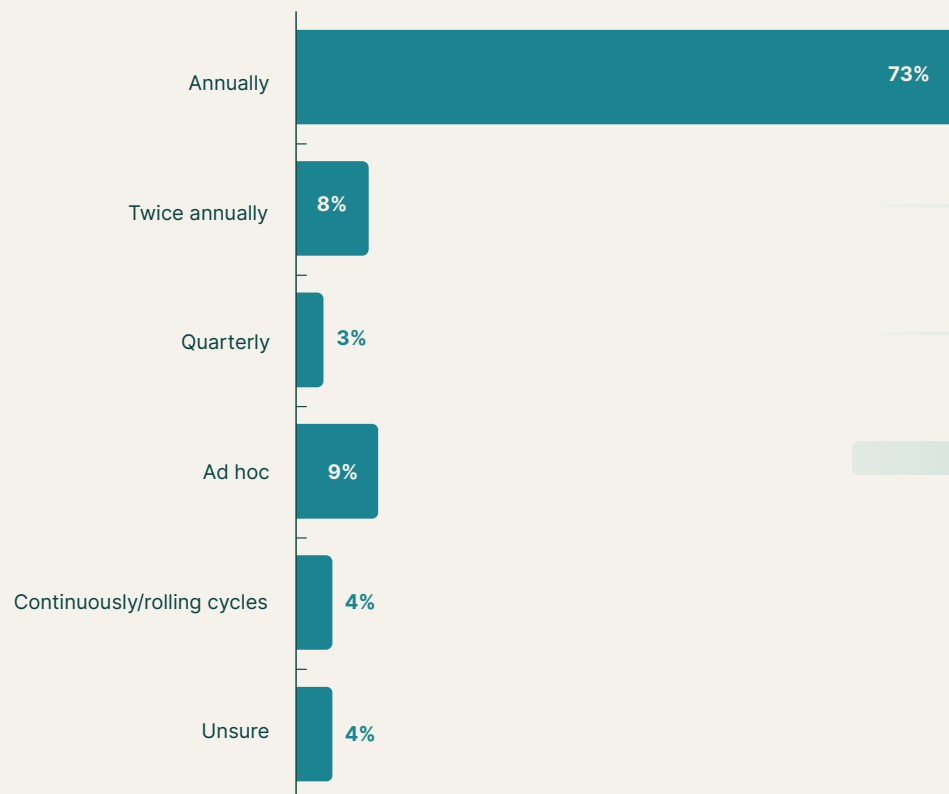




## Frequency of pay increases

Most organizations give pay increases annually (73%), but some organizations give pay increases more frequently, more for Payscale Customers (10% twice annually and 5% quarterly) as well as top performers (11% and 6% respectively). Frequent pay increases are a more common strategy for retention when the labor market is fast-moving and for organizations that want to be more proactive in managing internal equity and protecting governance on their pay structures.

How often does your organization formally give pay increases?



## Performance

This year, Payscale asked survey participants how their organization connects performance assessments to compensation. The most common methodology is to tie performance to base pay increases as part of compensation planning (57%). A smaller percentage of organizations also use performance ratings for promotions (33%) or for variable pay (27%). However, 18% of organizations do not reward performance at all.

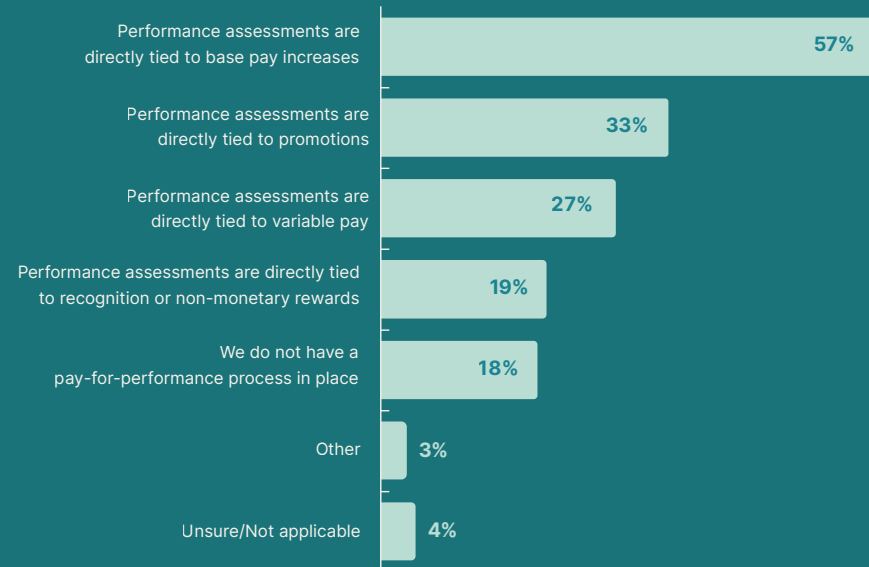
In our Compensation Best Practices Survey, Payscale asked organizations if they are considering across-the-board pay increases in lieu of merit increases, sometimes called “peanut butter increases.”

We asked this because tying merit pay increases to performance ratings has come under criticism in recent years for being too subjective and prone to bias. At the same time, some large organizations have made headlines by electing to standardize pay increases to alleviate administrative burden and reward workers equally, especially low wage workers where inflation is a big concern. This can also be an attractive approach for organizations where resources are strained and pay budgets are under pressure.

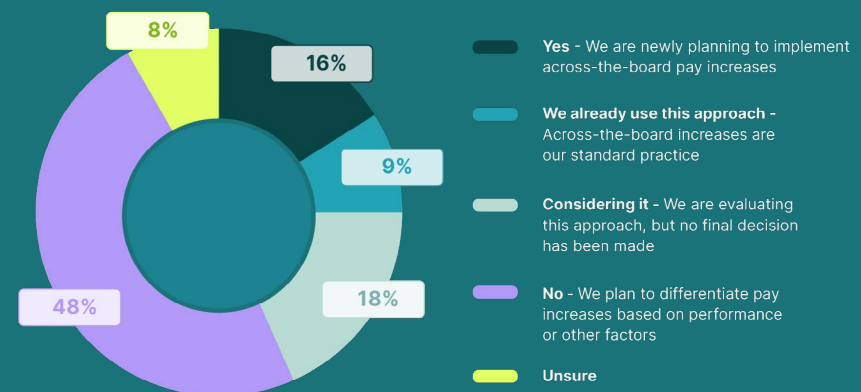
We found that about half of organizations (48%) plan to continue to differentiate pay increases based on performance. However, 18% are considering across-the-board increases, 16% say they are newly implementing it, and 9% say they already do.

More Payscale customers (23%) and top performers (31%) said they are newly implementing across-the-board pay increases in 2026. This approach was more common in Arts, Entertainment, & Recreation (17%); Construction (34%); Education (19%); Energy & Utilities (17%); Government (21%); Healthcare (21%); Retail (17%); and Technology (17%). It was most common in organizations with between 5,000 and 10,000 employees (26%).

### How does your organization connect performance assessments (e.g., ratings) to compensation or rewards? (Select all that apply)



### Is your organization considering a standard, across-the-board pay increase in 2026 (i.e., all employees receive the same increase, regardless of performance)?

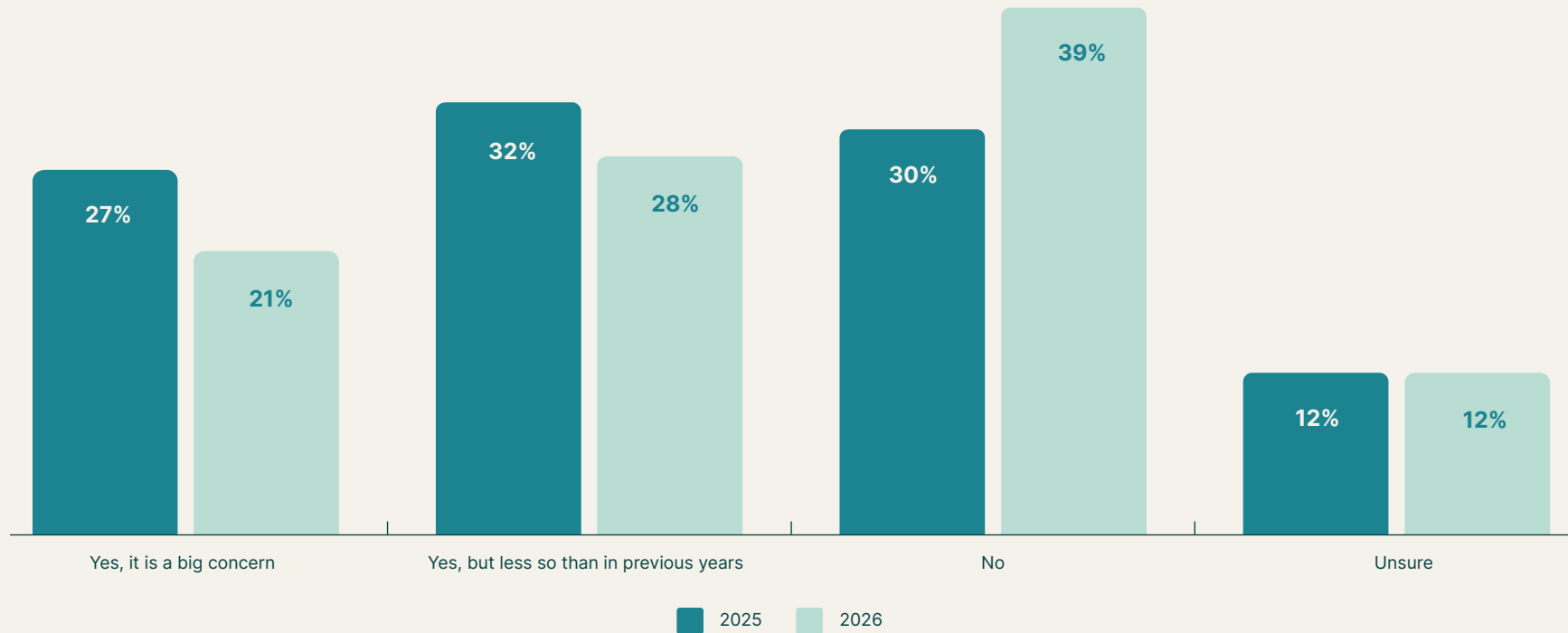


## Pay compression

Pay compression occurs when the pay of one or more employees is very close to the pay of more experienced employees with the same job. Pay compression is common in competitive labor markets when new talent is hired at higher salaries than more tenured talent, especially for highly skilled talent in certain sectors. It can also occur when the minimum wage is increased, especially for organizations with a high percentage of low-wage workers.

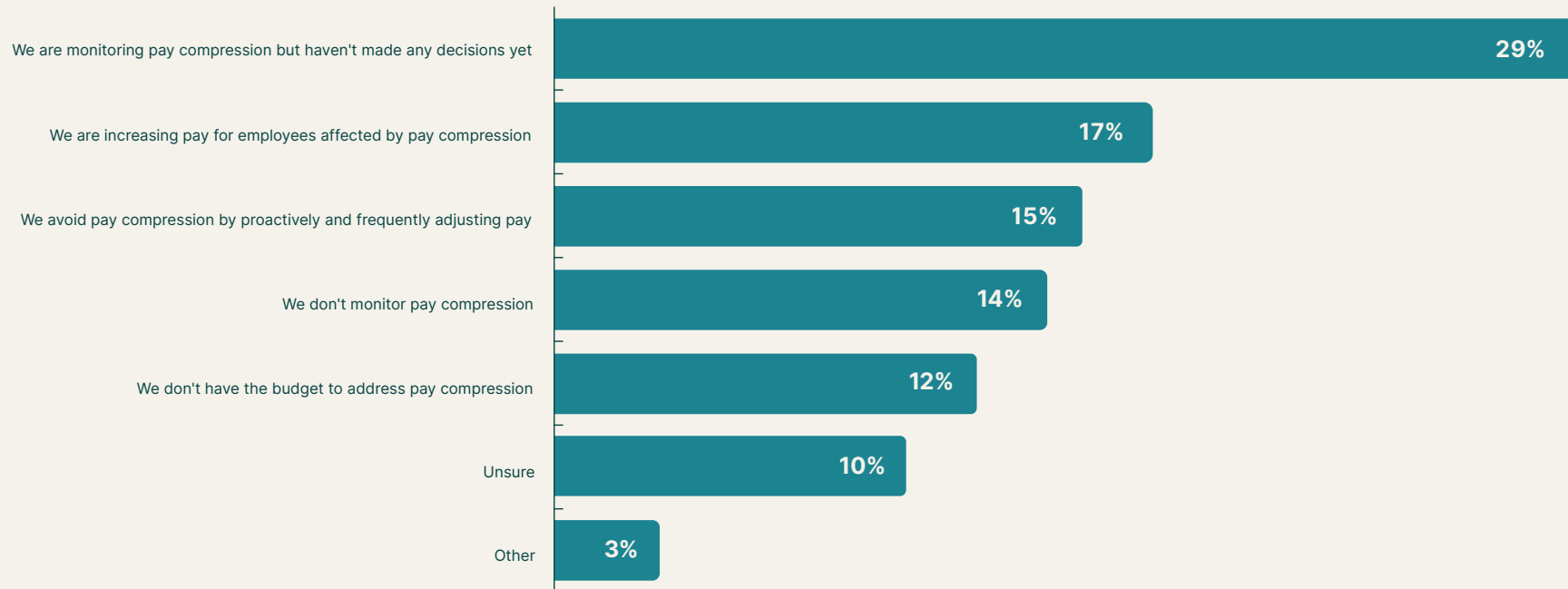
Pay compression has been dropping in concern year over year as the labor market cools, but a fifth of organizations (21%) still say it is a big concern. This year, we also asked organizations to tell us what difference in pay they target between career levels. The median is 10%.

Is pay compression a concern for your organization?



Only a minority of organizations (32%) do anything to address pay compression, with 15% saying they avoid pay compression by proactively and frequently adjusting pay and 17% saying they increase pay for affected employees, which is less than last year (24%) despite pay adjustments for compression being a best practice to retain and engage talent.

#### What are you doing to address pay compression?



Smarter compensation planning starts with Payscale.

Learn how Paycycle from Payscale can help you manage pay increases efficiently while helping support internal equity goals.

[Request a demo](#)

# Salary data

Market data is compensation information collected from external sources that shows what other organizations pay for similar jobs, used to set competitive and fair pay levels.

Modern compensation management is informed by market data, but organizations may use a variety of different salary data sources, ranging from traditional surveys to actual employee salary data available through compensation software. According to our survey, the median number of data sources used in market pricing is three. This rises to four for Payscale customers and larger organizations with 5,000 or more employees.

How many total specific data sources do you use in market pricing?

3

Median number of data sources

## Types of salary data

Each year, we ask what salary data sources employers use as well as how much they trust those sources. Salary data can be gathered from multiple places, from internet searches and ChatGPT to using HR-reported salary data in traditional surveys from consultancies to more modern approaches within compensation technology like HR aggregated market data and Peer.

In our survey, we ask participants to categorize the market data sources they use and trust. The actual survey question included the following detailed information:

### Free sources

Free or open online data (e.g., Google, ChatGPT, Glassdoor)

### Salary surveys

Salary survey data from traditional publishers (e.g., Mercer, Radford, etc.)

### HR-reported aggregate market data (e.g., HRMA)

HR-reported aggregate market data in compensation software (e.g., HR Market Analysis from Payscale, CompAnalyst from Salary.com, etc.)

### Closed network HR-reported salary data (e.g., Peer)

Closed network HR-reported salary data (e.g., Payscale Peer, Pulse, employers' association surveys or "club surveys")

### Trade surveys (e.g. CUPA)

Trade/industry association surveys (e.g., AICPA, CUPA, etc.)

### Government data (e.g., BLS)

Government data (e.g., BLS, ONS state or municipal sources, etc.)

### Employee records

Historical salary data from employee records

### Compensation consultants

Compensation consultants

### Job postings data (e.g., Lightcast)

Salary data from job board postings (e.g., Indeed, ZipRecruiter, Lightcast, Squirrel, etc.)

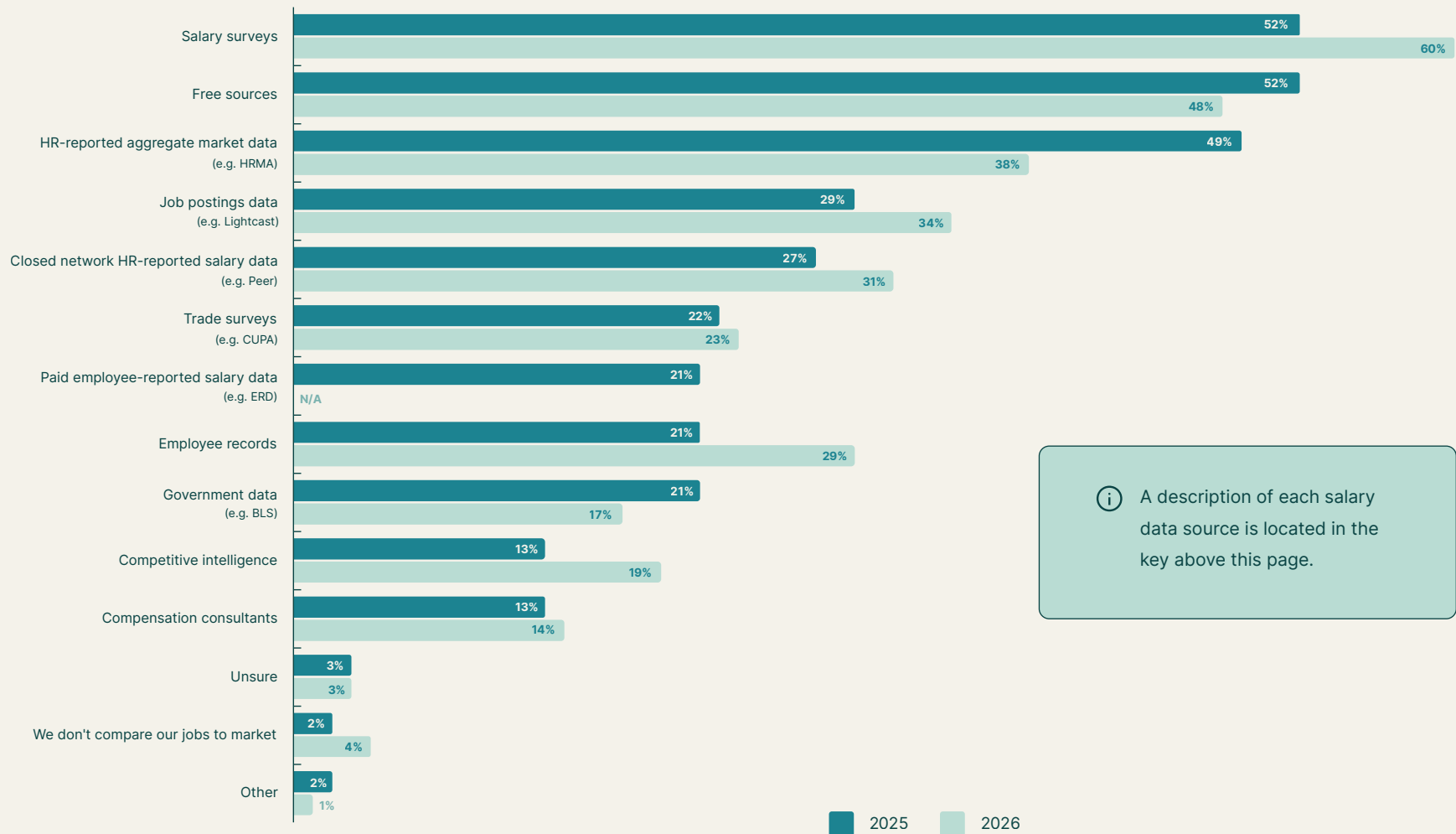
### Competitive intelligence

Personalized competitive intelligence, including talking to candidates or recruiters

## Use of types of salary sources

According to our survey, salary surveys (60%) and free sources (48%) are the most common while job postings data, (e.g. Lightcast), and Peer (closed-network) are on the rise. This year, free data sources have fallen in popular use.

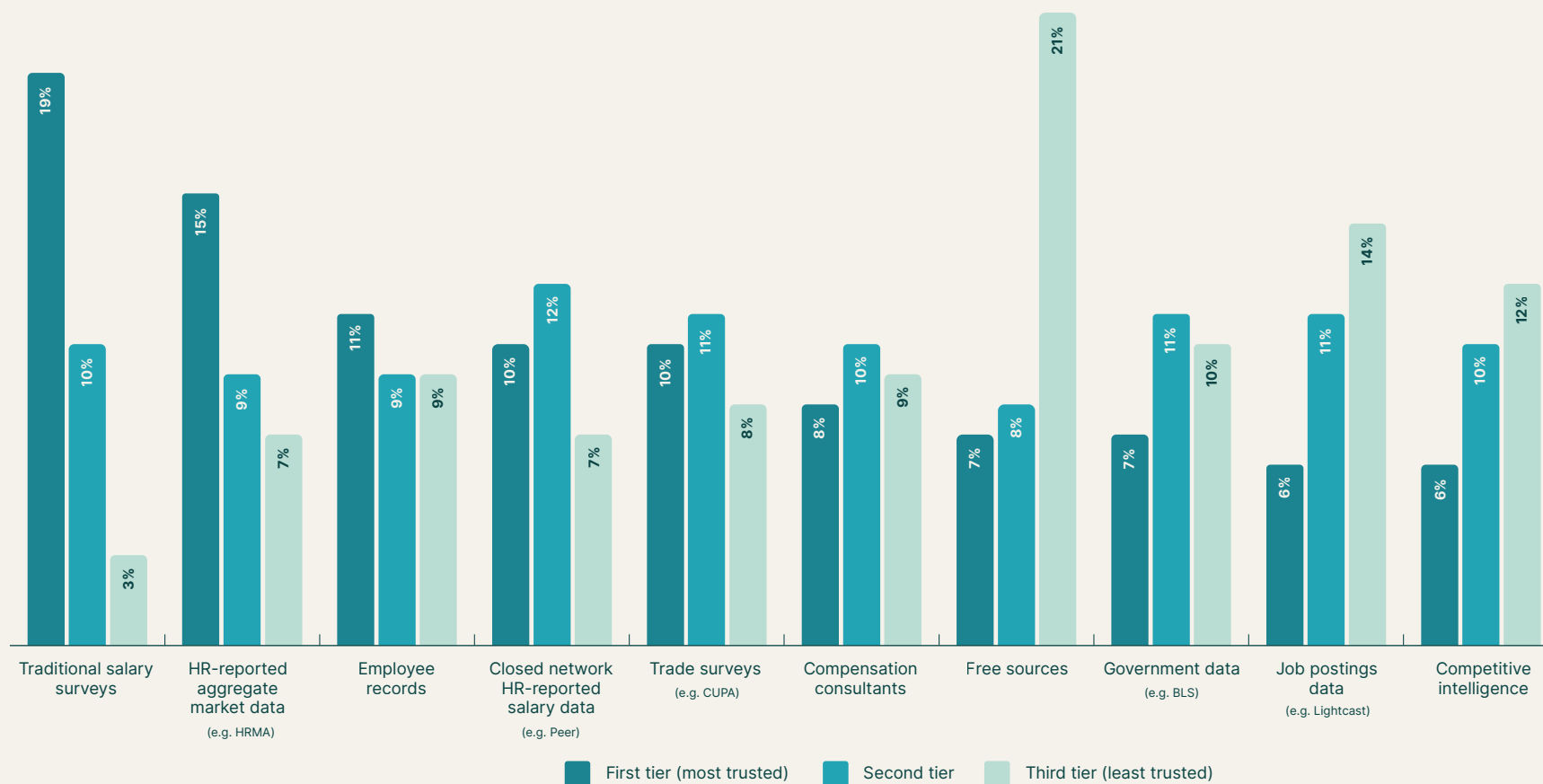
Which sources do you use to obtain market data? (Select all that apply)



## Trust in types of salary sources

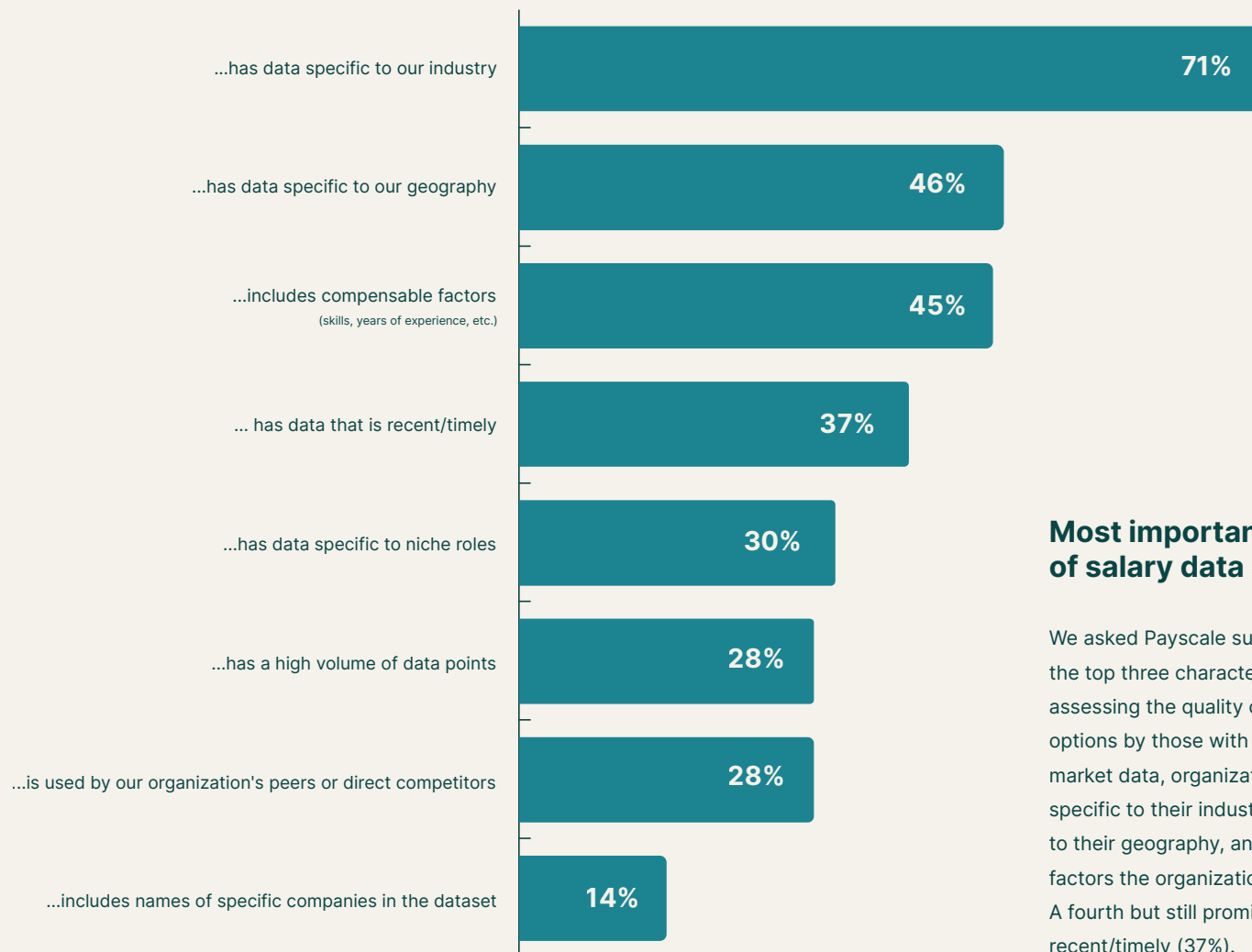
In our survey, we also ask participants to categorize salary sources into three tiers based on trust. Overall, organizations continue to trust traditional survey data from third-party publishers the most (19%). However, HR-reported aggregate market data (e.g., HRMA from Payscale) and closed-network HR-reported salary data (e.g., Peer from Payscale) are becoming contenders as technology evolves. The least-trusted data sources continue to be free or open online data.

Rank sources by how much you trust and rely on them for accuracy in market pricing





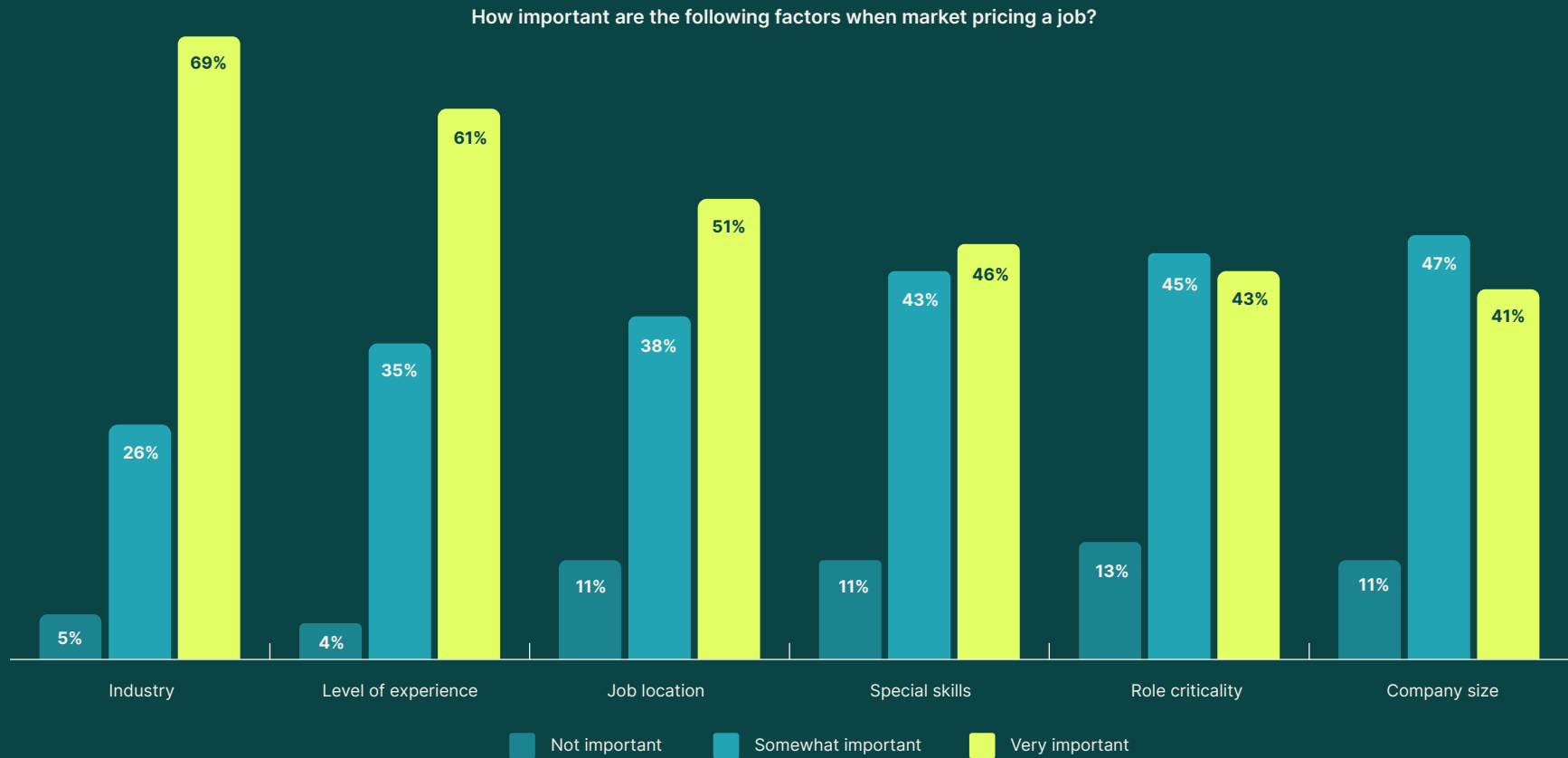
For your organization, what are the three most important characteristics for assessing the quality of a salary data source? (Select three)



### Most important characteristics of salary data sources

We asked Payscale survey participants to choose the top three characteristics important to them when assessing the quality of data sources and ranked the options by those with the most votes. When evaluating market data, organizations are most interested in data specific to their industry, followed by data specific to their geography, and lastly with the compensable factors the organization uses to apply differentials. A fourth but still prominent contender is data that is recent/timely (37%).

For more detailed insight, we asked organizations to tell us the importance of each type of salary data characteristic. Unsurprisingly, industry is regarded as very important by 69% of organizations, but so is level of experience (61%) and job location (51%). No characteristics were regarded as unimportant except by a very small minority of survey participants.





# Make smarter compensation decisions with **Payscale intelligence**

**Bridging the gap between trusted survey methodology and the pace of modern business.**

The Payscale data ecosystem consists of proprietary and third-party data sources that fuel compensation intelligence. At the core sits HR-sourced, survey-grade validated, regularly refreshed data, which is then AI-enhanced to augment coverage and applicability. Always fresh, Payscale's compensation intelligence enables confident and aligned decision-making across the organization.

## Explore data products from Payscale

Payscale is one of the world's leading data providers, delivering high-quality data you can trust by prioritizing timeliness, transparency, coverage, and diversity.

[Learn more](#)



### **Trusted sourcing**

Data drawn from transparent, defensible sources, with clear lineage and methodology behind every insight.



### **Comprehensive coverage**

Broad and representative data coverage that supports confident, well-informed pay decisions.



### **Continuously refreshed**

Data updated on defined cadences to reflect changes in the labor market over time.



### **Integrated and unified**

A unified data foundation designed to support compensation workflows and maintain consistency across systems.

**9.9 million**  
incumbents

**7,500**  
jobs available

→ Jump links

Job descriptions

Job architecture

# Job management

Job management is the process of defining, organizing, and maintaining jobs so work responsibilities and pay are clear and consistent across an organization.

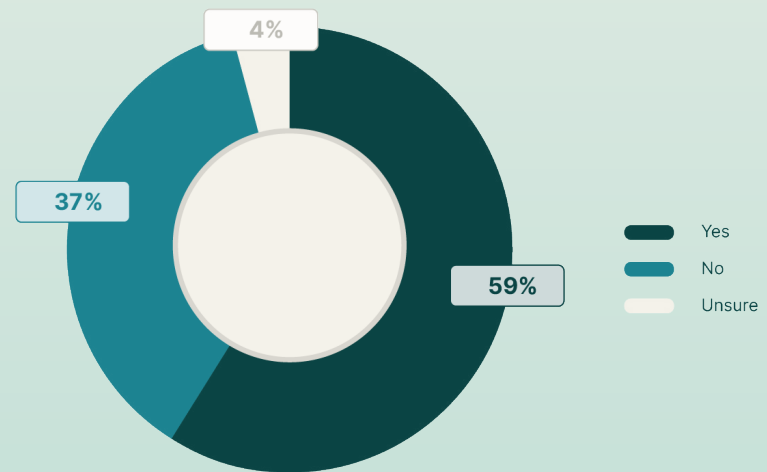
## Job descriptions

Job descriptions are written documents that clearly outline a job's key responsibilities, required skills, education, and reporting relationships, providing a reference for employees, managers, and HR processes.

Job descriptions are a foundational element of compensation management and pay transparency. In 2026, 59% of organizations say they have a centralized system of creating, approving, and maintaining job descriptions, which is a drop from last year (64%) but still an increase from the year before (57%). This is higher for Payscale customers and top performers (68%). It also increases with organizational size, to 73% for organizations with 50,000 or more employees.

Drivers for the adoption of centralized job description management include compliance with pay transparency legislation and interest in AI functionality to make job description creation, job evaluation, and benchmarking more standardized and efficient.

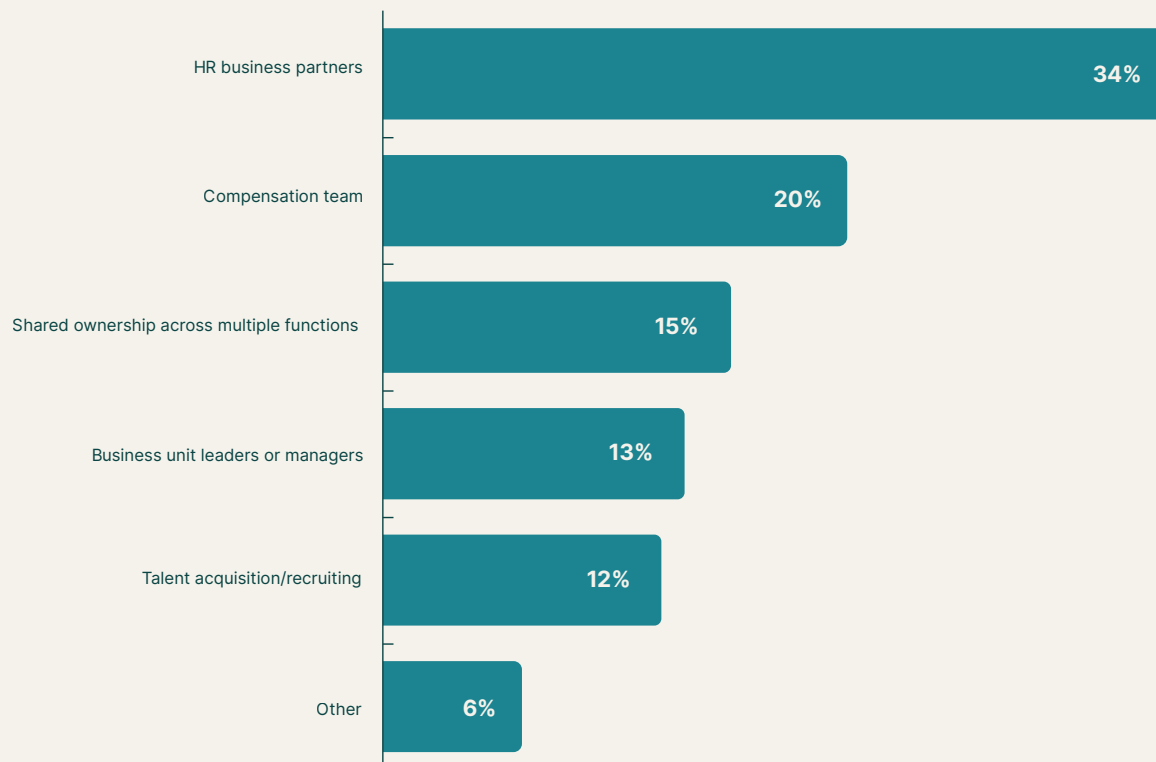
Do you have a centralized management system for creating, approving, and maintaining job descriptions?





When it comes to who primarily owns and manages job descriptions, 34% of organizations rely on HR Business Partners (HRBPs) while 20% cite the compensation team. Organizations with 50,000 or more employees cite sharing ownership across multiple functions (25%) while more top performers cite the compensation team (22%) compared to non-top performers (14%).

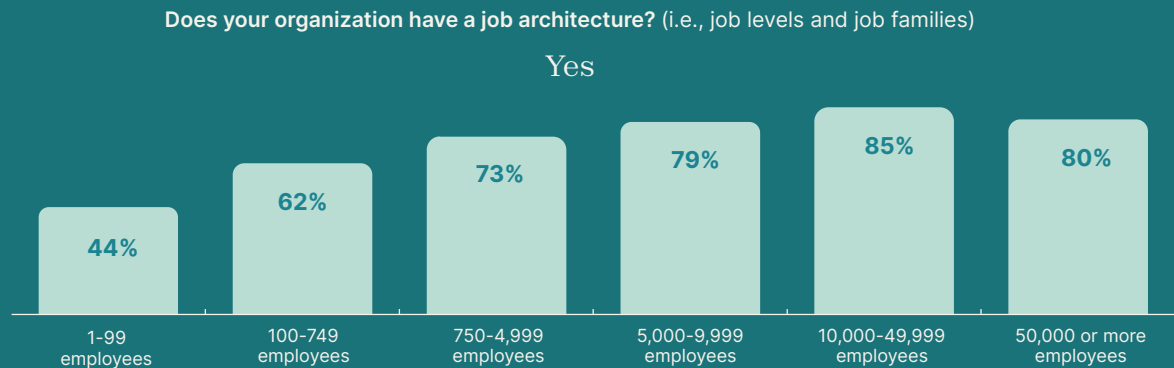
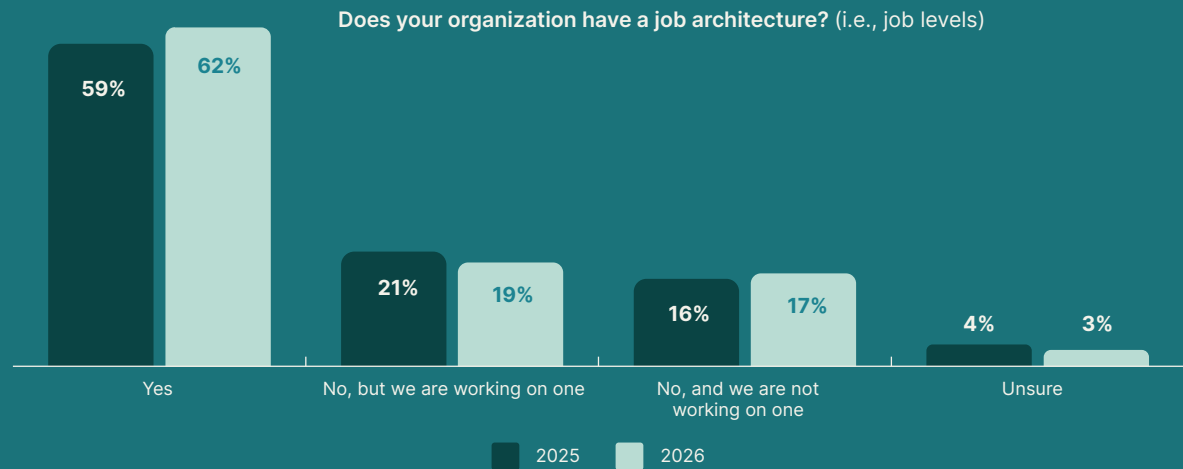
#### Who primarily owns and manages the job description process in your organization?



## Job architecture

Job architecture is the structured framework that defines and organizes all jobs within an organization, including job families, levels, responsibilities, and career paths. Having a job architecture is essential to being able to equitably manage pay and career pathing.

The percentage of organizations that have invested in job architecture increased this year (62%) compared to last year (59%), which has been a long time coming. Having a job architecture is much more common for organizations with a mature approach to compensation (76%). It also increases dramatically with company size.



## Understand workforce health at a glance.

With Payscale, compensation is no longer just about making salary offers and managing pay increases. Turn salary data and employee management metrics into intelligence that will inform job creation, align rewards to skills, and supercharge your talent strategy.

[Request a demo](#)

→ [Jump links](#)

[Market pricing strategy](#)

[Aging data](#)

[Confidence in market pricing](#)

# Benchmarking

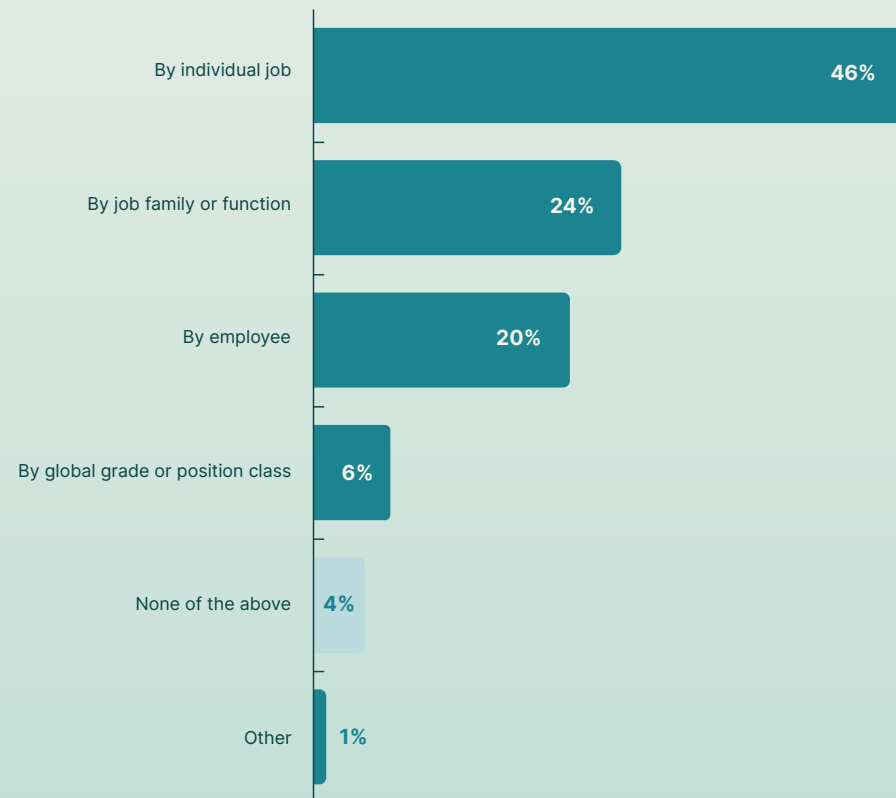
Benchmarking is the practice of comparing job descriptions to market data to inform pay decisions and ensure competitiveness and fairness.

Organizations can use a variety of methodologies to benchmark jobs. For example, organizations may benchmark to the external market, to internal positions, or use a hybrid approach. They may also use job evaluation frameworks (e.g., point-factor, ranking, or classification systems) to assign relative value to roles and guide pay decisions.

Some organizations use a skills-based methodology, which involves assessing roles based on the skills, competencies, certifications, and experience required more than the job title, which is aided by modern compensation software to instantly analyze jobs across the market. This can be particularly effective for fast-moving jobs with emerging technical skills where market survey data may be sparse or traditional job structures don't capture the true value of the work.

According to PayScale's Compensation Best Practices Report, nearly half of organizations benchmark by individual job (46%), while some take an approach of benchmarking roles to specific employees (20%) or by job family or function (24%).

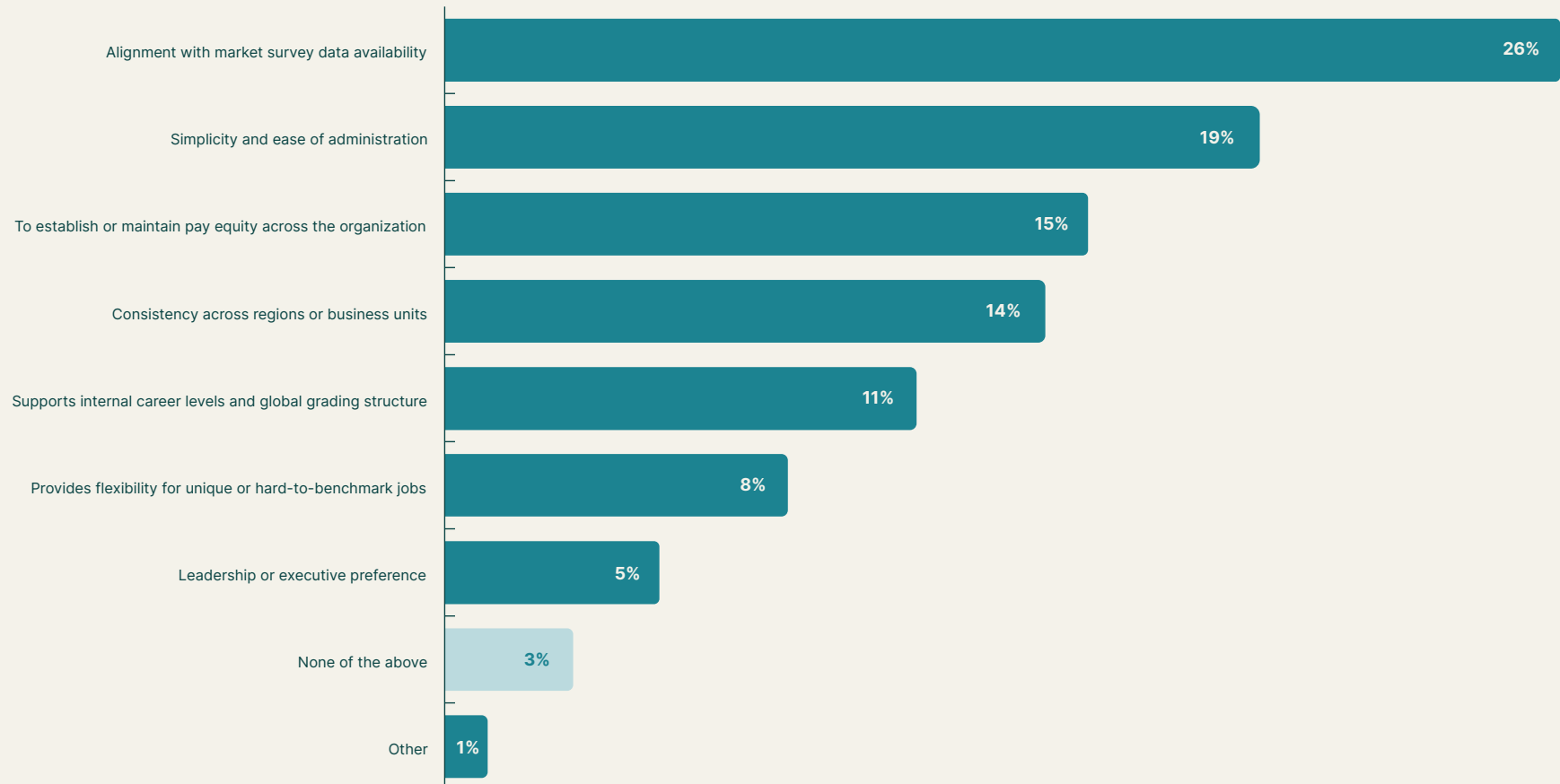
How does your compensation team primarily benchmark roles within your organization?



## Rationale for benchmarking approach

When it comes to what drives the benchmarking approach, the most popular option is to align with market survey data availability (26%) while 19% cite simplicity and ease of administration.

What is the primary reason your organization uses this benchmarking approach?





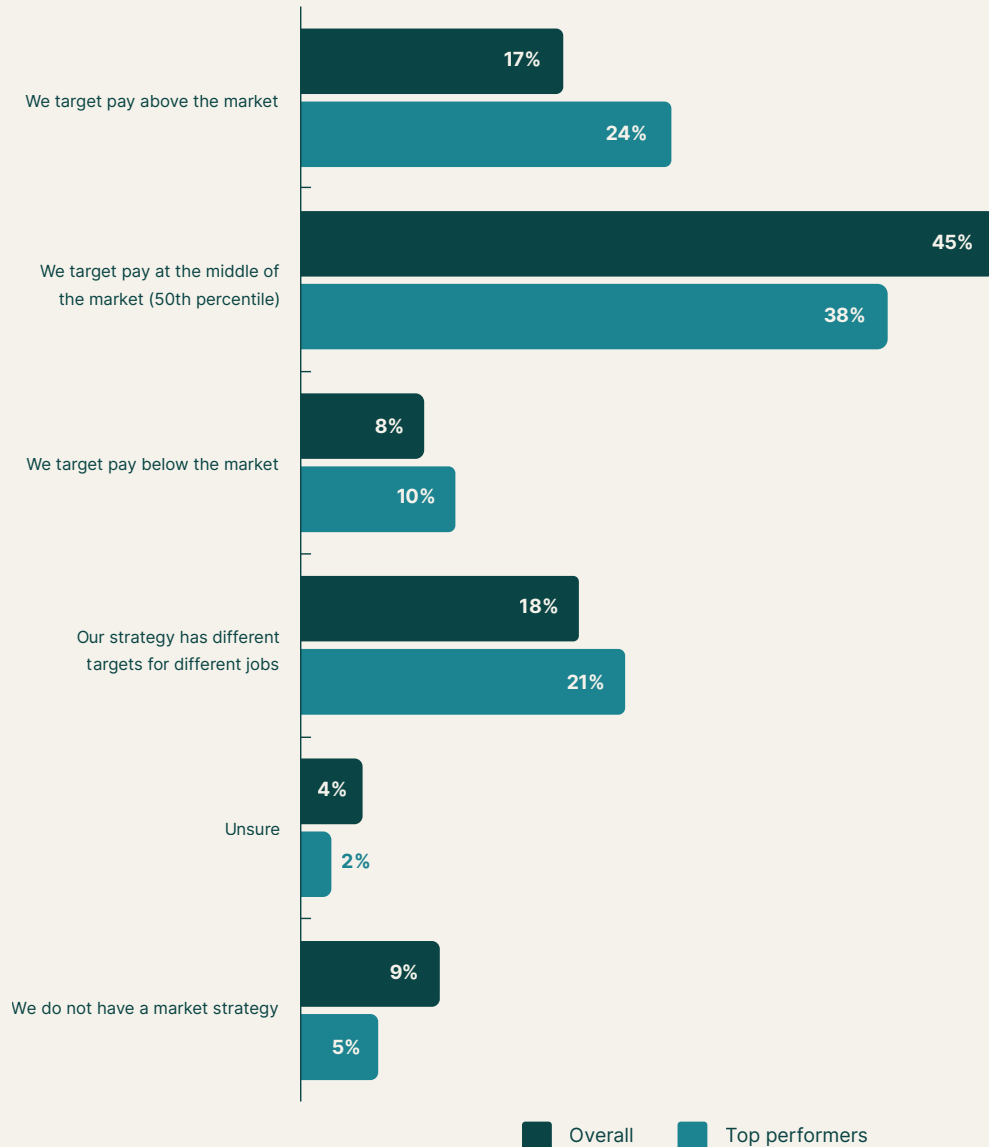
## Market pricing strategy

Organizations are split on how they compete for talent. A little less than half of organizations (45%) pay at the middle of the market (50th percentile) while those that pay above market sit at 17%. Organizations paying above market are more likely to be very small (20% of organizations with 1-99 employees) or very large organizations (27% of organizations with more than 50,000 employees).

By industry, organizations paying above market are more likely to be in Business Services (21%), Construction (21%), Energy & Utilities (21%), Engineering & Science (25%), Real Estate (24%), Retail & Customer Service (25%), or Technology (24%).

The percentage of organizations paying below market is 8%, which has decreased from last year when it was 13%. However, the year before it was 7%. Organizations that pay below market are more likely to say they are experiencing talent loss due to the perception of unfair pay practices (16%). They are more likely to be in the industries of Agencies & Consultancies (11%), Business Services (12%), Education (16%), Nonprofit (15%), and Retail & Customer Service (11%).

Which of the following best describes your organization's market strategy in 2026?

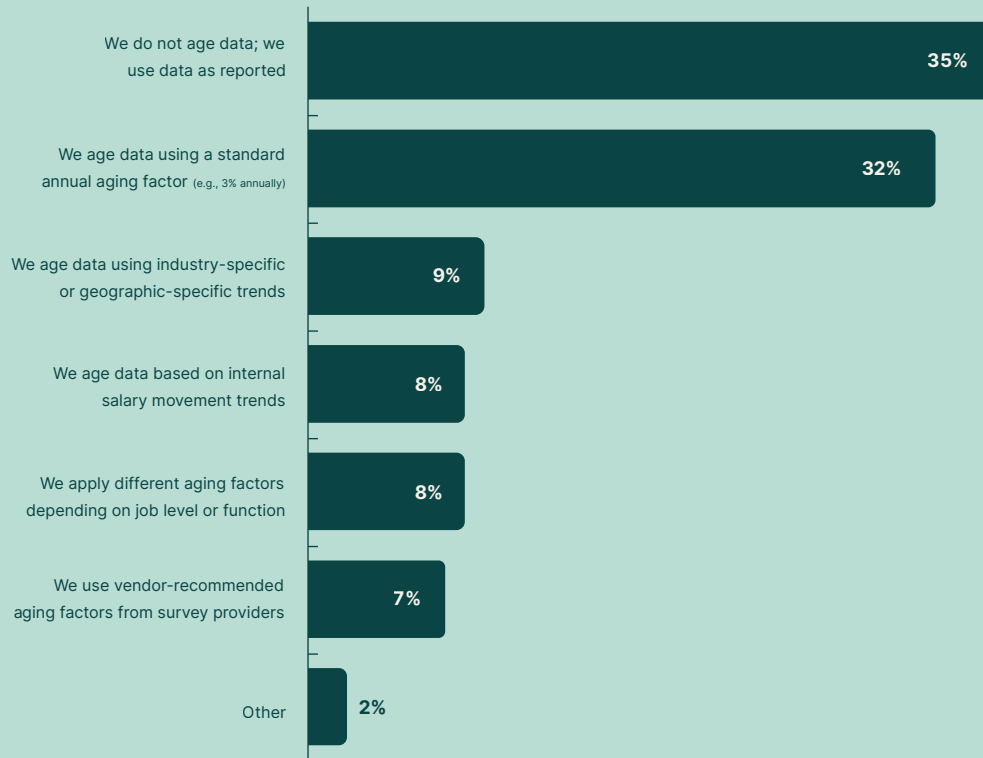


## Aging data

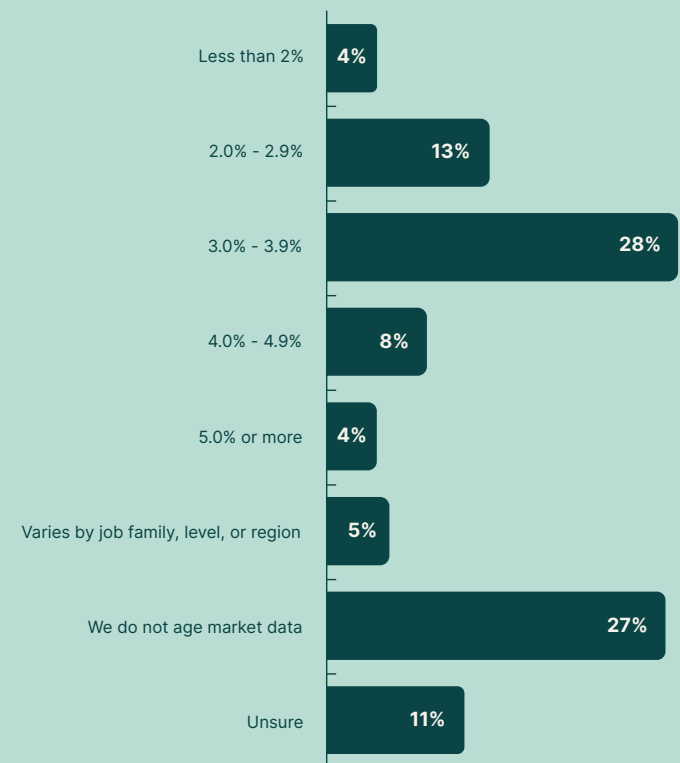
This year we asked whether and how organizations age survey data for compensation planning. Almost a third of organizations (32%) use a standard aging factor. Another third (35%) of Payscale CBPR survey participants don't age survey data; they use the data as reported. A smaller percentage of organizations use industry or geographic specific trends (9%), internal salary movement trends (8%), or vendor recommendations (7%).

For organizations that engage in the practice of aging data, we asked what factor they are planning to use for 2026. The most popular category was between 3.0-3.9% (28%) followed by 2.0%-2.9% (13%).

How does your organization age survey data to align with your compensation planning cycle?



What annual percentage is your organization aging market compensation data for 2026?

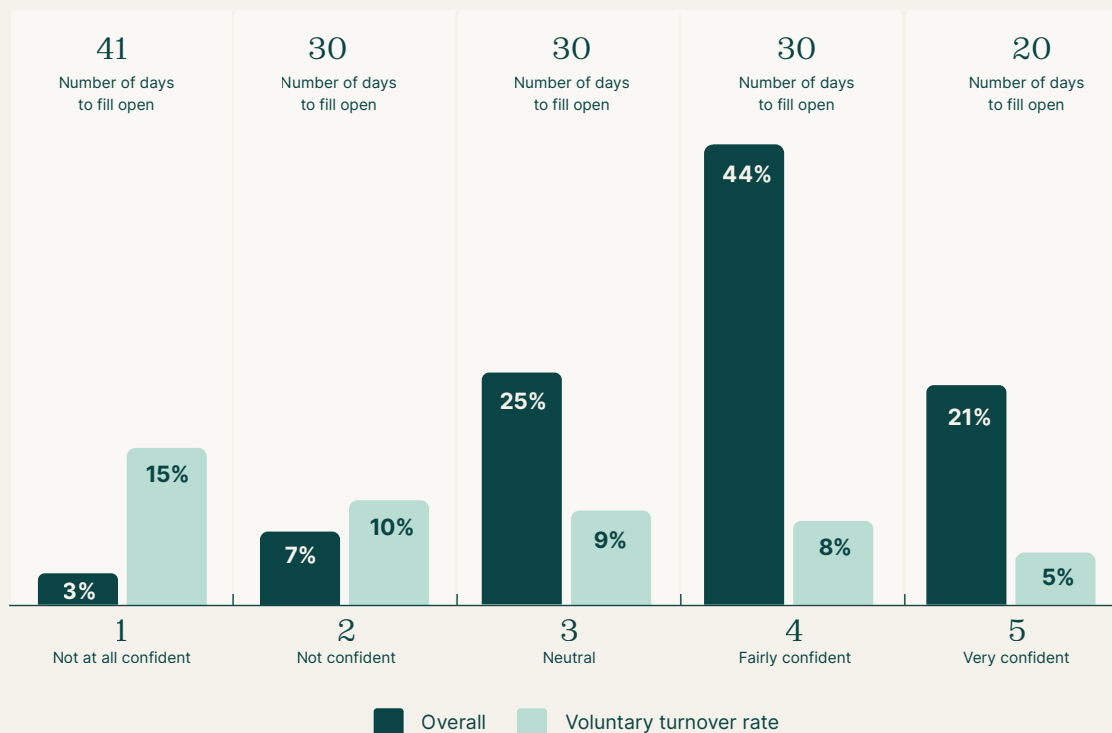


## Confidence in market pricing

Overall, 65% of organizations are confident in their market pricing strategy, which is a 2% increase over last year. According to further analysis, confidence in market pricing corresponds with lower voluntary turnover rates and time to fill. More top performers are very confident in their market pricing (37%).

Combining fairly confident and very confident, 72% of organizations that use Payscale are confident compared to 56% of those who do not. We also see that more Payscale customers are very confident at 27%, a 12% increase over non-Payscale customers.

How confident are you that your market pricing (re: salary offers) is competitive for attracting talent?



## Price jobs with confidence

Payscale delivers trusted market data and compensation intelligence to help you price jobs accurately, stay competitive, and make defensible pay decisions.

[Request a demo](#)

→ Jump links

Influences

Pay structures

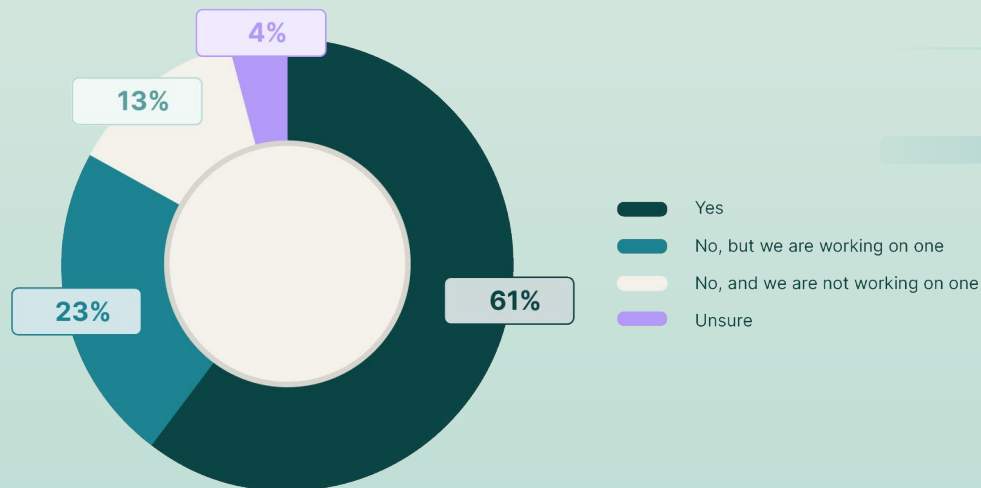
Pay progression

# Compensation strategy

Compensation strategy is how an organization approaches pay to attract, motivate, and retain talent while aligning with business goals and market conditions.

According to our survey, 61% of organizations say they have a compensation strategy. This is no change over last year, but an 8% increase over the previous year. The percentage of organizations with a formal compensation strategy increases to 66% for top performers and 73% for Payscale customers. The likelihood of having a compensation strategy also increases with organization size, rising from 42% for organizations with 1 to 99 employees to over 80% for organizations with over 10,000 employees.

Does your organization have a formal compensation strategy?



## Factors

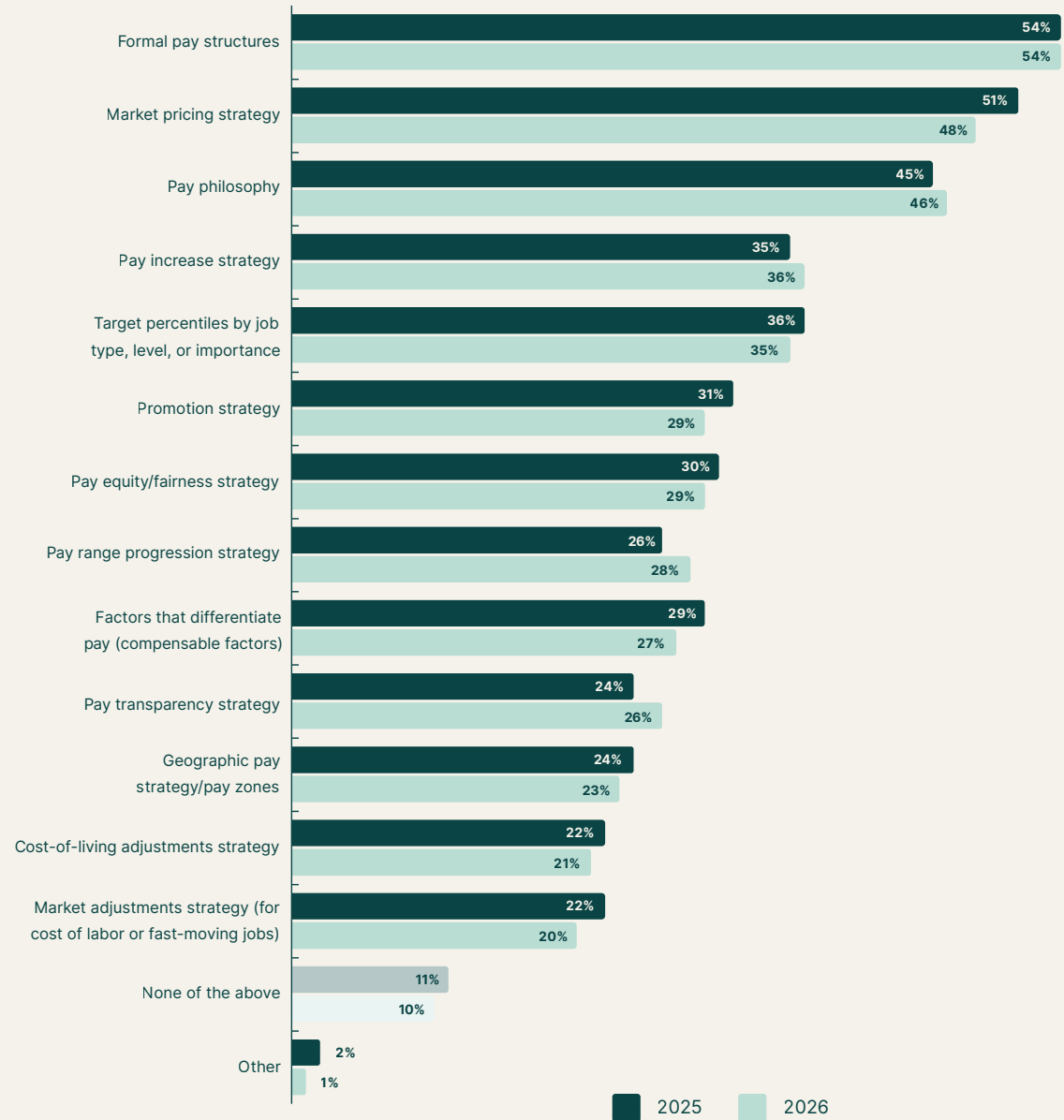
We also ask what components go into a compensation strategy.

The most prominent component is having formal pay structures (54%), followed by a market pricing strategy (48%), and a pay philosophy (46%), which is needed to pay employees in a manner that is strategic, consistent, fair, and transparent.

The least common components are cost of living and market adjustments, which can contribute to perceptions of unfair pay over time as the labor market changes and impact retention.

Compared to last year, more organizations are exploring their pay progression and promotion strategies to reward employees for excelling in their role and remaining with the organization.

What does your compensation strategy include? (Select all that apply)



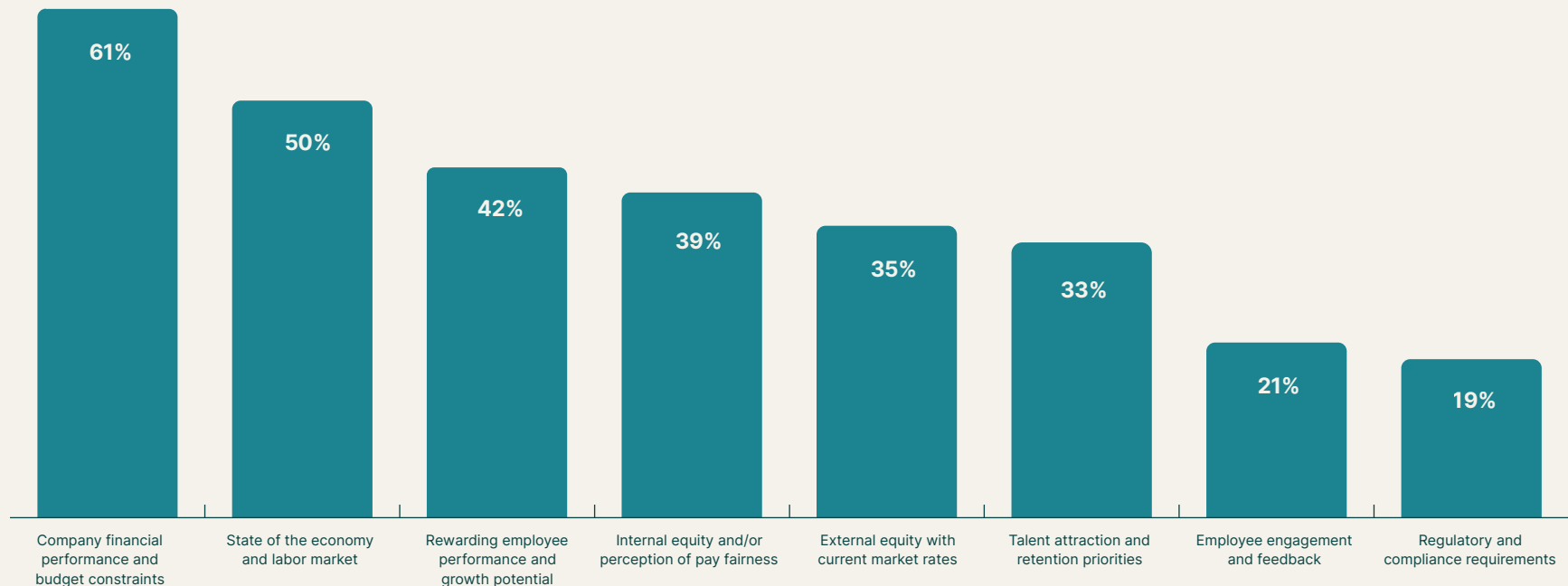
## Influences

This year we also asked Payscale survey participants to select the top three factors influencing their compensation strategy, which we then ranked by most popular selections.

While organizations may face a dozen competing priorities, the two most popular answer choices were the organization's financial performance and budget constraints (61%) and the state of the economy and labor market (50%). This validates why Payscale tracks **wage growth and fast-moving jobs** and analyzes how business performance (top performers versus non-top performers) impacts compensation practices in the Compensation Best Practices Report.

Which factors are having the greatest influence on your organization's compensation strategy in 2026? (Select up to three)

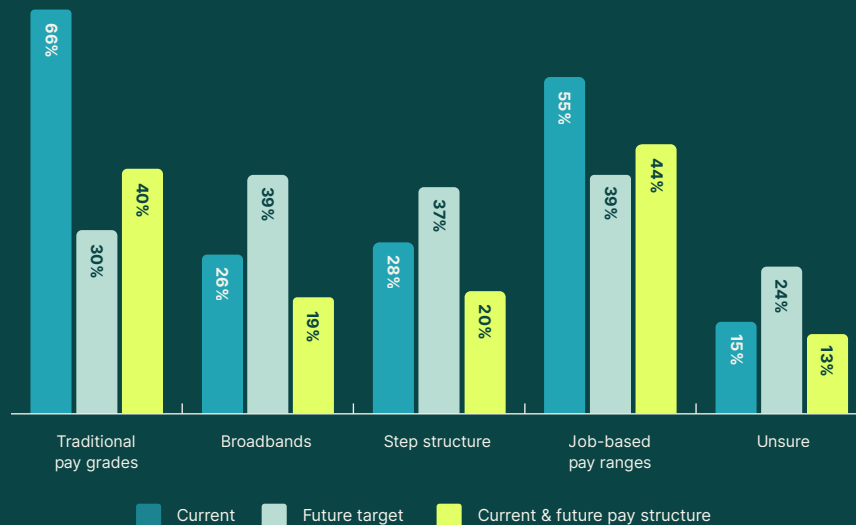
Most ranked among top three



## Pay structures

While formal pay structures are a popular component of a compensation strategy, the right type of formal pay structure varies depending on the organization. While traditional pay grades remain the most popular type of pay structure, organizations are exploring other possibilities, with job-based pay ranges being the most popular type when combining current and future targets (44%).

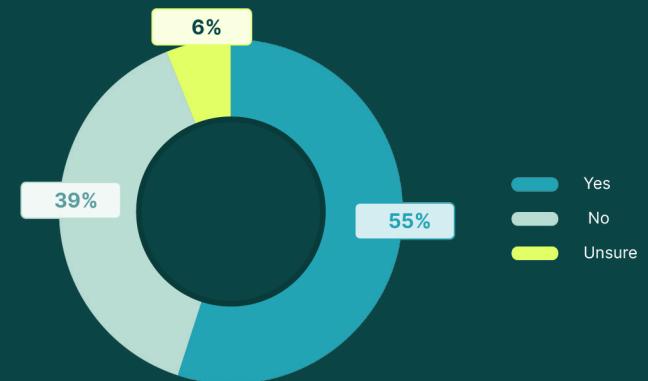
How does your organization structure pay? (Select all that apply)



## Pay progression

This year, we asked if organizations have a formal process for how employees fall within their pay band and how to progress up the pay band. While a majority of organizations do (55%), a healthy percentage does not (39%), which could be frustrating to employees and contribute to disengagement and turnover. More Payscale customers have a pay progression process (66%) as do organizations with high pay transparency (68%) and where executives view compensation as a strategic lever (63%).

Does your organization have a formal process for determining where employees fall in the pay band and how they progress up the pay band?



Get **expert guidance** on your compensation strategy.

Payscale products and managed services support can help you design and monitor compensation structures and strategies you can stand behind.

[Request a demo](#)

→ Jump links

Workforce environment

Geographic differentials

On-site pay premiums

# Geographic pay

Geographic pay is an approach to compensation management where employee pay varies based on the cost of living, market rates, or competitive conditions in a specific location.

While global organizations have had geographic pay differentials for decades, the COVID-19 pandemic contributed to an increase in geographic pay strategies as remote work became more widespread.

It should be noted that employee pay is largely informed by market data based on local labor costs. However, the expansion of remote work and subsequent return-to-office requirements have prompted organizations to reassess and adapt their pay strategies and compensation methodologies.



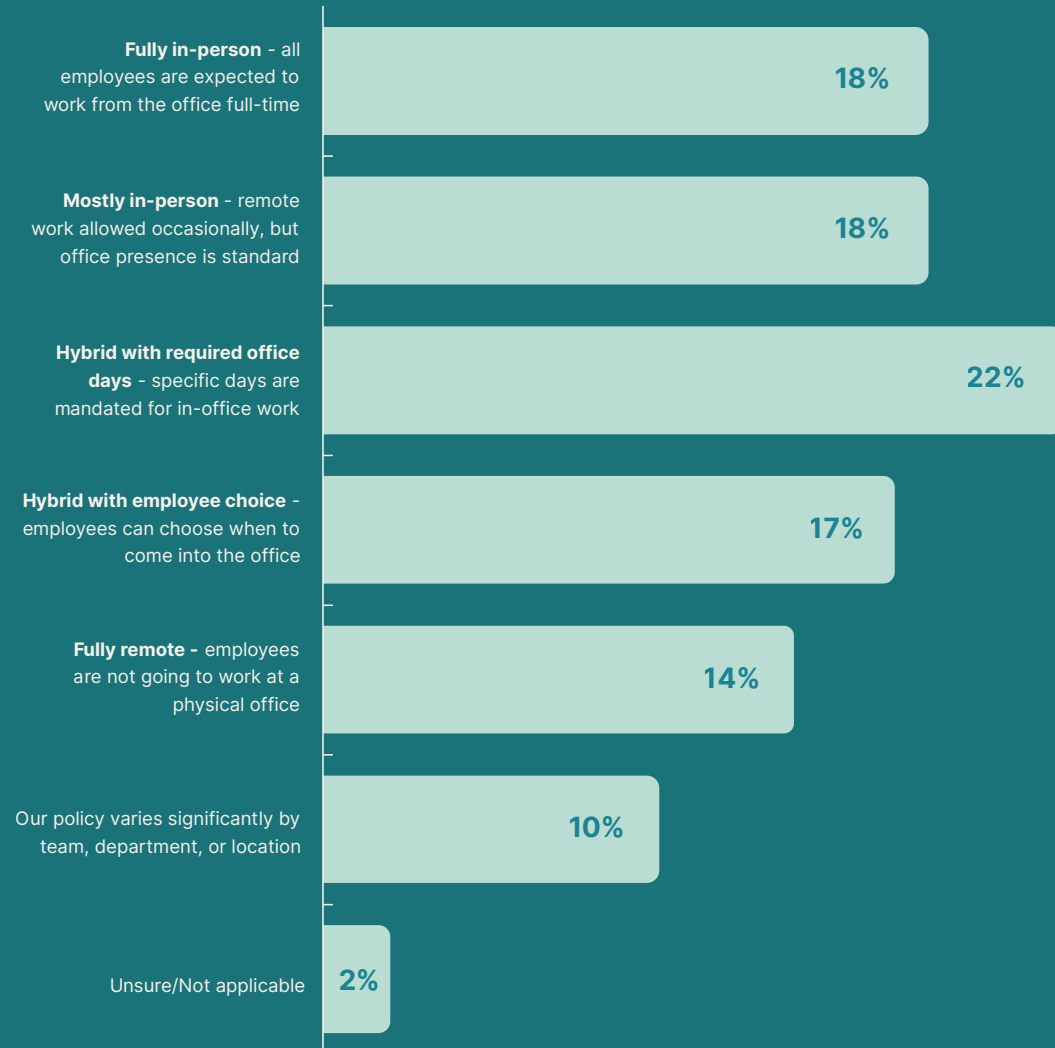
## Workforce environment

For 2026, we asked employers to describe their 2026 workforce in terms of whether or not employees who can do their work from anywhere are required to commute to an office. When phrased this way, we find that traditional 9-5 in-office environments five days a week have plummeted to only 18% of organizations. This does not include employees whose work cannot be done at home. This increases to 36% when combined with organizations who allow remote work on occasion but where an in-office presence is standard.

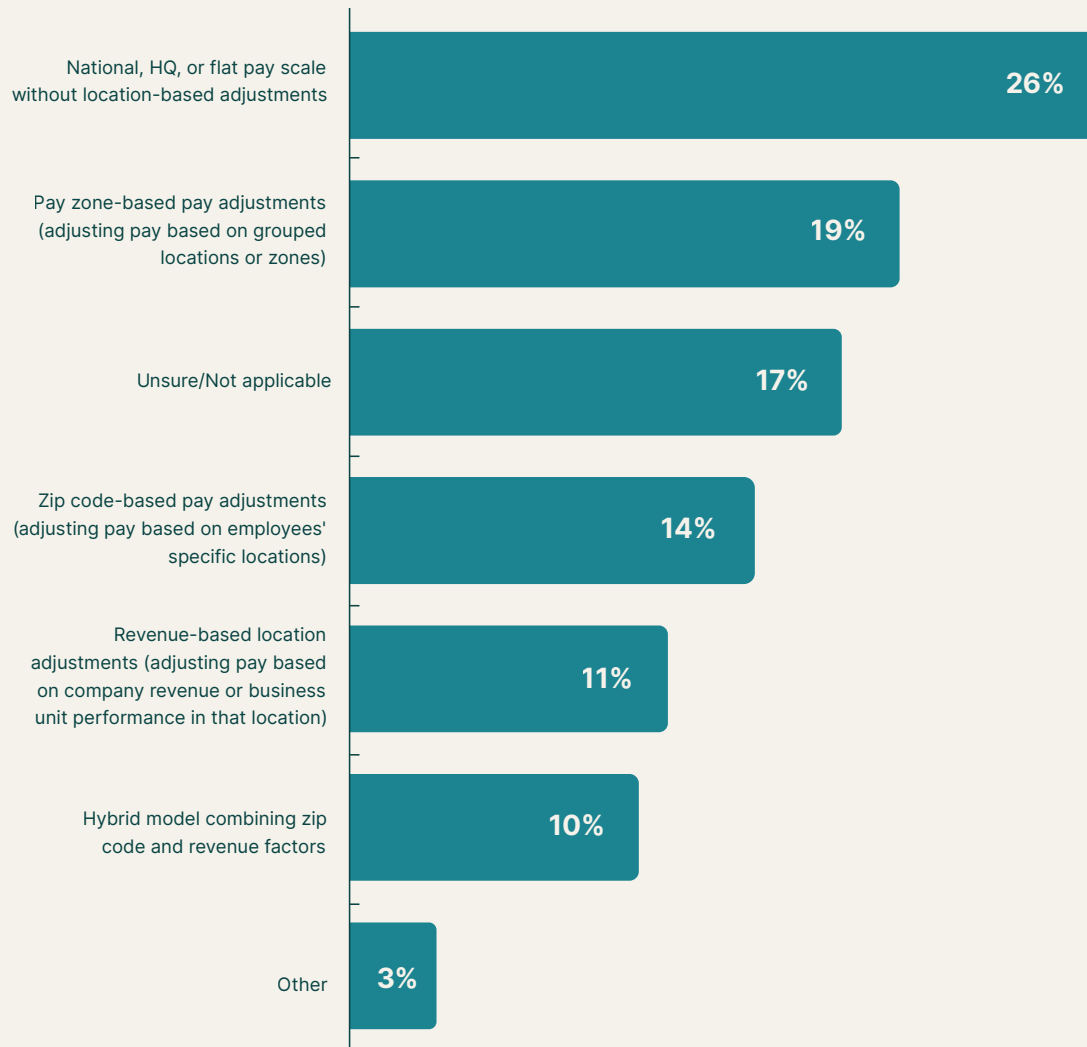
The most popular type of office environment in 2026 is a hybrid workplace where employees have some required office days but may also work from home. For 22% of organizations, specific days are mandated for in-office work where for the other 17% it is the employee's choice.

Only 14% of organizations are fully remote, but this percentage has climbed. A fully remote workforce is more common for top-performing organizations (19%) and certain industries such as Business Services (25%), Construction (20%), and Technology (24%). Again, this only applies to job positions where employees can do their work from home.

Which of the following best describes your organization's workforce in 2026 for employees whose work could be done from anywhere? (i.e., not store, plant, or field workers)



**Which pay model does your organization primarily use to determine employee compensation?**



## Geographic differentials

There are different ways to apply geographic pay. This year, our interest is specifically which pay model organizations are using to determine compensation.

For example, organizations can elect to use market data for the national median, the location of their company headquarters, or another flat pay scale that does not apply a location-based differential (26%). This is the most popular approach but is not the preferred approach of top performing organizations.

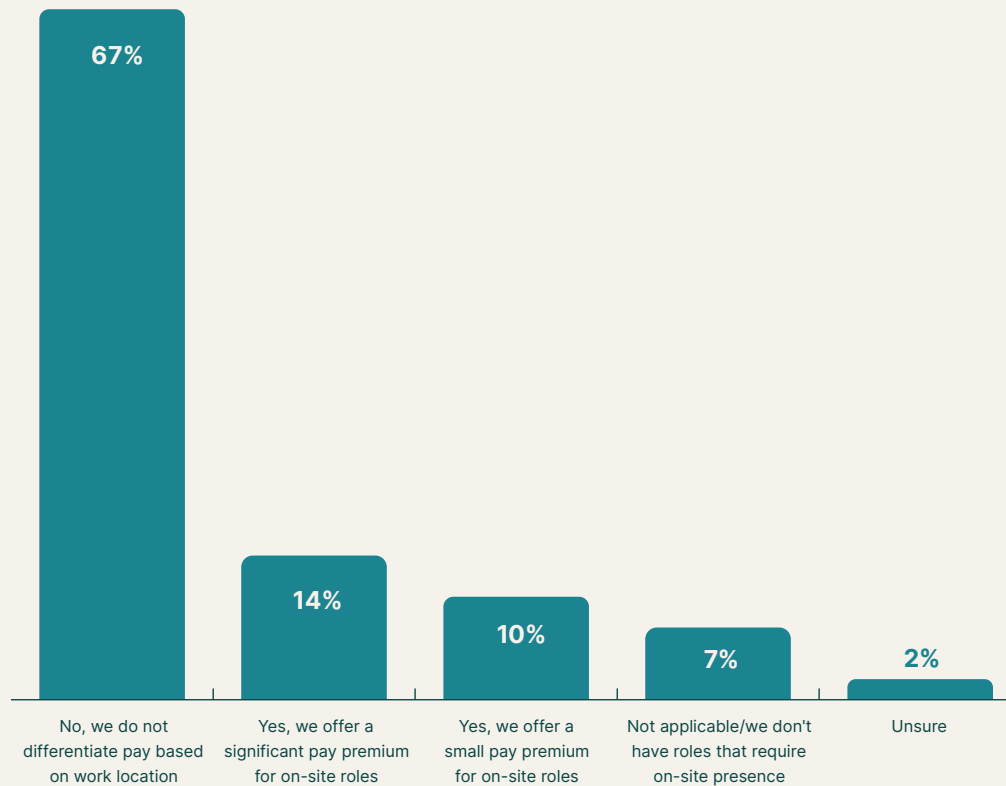
A pay zone-based approach is favored by 19% of organizations and is more common with larger organizations while a zip code-based approach is favored by 14% of organizations but more associated with top performing organizations (18%).

There is no “right” answer when it comes to geographic based pay as it depends on organization size, geographic distribution, resources, and talent strategy. What matters is that pay is consistently determined for where employees live and is free of systemic inequity. For example, a best practice for a zip code-based approach is to determine pay based on differentials for the largest nearby metro area rather than allocating pay according to specific neighborhoods.

## On-site pay premiums

We also asked whether organizations apply a pay premium for employees who work on-site rather than remotely, which has been discussed in reference to return-to-office policies. Overwhelmingly, organizations said that they do not differentiate pay based on working on-site (67%), but 14% say they offer a significant premium and 10% say they offer a small pay premium. Offering a significant on-site pay premium was more common for top performing organizations (27%). However, it was also more common for organizations that say they are experiencing talent loss due to employee perception of unfair pay (28%). Regardless of what compensation methodology you employ, what is most important is making sure that pay decisions are consistent and internally equitable.

Does your organization pay a premium for employees who work on-site?



## Get started with geographic pay

Learn about how Payscale supports market pricing across geographies.

[Request a demo](#)

# Pay equity

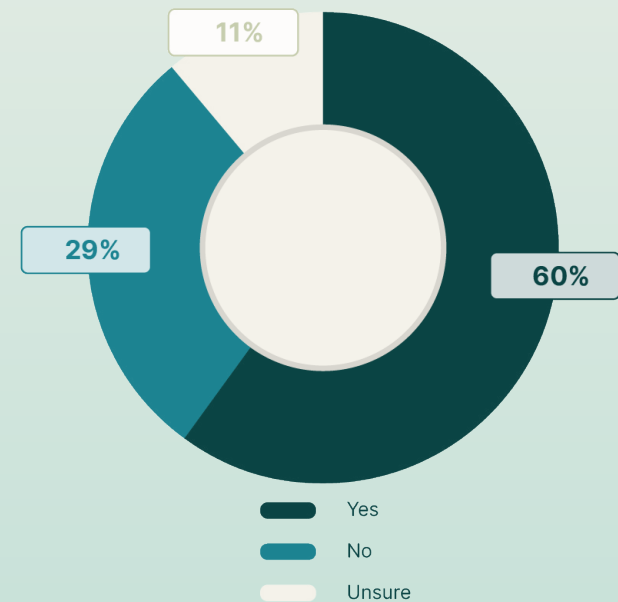
Pay equity is the principle of ensuring employees receive fair and equal pay for work of equal or comparable value, regardless of gender, race, or other protected characteristics.

In the United States, employers are legally required to pay employees equally regardless of gender, race, or other protected characteristics.

However, pay equity extends beyond protected characteristics and applies to any person in any position. Pay equity must also be constantly monitored and measured as employees are always joining, leaving, and changing jobs or levels within the organization. In addition, employees should be receiving pay increases annually as well as structure adjustments to align pay with changes in the market, sometimes referred to as external pay equity or market competitiveness.

In 2026, a majority of organizations (60%) say that pay equity analysis is a planned or current initiative in their organization. This is significantly higher for Payscale customers (71%), in countries outside the United States or Canada (76%), for top performers (68%), and organizations that report high pay transparency (72%).

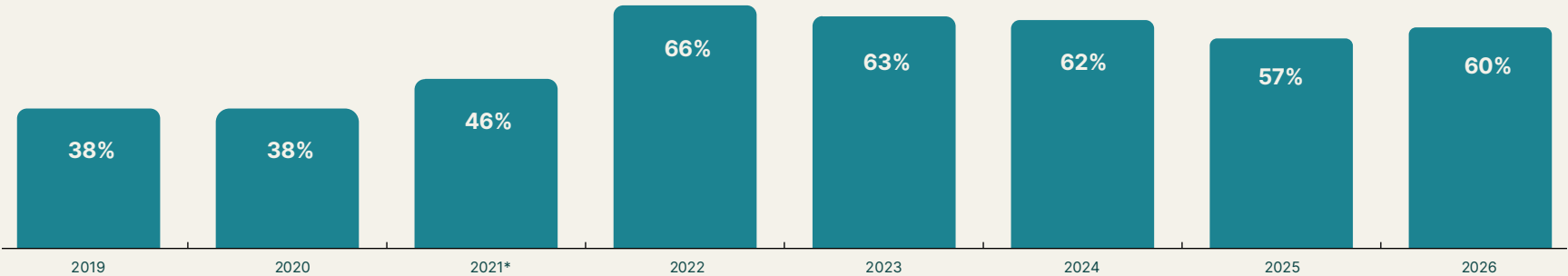
Is pay equity analysis a planned or current initiative at your organization?



Over time, commitment to pay equity has surged, with a large jump seen between 2021 and 2022 during the Great Resignation. This is another indicator that labor market dynamics heavily drive compensation policy. In the last few years, investment in pay equity has wobbled, dropping slightly between 2024 and 2025 before rising again in 2026.

Is pay equity analysis a planned or current initiative at your organization?

Yes

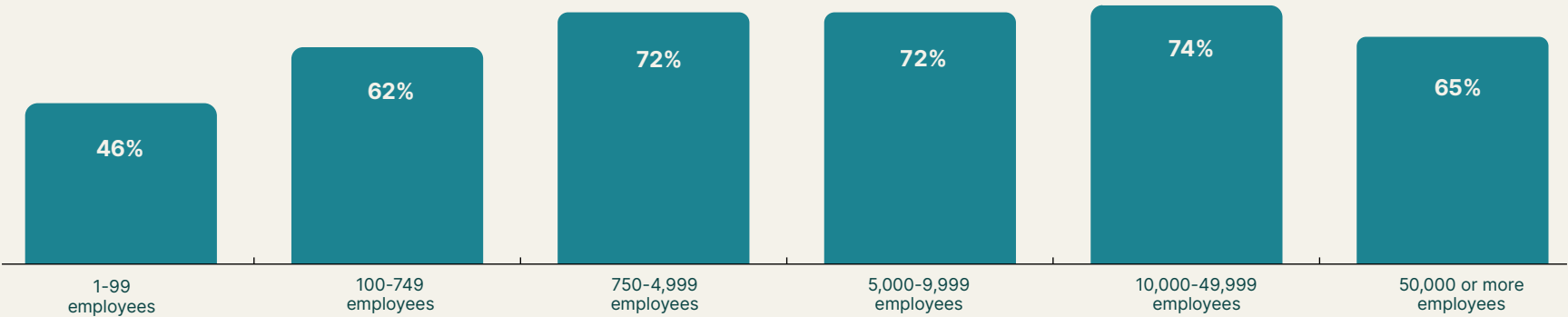


\*Question changed from "does your organization plan on performing a race or gender pay equity analysis."

We also find that pay equity analysis is more common for larger organizations. It is adopted to a greater degree in industries that struggle more with talent acquisition due to skills shortages or difficult working conditions, such as Construction (69%), Engineering & Science (69%), Energy and Utilities (64%), and Technology (66%).

Is pay equity analysis a planned or current initiative at your organization?

Yes



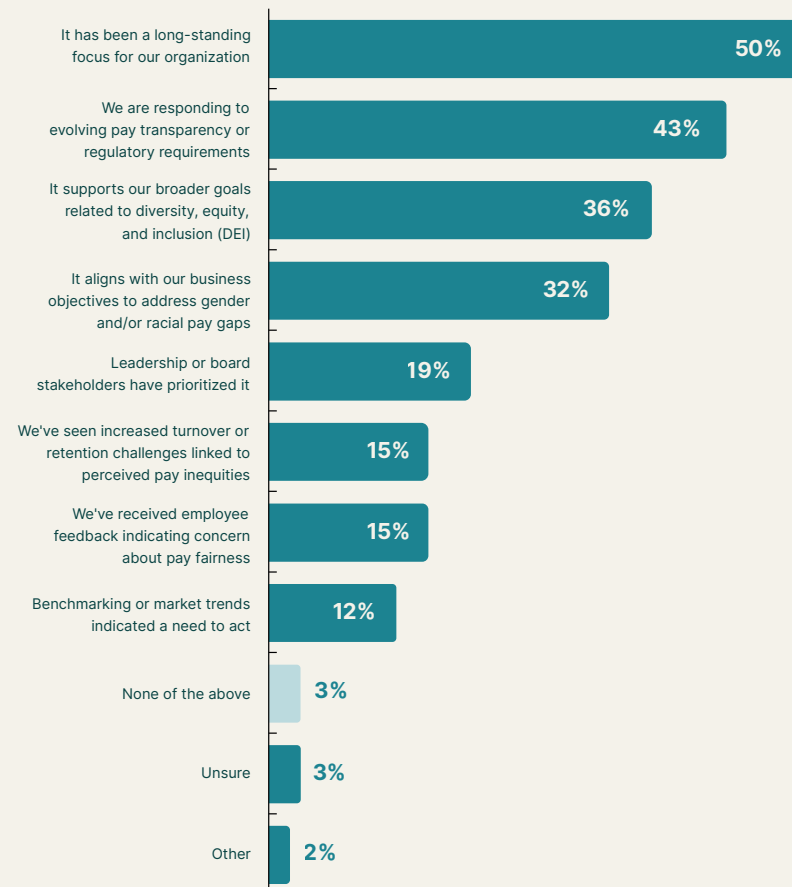
Is pay equity analysis a planned or current initiative at your organization?

Yes

|                                   |     |
|-----------------------------------|-----|
| Agencies & Consultancies          | 52% |
| Arts, Entertainment, & Recreation | N/A |
| Business Services                 | 61% |
| Construction                      | 69% |
| Education                         | 63% |
| Energy & Utilities                | 64% |
| Engineering & Science             | 69% |
| Finance & Insurance               | 61% |
| Food, Beverage, & Hospitality     | 58% |
| Government                        | 63% |
| Healthcare & Social Assistance    | 62% |
| Manufacturing                     | 62% |
| Nonprofit                         | 56% |
| Pharmaceuticals & Biotechnology   | N/A |
| Real Estate, Rental, & Leasing    | 48% |
| Retail & Customer Service         | 54% |
| Technology (including software)   | 66% |
| Telecommunications                | N/A |
| Transportation & Warehousing      | 57% |
| Other                             | 54% |

This year, we asked organizations that responded “yes” on pay equity analysis about their reasoning. A slim majority (50%) say that it has been a long-standing focus while the next largest grouping cites pay transparency or regulatory requirements as the driving reason.

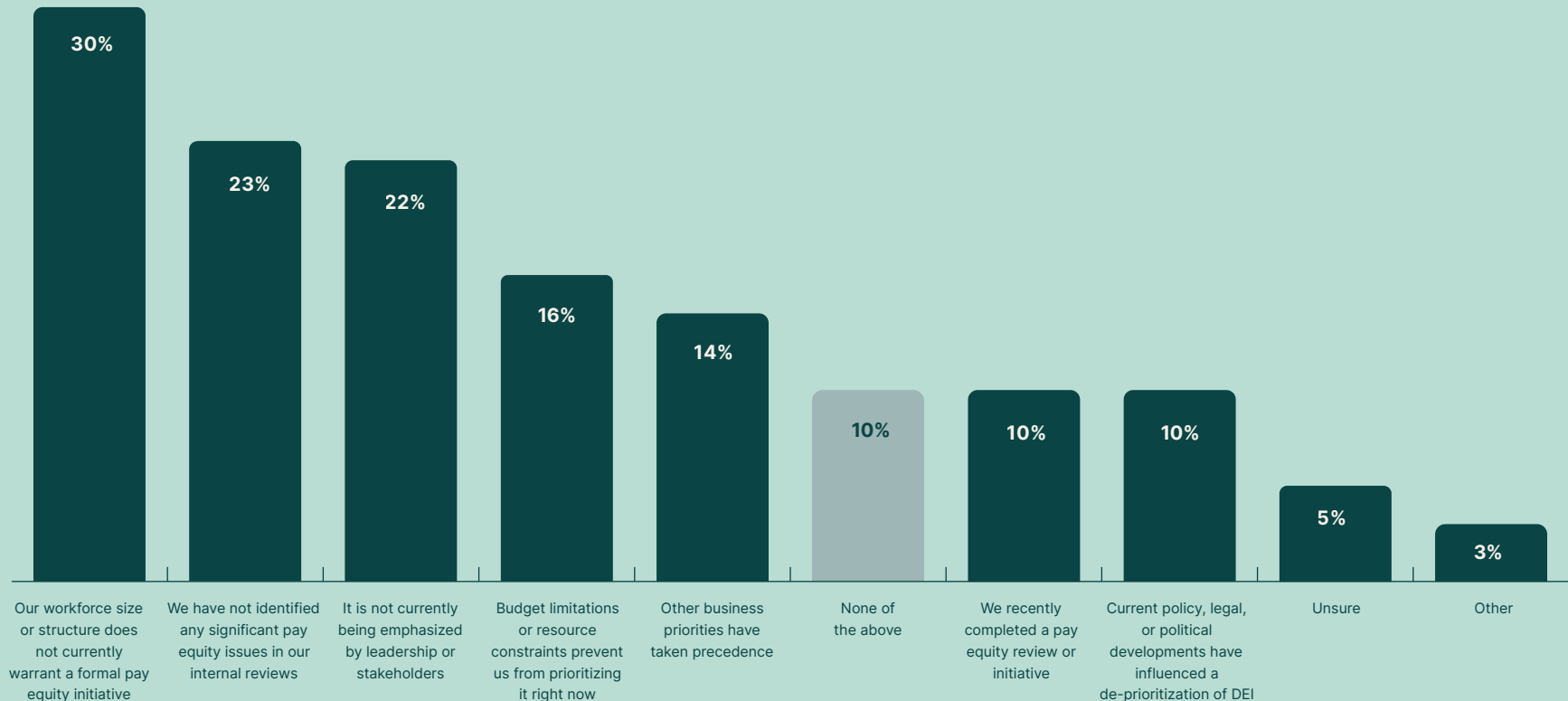
Which of the following best describes why pay equity is a current or planned priority for your organization? (Select all that apply)



## Reasons why pay equity is not a priority

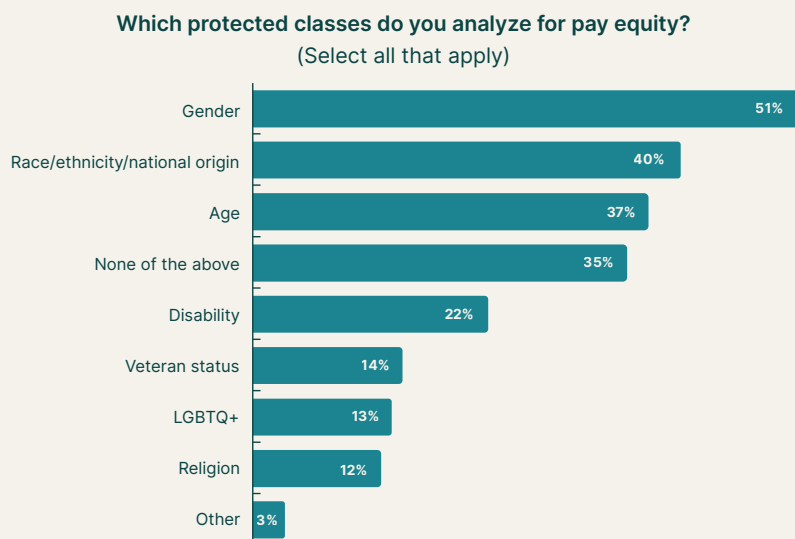
We also asked organizations that responded “no” to pay equity analysis about their reasoning. For these organizations, the largest driver was that workforce size or structure was not significant enough to warrant a formal approach to pay equity, followed by having not identified any pay equity issues or that leadership has not prioritized it. Budget was only cited as a detractor by 16% of organizations, and only 10% say that political developments or reduced prioritization of DEI have influenced their decision.

Which of the following best describes why pay equity is not currently a priority for your organization? (Select all that apply)



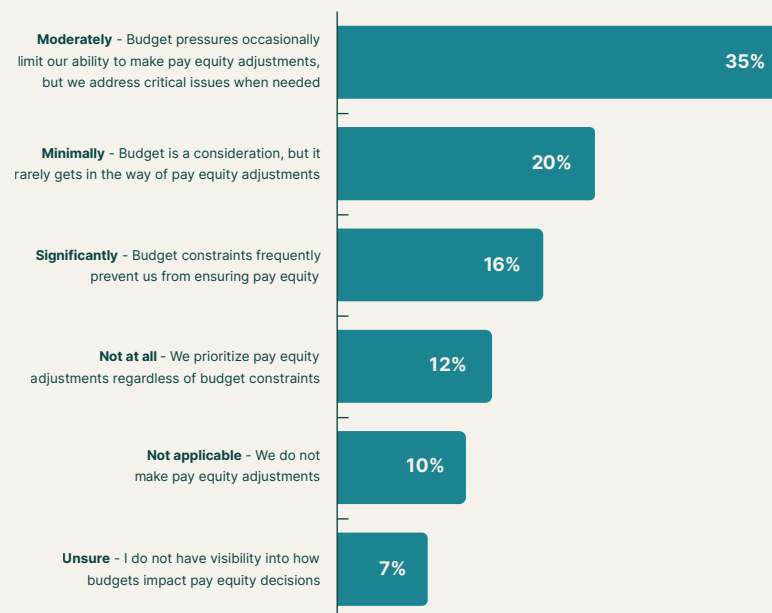
Without measurement, organizations might assume they have pay equity despite not having done the analysis to prove it. However, even with a culture that values fairness, unconscious bias and culturally based systemic inequities in areas other than pay (e.g. hiring, promotion, etc.) can cause pay inequities to develop.

Interestingly, only a slim majority of organizations measure any kind of pay gaps, with gender topping the list at 51% and race/ethnicity/national origin at 40%. It should be noted that some types of inequities prove difficult to track due to a lack of data collection.



For a thorough understanding of what inhibits pay equity analysis, we asked organizations to what extent budget constraints limit internal pay equity. While only 16% said significantly, another 35% admit that budget pressures are occasionally limiting when there is a need to make pay equity adjustments to address critical issues.

**In 2026, to what extent are budget constraints limiting your organization's ability to ensure internal pay equity?**



Drive **pay equity** with every hire and pay increase

Learn about how Payscale can help you identify and close pay gaps.

[Request a demo](#)



→ Jump links

[Compliance](#)

[Pay transparency spectrum](#)

[Communications](#)

# Pay transparency

Pay transparency is the practice of openly sharing information about how pay is set, such as salary ranges, pay structures, or compensation policies.

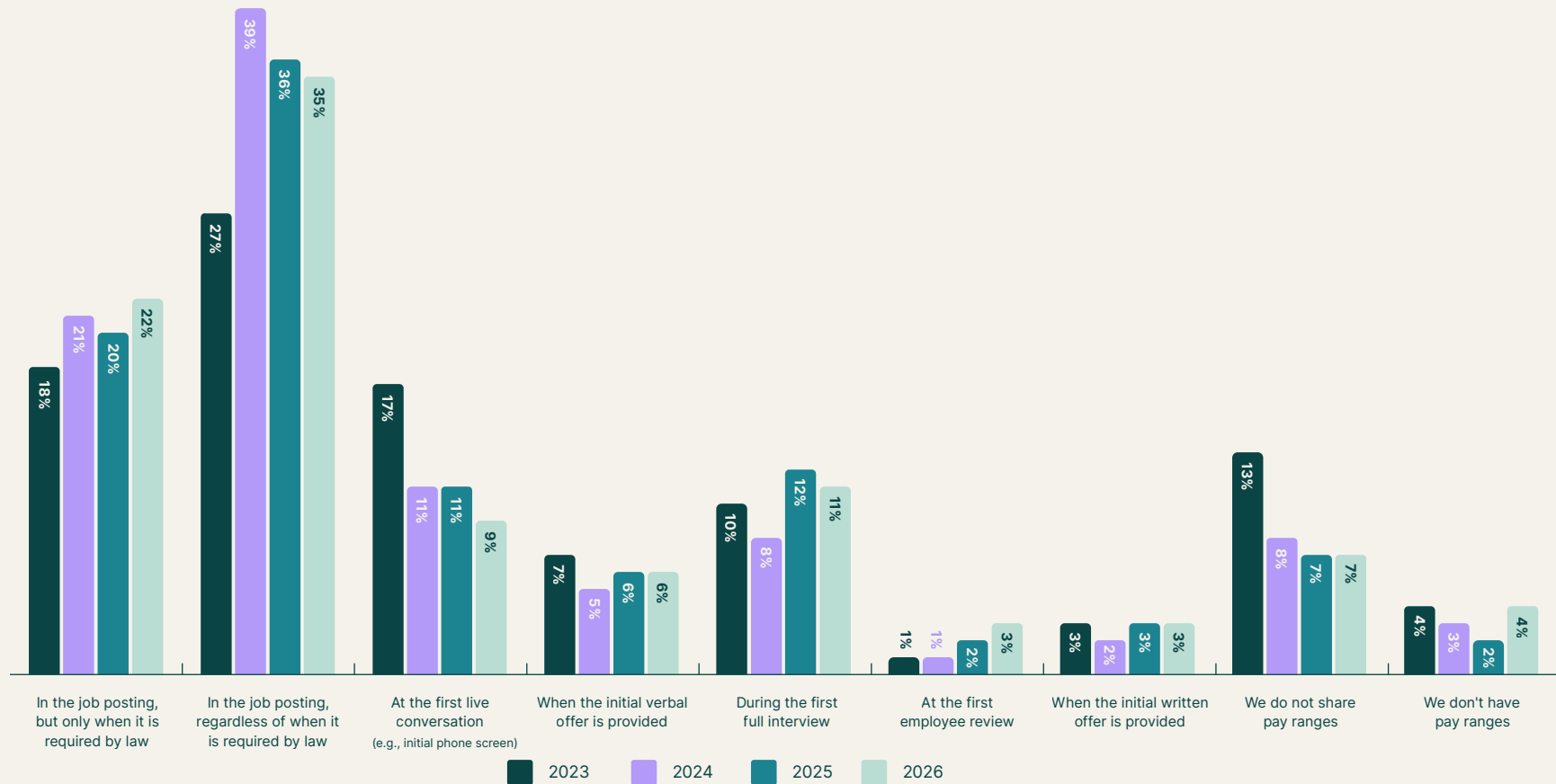
Pay transparency is the law in parts of the United States, Canada, and Europe, with wide-scale legislation in Europe anticipated soon.

In the United States, Colorado passed the first state law requiring employers to disclose pay ranges in job ads as part of its Equal Pay for Equal Work Act, which was enacted in 2019 and took effect January 1, 2021. Other states adopted similar pay-range disclosure laws throughout the early to mid-2020s. The trend has not slowed down, with new legislation being introduced in new states and municipalities every year.

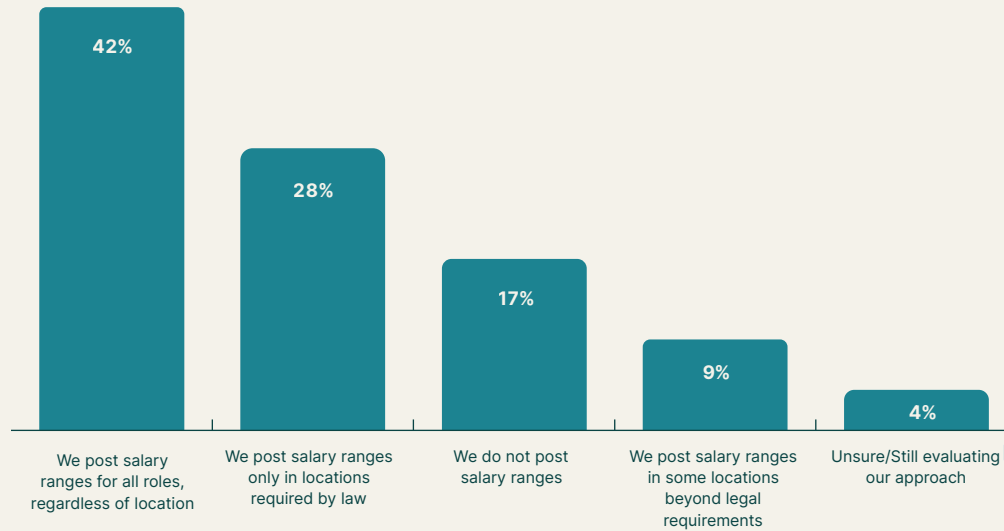
## Compliance

For the past several years, we have asked when employers first share pay ranges in job postings and have seen a steady increase in the percentage of organizations posting pay ranges in job postings whether or not it is required by law in those locations. In 2023, the total number was 45%. In 2024, it jumped to 60%. It has dropped slightly over the last two years, likely due to a slowdown in the labor market making it easier to attract and retain talent. However, in 2026 it is still a majority at 57% of organizations, which is one percentage point increase over last year. In addition, the percentage of employers including pay ranges in job postings because it is required by law has increased from 18% in 2023 to 22% in 2026.

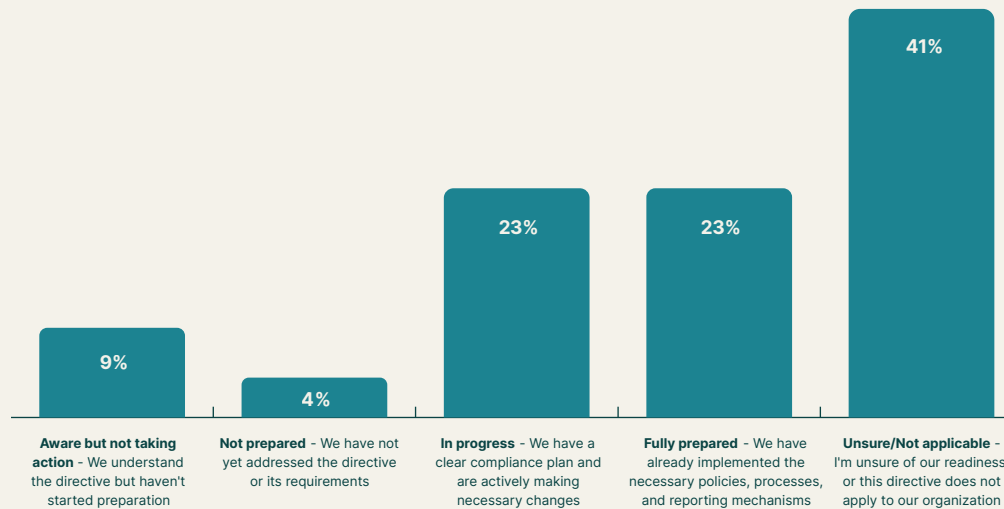
When do you first share the pay range for a job with employees?



### Which best describes your organization's approach to posting salary ranges to job ads?



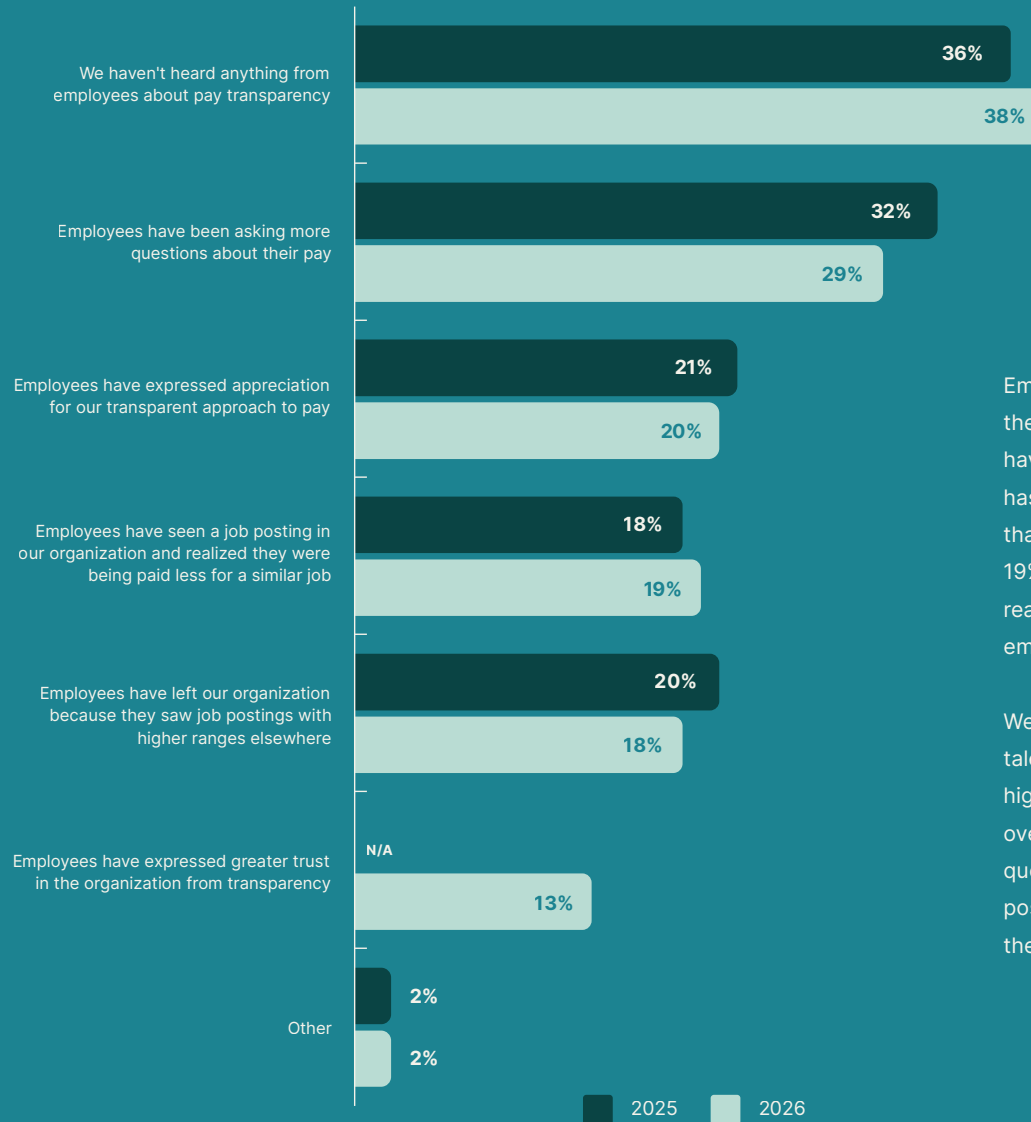
### How would you describe your organization's readiness for compliance with the EU Pay Transparency Directive, effective June 2026?



For clarification, we also asked about the overall approach to pay transparency beyond legal requirements by location. The most cited approach is to post salary ranges for all roles, regardless of location (42%), which is widely regarded as a best practice.

In Europe, the EU Pay Transparency Directive was introduced in 2023 and mandates that all EU member states must implement pay transparency rules by mid-2026, requiring clearer salary information disclosure and pay gap reporting. However, going into 2026, only 23% of survey respondents say they are fully prepared while another 23% say they are still in progress and 13% are either unprepared or electing not to act.

**What employee reactions has your organization experienced due to pay transparency legislation? (Select all that apply)**



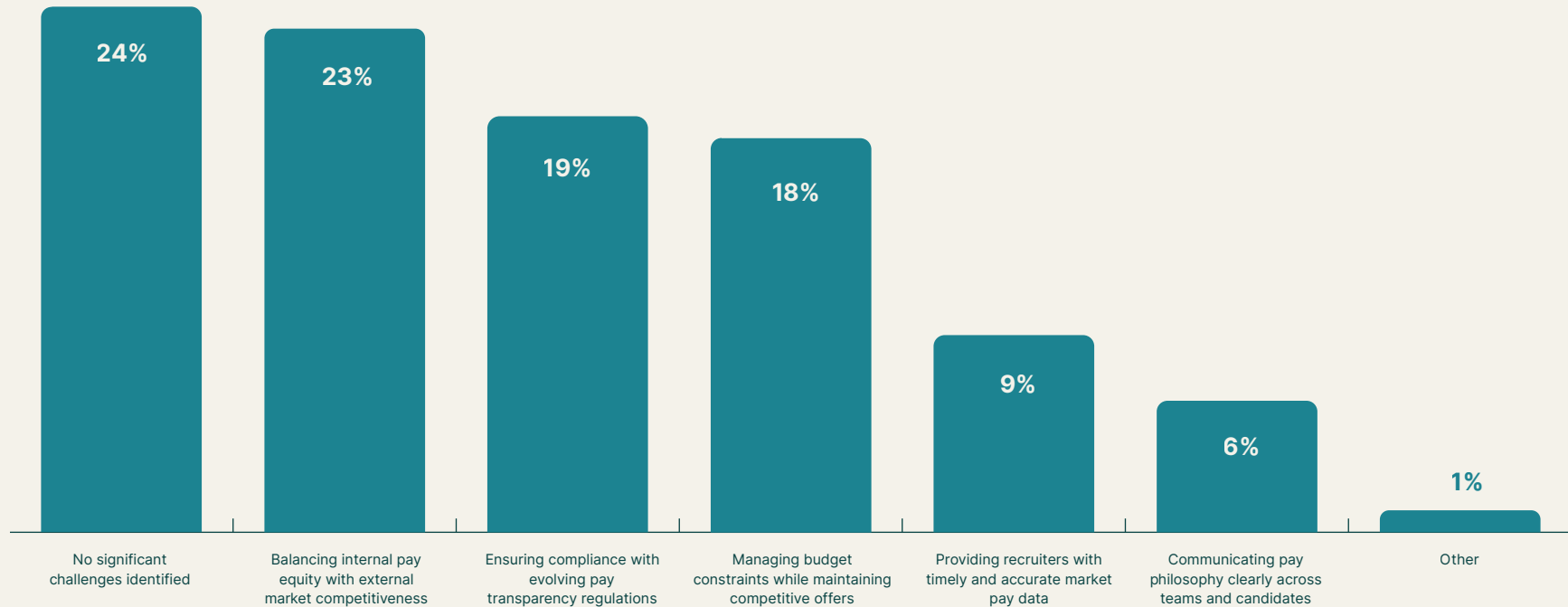
Employee reactions to pay transparency haven't changed much since the introduction of new legislation. In fact, 38% of organizations say they haven't heard anything from employees about pay transparency, which has increased from 36% in 2025. However, 29% of organizations say that employees have been asking more questions about their pay and 19% say that employees have seen a job posting in the organization and realized that they are being paid less for a similar job, which subjects the employer to potential legal risk.

We also compared this data to our question "Do you think you are losing talent due to employee perceptions of unfair pay?" and found that a higher percentage of organizations who answered yes to losing talent over fair pay also answered that employees have been asking more questions (48%), have left the organization due to pay they saw in job postings (38%), or saw a job posting for the organization and realized they are being paid less (35%).

## Biggest challenges for recruiting with pay transparency

With pay transparency adoption, recruiting is having to align more with compensation, but the alignment is not always easy. According to our survey, the biggest challenge for organizations is balancing internal pay equity with external market competitiveness (23%). While only 9% of organizations cited that providing recruiters with timely and accurate market pay data was a challenge, this may be an under-researched area where assumptions are being made about what hiring managers and recruiters understand and are conferring to candidates about compensation practices beyond the salary offer.

What is the biggest challenge your organization faces in aligning recruiting and compensation functions under pay transparency laws?

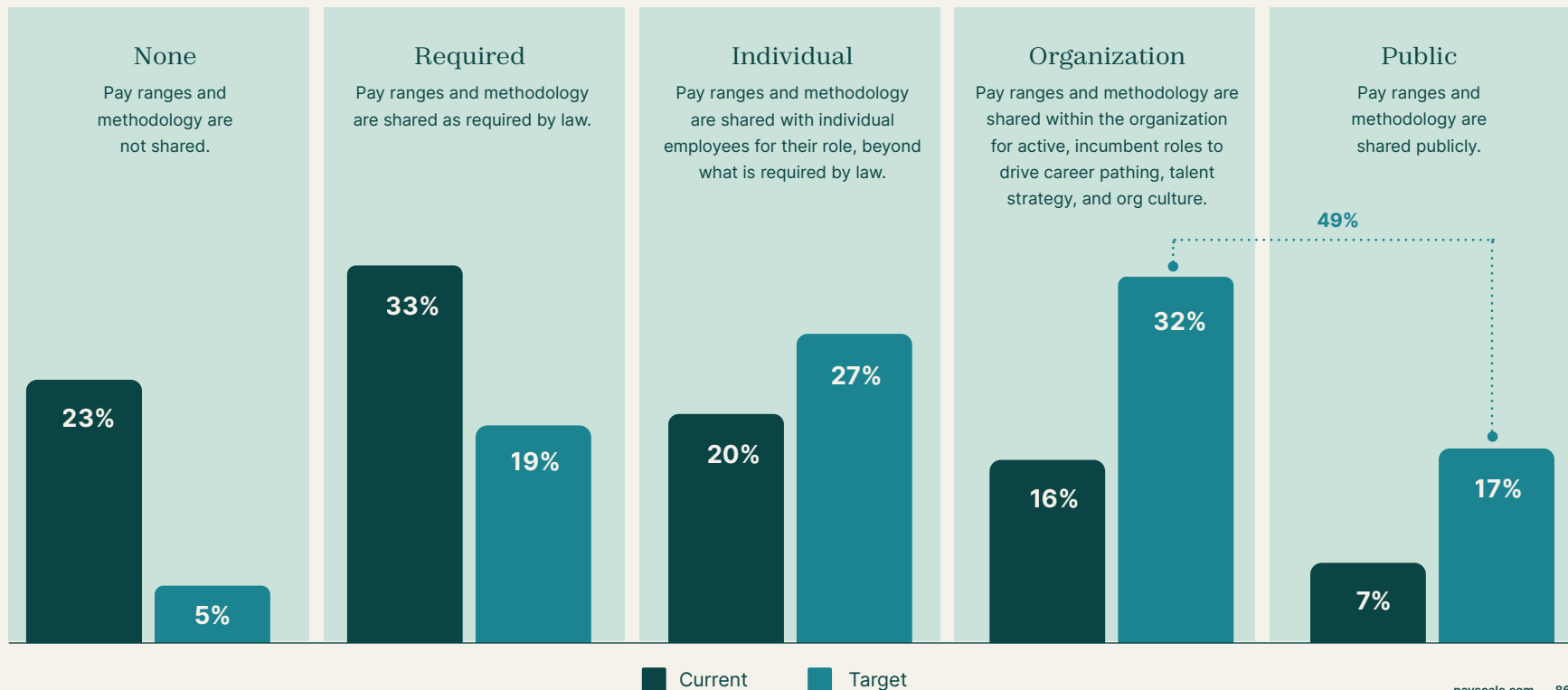


## Pay transparency spectrum

Pay transparency is a spectrum. Organizations and laws differ in how much, to whom, and when pay information must be shared, rather than requiring full disclosure in all situations. Payscale's pay transparency spectrum depicts a gradient from lack of transparency to full transparency centered around compliance on one end and public disclosure of pay ranges on the other.

Year over year we see that organizations want to be more transparent but target being compliant and able to deliver stronger pay communications to individuals (the middle of the spectrum). In 2026, we see that 76% of organizations want to share pay ranges and methodologies at least with individuals, but only 43% currently do. However, we see that 49% of organizations are targeting pay transparency across the organization or public in 2026, up from 33% in 2025, which is a significant shift.

### Describe your organization's current position and 2026 target on the pay transparency spectrum



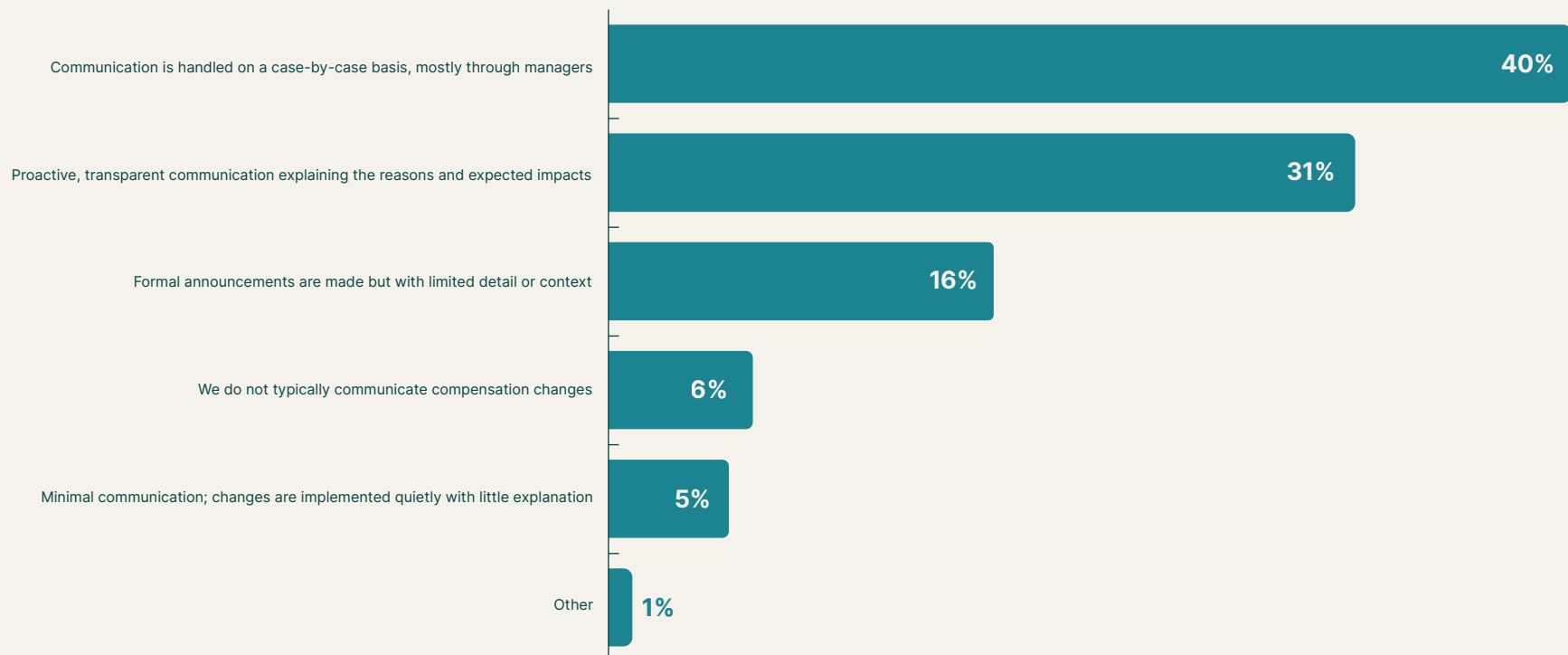
## Communications

Pay transparency is not a solution. What organizations are really seeking through pay transparency is trust from employees that they are paid fairly and increased talent attraction, engagement and retention as a result. However, many organizations struggle to communicate their compensation policies and how they make decisions about pay.

According to our survey, 40% of organizations say that communication is handled on a case-by-case basis through managers. Less than a third (31%) of organizations say that they have proactive, transparent communications.



How is your organization communicating compensation decisions to employees?



By comparing pay communications processes to employee sentiment, we also find that proactive, transparent communication is much more likely to result in happy, engaged employees than pay communications that are case-by-case, limited, or minimal. Organizations without any compensation communications were split between very dissatisfied and very satisfied employees, possibly depending on how high employees are paid.

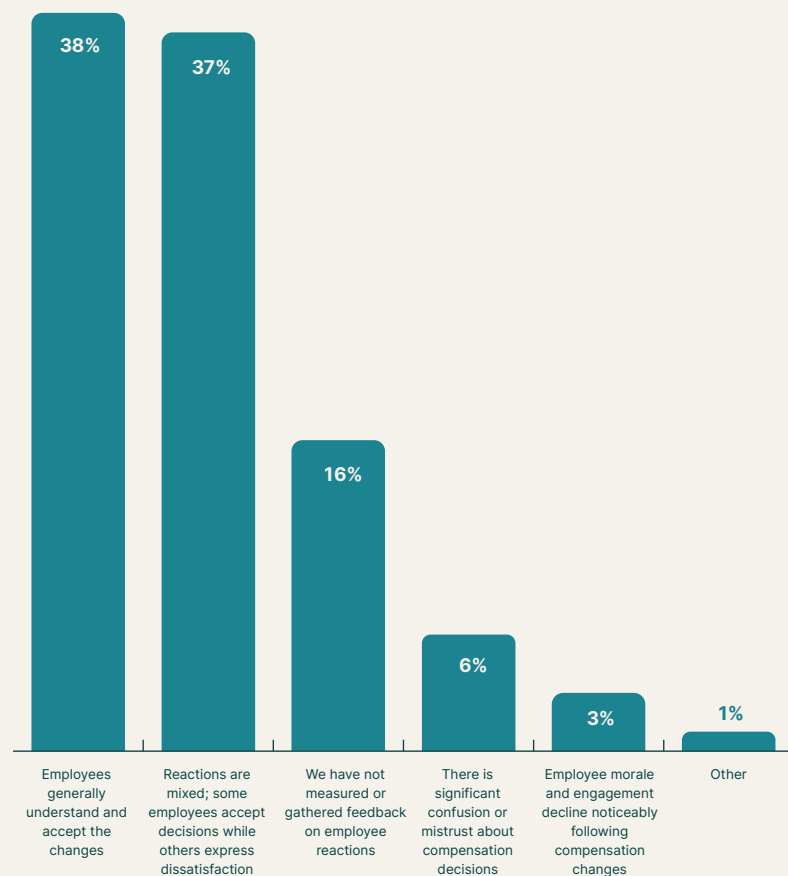
How is your organization communicating compensation decisions to employees?





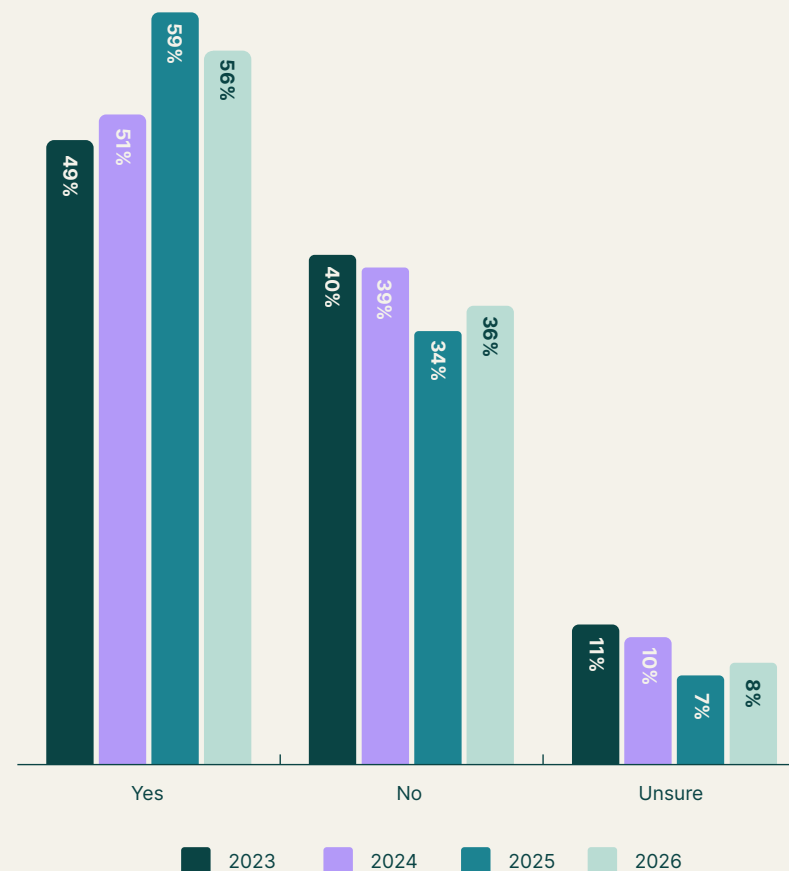
We also specifically asked how employees respond to communications about compensation adjustments. While 38% of organizations say that employees generally understand, another 37% say that reactions are mixed with some employees accepting decisions while others express dissatisfaction. Critically, 16% of organizations say they do not measure or gather feedback on employee reactions to pay adjustments and it is likely that some Payscale survey participants are guessing on how these conversations go.

**How would you describe employee reactions to communication about compensation adjustments?**



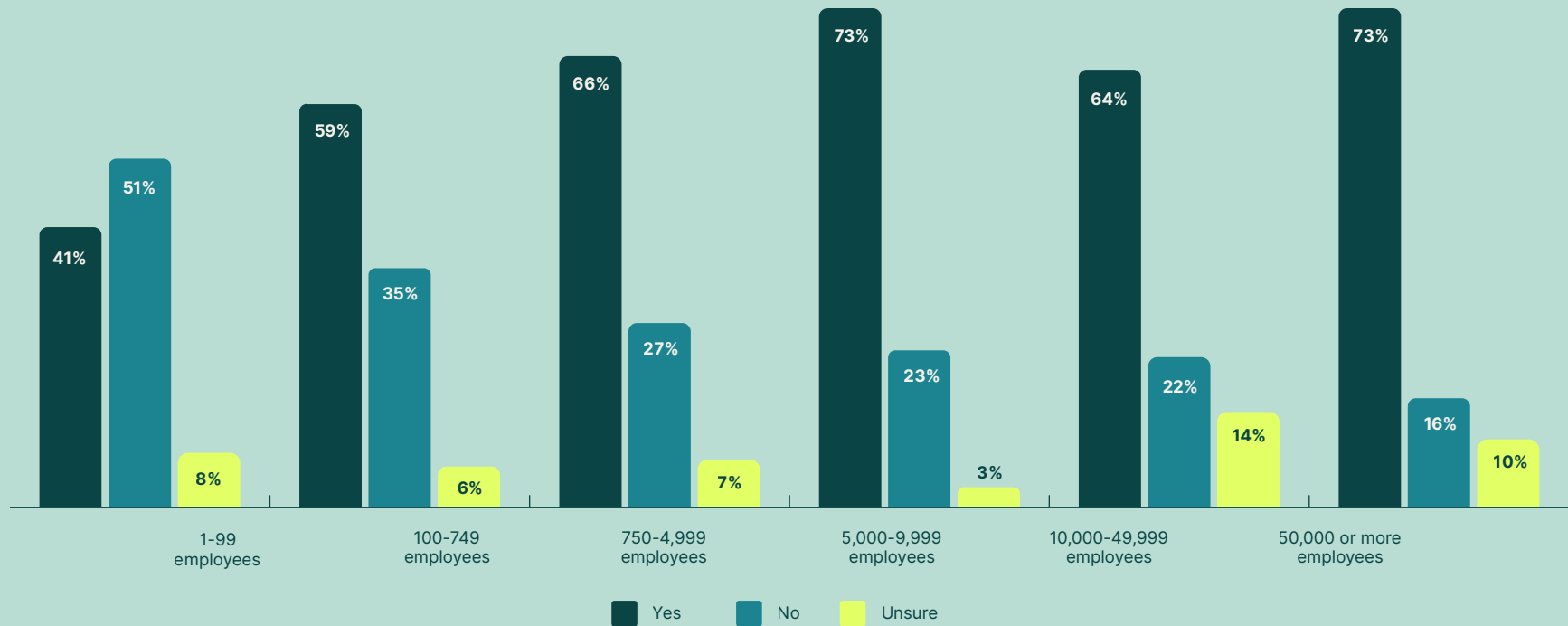
Year over year we ask employers if they train managers on how to have conversations with employees about their pay. For years, the percentage of organizations that said “yes” hovered at around 50%. However, in the last two years, we have seen manager training on pay communications be closer to 60%. For 2026, this increases more for Payscale customers (68%) and to 70% for organizations with high pay transparency, which suggests that pay transparency is driving improvement in pay communications.

**Does your organization train managers on how to have pay conversations with employees?**



We also see that pay communications training for managers is more common in larger organizations than small businesses, with 73% of organizations with 50,000 employees or more saying they train managers on how to have pay conversations with employees.

Does your organization train managers on how to have pay conversations with employees?



## Build trust in compensation decisions.

Learn about how Payscale can help you comply with legislation and communicate your differentiation transparently and effectively.

[Request a demo](#)

→ [Jump links](#)

[Variable pay](#)

[Benefits](#)

[Confidence in total rewards](#)

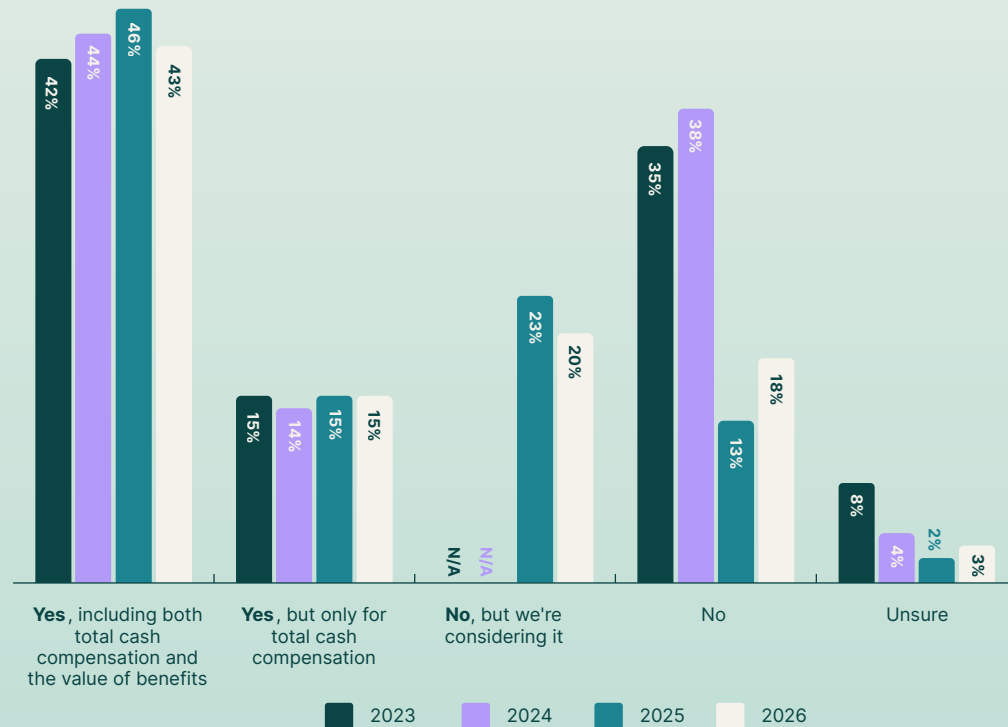
# Total rewards

Total rewards are the total compensation (base pay and variable pay), benefits, recognition, and growth opportunities an employee receives in exchange for their work.

According to our survey, only 43% of organizations provide a total rewards statement to employees, which outlines all of an employee's rewards (salary, variable pay, equity, benefits, retirement, perks, etc.) and may apply a monetary value to non-cash items. Another 15% of organizations offer a total cash compensation statement, which provides the employee with their base pay and variable pay and may include other information such as the pay range and market competitiveness of their position on the pay range (compa-ratio).

Payscale customers were more likely to provide total rewards statements (51%), which can be easily generated within compensation software. For organizations with a high level of pay transparency, this rises to 53%.

Does your organization provide a total rewards statement?

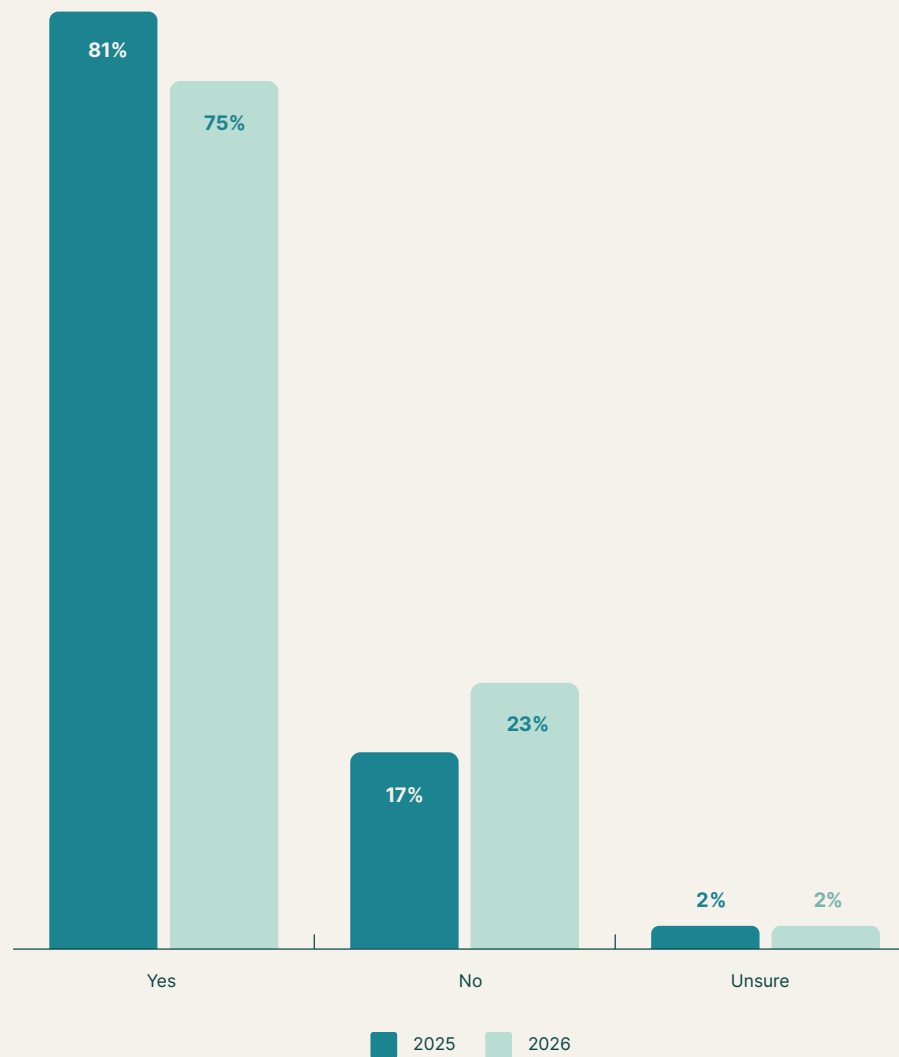


## Variable pay

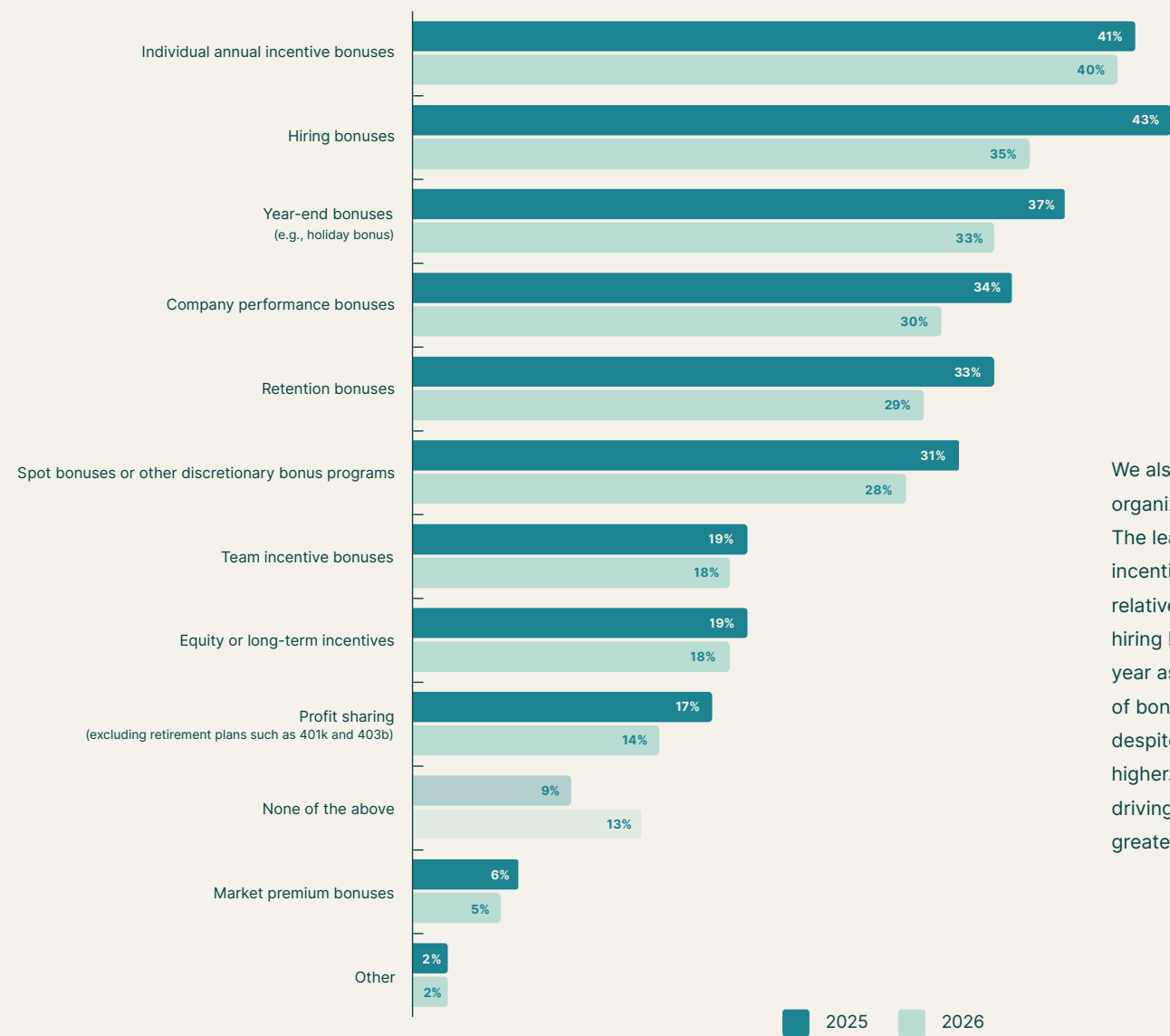
Variable pay is compensation that changes based on individual performance, business results, or specific goals, such as bonuses or commission. According to our survey, 75% of organizations offer variable pay in 2026, which is a reduction from previous years.



Does your organization offer variable pay? (e.g., bonuses, commissions, etc.)



What types of bonuses or incentives did your organization use to reward top performers in 2025? (Select all that apply)

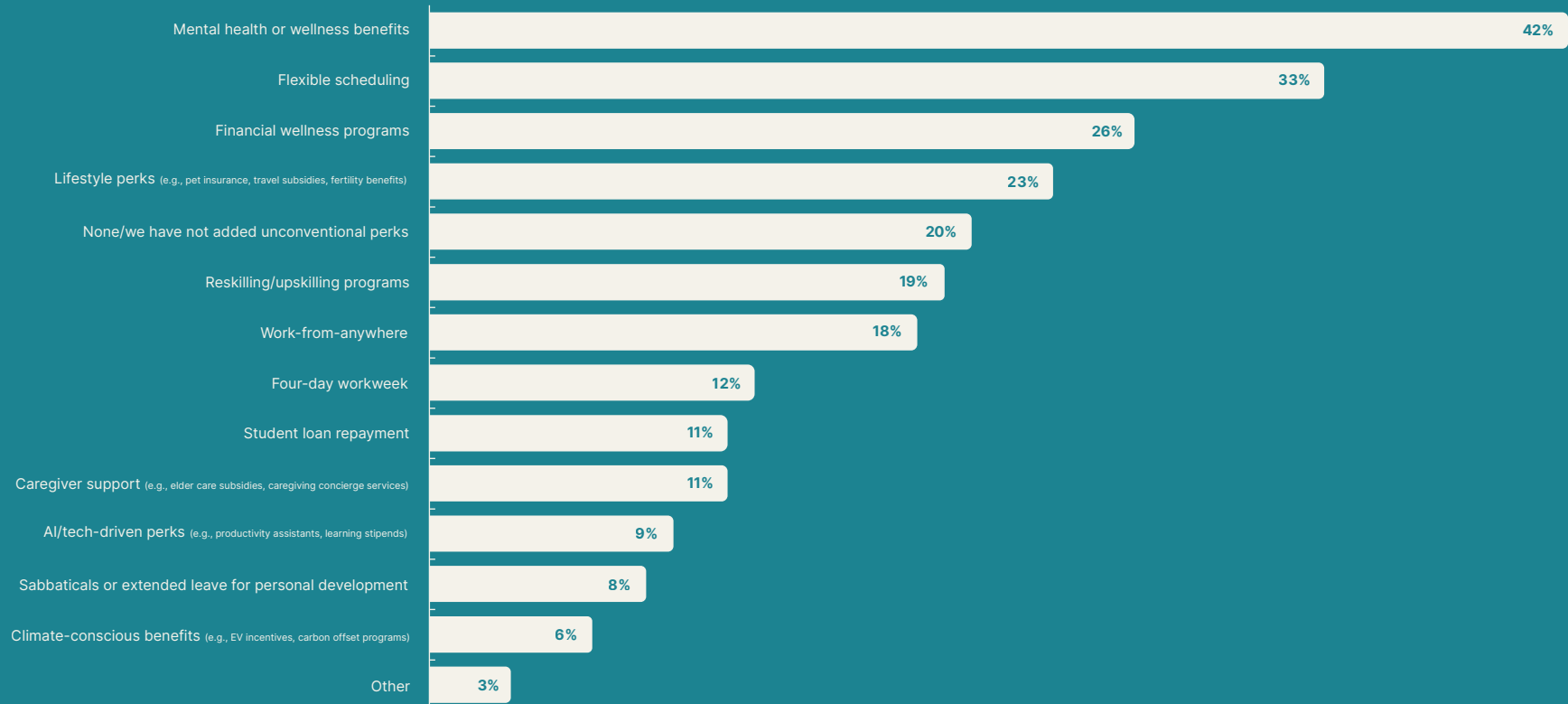


We also asked what types of bonuses or incentives organizations use to reward top performers. The leading bonus type is the individual annual incentive bonus at 40%. We usually also see a relatively high percentage of organizations offering hiring bonuses, but this is notably diminished this year as hiring slowed in 2025. In fact, all types of bonuses are reduced compared to last year despite business performance being slightly higher. This speaks to labor market dynamics driving compensation and variable pay to a greater degree than business performance.

## Benefits

This year, instead of asking about all benefits, we only asked about which benefits or perks are unconventional or newly implemented to create a competitive advantage in the talent market. Overall, we see that mental health or wellness benefits lead the list at 42%, followed by flexible scheduling at 33% and financial wellness programs at 26%. This speaks to HR recognizing the need to improve overall wellbeing as part of the employee experience.

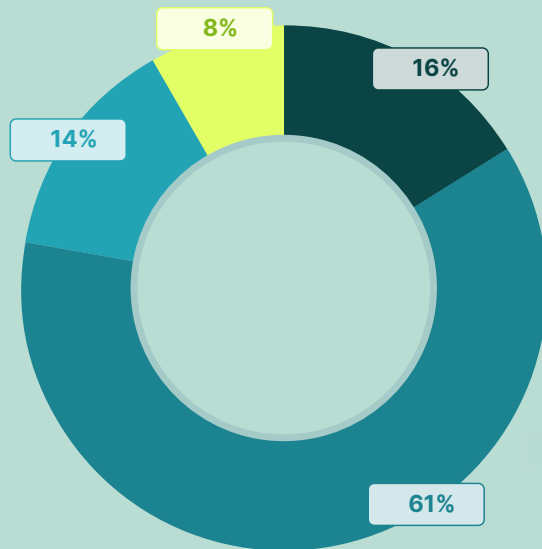
What unconventional benefits or perks have you added to stay competitive? (Select all that apply)



## Benefits investment

We also asked Payscale survey participants if they are planning to reduce investment in employee benefits in 2026. This could be due to business performance, economic conditions, or a change in talent strategy. Overall, most organizations are not making changes (61%). For those that are, it is fairly evenly split between reducing investment in benefits (16%) and expanding investment in benefits (14%).

Is your organization reducing investment in employee benefits?



- Yes - Investment in benefits will be reduced in 2026
- No - Investment in benefits is mostly the same
- No - Investment in benefits is expanding
- Unsure



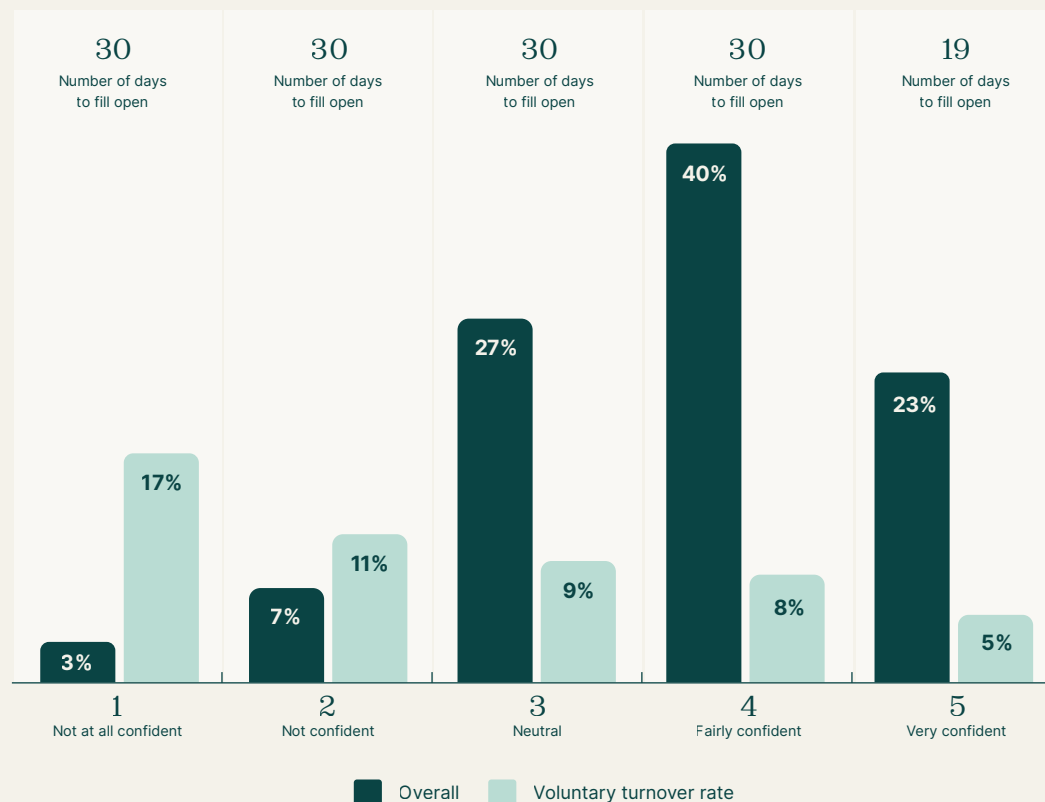
## Confidence in total rewards

We asked survey participants how confident they are in their total rewards packages being effective at attracting and retaining talent, with 64% saying they are fairly confident or very confident (before rounding), which is slightly lower than last year (65%).

Confidence corresponds with lower voluntary turnover rates. Being very confident in total rewards was more likely for organizations that are top performers (28%), have a dedicated compensation function (28%), where executives view compensation as a strategic lever for the organization (29%), and where participants believe their compensation policy contributes to positive outcomes (33%). Executive-level respondents were more likely to say that they are very confident in their total rewards strategy (40%).

We see a positive relationship between organizations who are very confident in total rewards and happy and engaged employees as reported by the organization (employee sentiment). We also see that more Payscale customers are either fairly confident or very confident (72%) compared to non-Payscale customers (54%).

On a scale of 1-5, how confident are you in your current total rewards packages being effective at attracting and retaining talent?



For an interactive chart on how confidence in pay increases, market pricing, and total rewards impacts employee sentiment, see the web page for the 2026 Compensation Best Practices Report on [payscale.com](https://payscale.com).



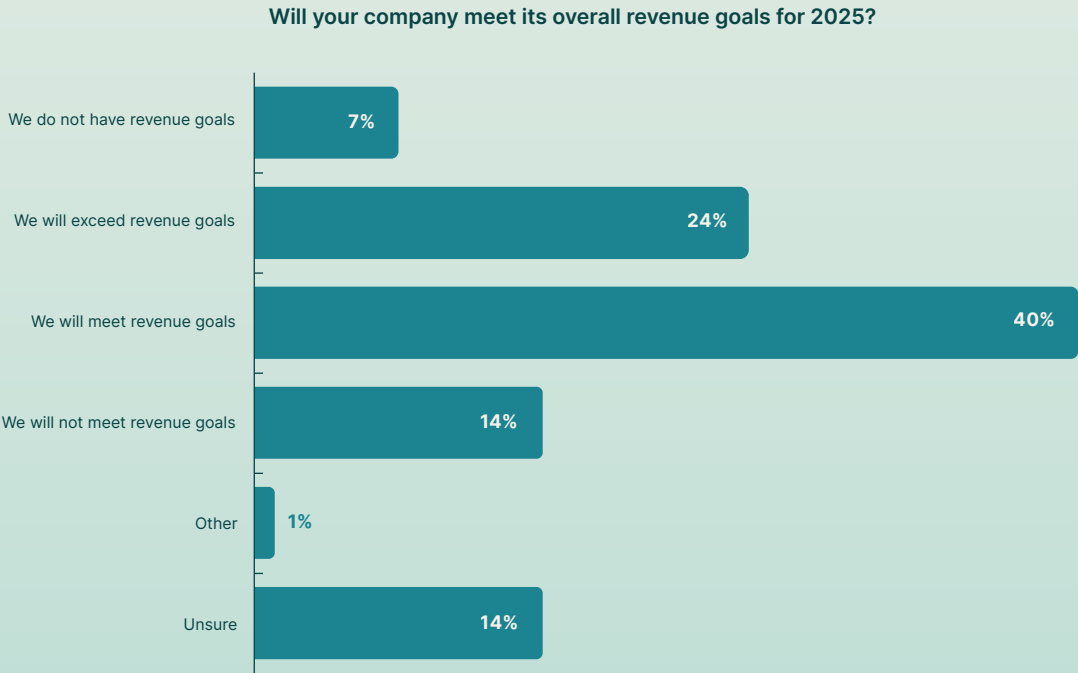
# Methodology

The 2026 Compensation Best Practices survey gathered 3,413 responses from October–December 2025 with a completion rate of 50%. A breakdown by company size, industry, and other firmographics are available in the methodology at the end of this report.

Sign up for next year's survey

## Performance

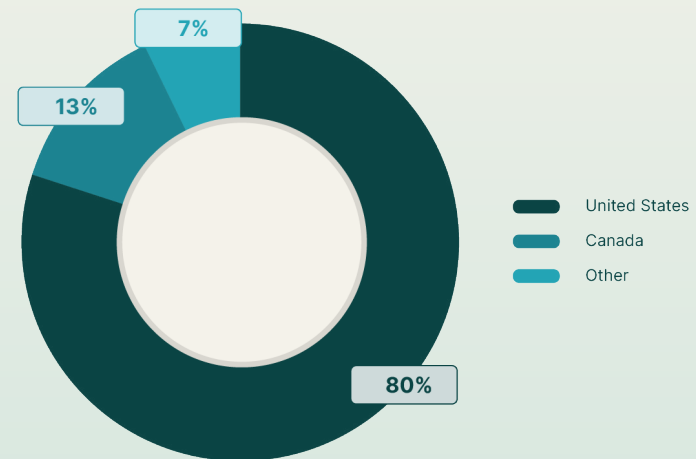
Top-performing organizations are defined as those that exceeded their revenue goals in 2025 based on a self-selected answer choice in the survey. In this year's study, 24% of respondents fit this criterion, which is 1% lower than last year (25%) but 3% greater than the year before (21%)



## Location

Respondents to this year's survey were predominantly in the United States (80%), with 13% in Canada and 7% from other countries, with no other country representing more than 1%.

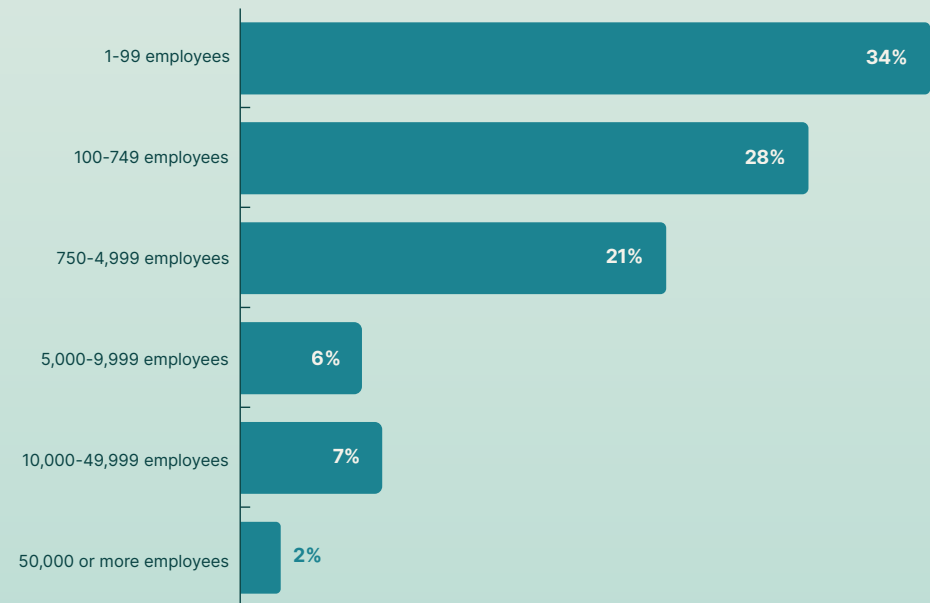
Where is your organization headquartered?



## Size

In our survey we asked for participants to provide a number for how many full-time employees there are in their organizations. We separated out six organizational sizes for comparison, with 34% of respondents representing those with fewer than 100 employees, 28% of respondents representing between 100 and 749 employees, 21% of respondents representing between 750 and 50,000 employees, and 2% with over 50,000 employees. The median org size in our study was 290.

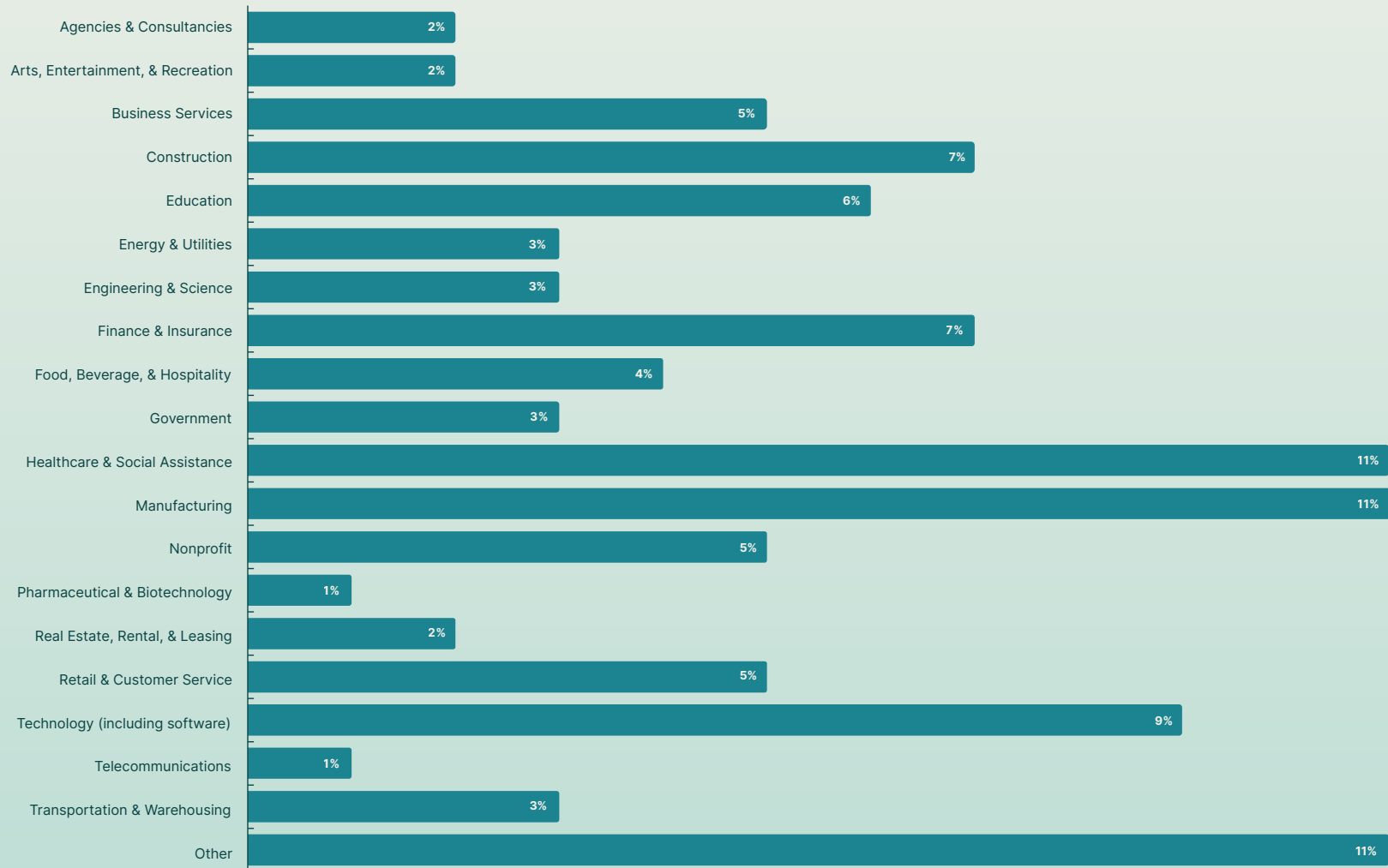
How many full-time employees are in your organization?



## Industry

The top industries represented in the survey are Healthcare & Social Assistance (11%), Manufacturing (11%), Technology (9%), Construction (7%), and Finance & Insurance (7%).

### What is your primary industry?



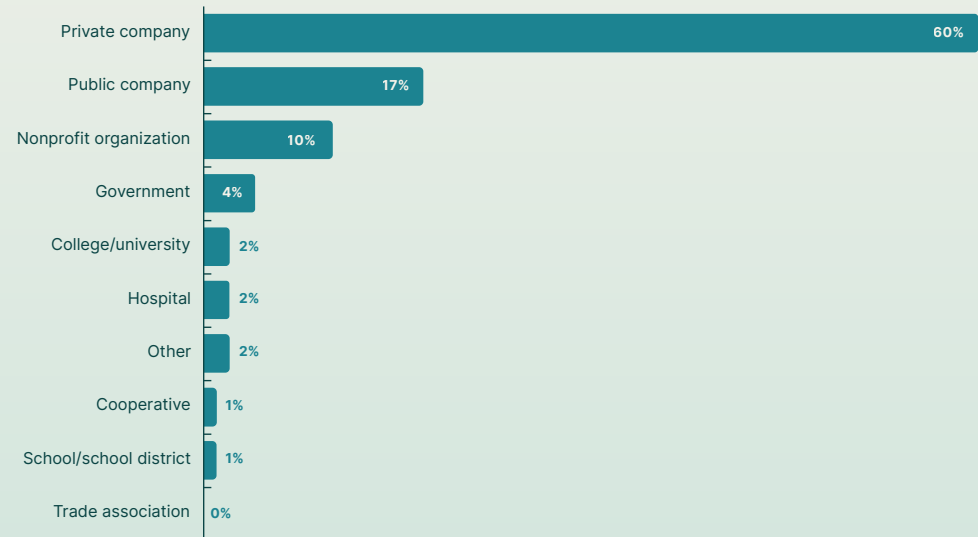
## Organization type

In terms of organization type, most respondents were either from a private company (60%), public company (17%), or nonprofit (10%), but we also have respondents from governments, schools, colleges/universities, hospitals, cooperatives, and trade associations.

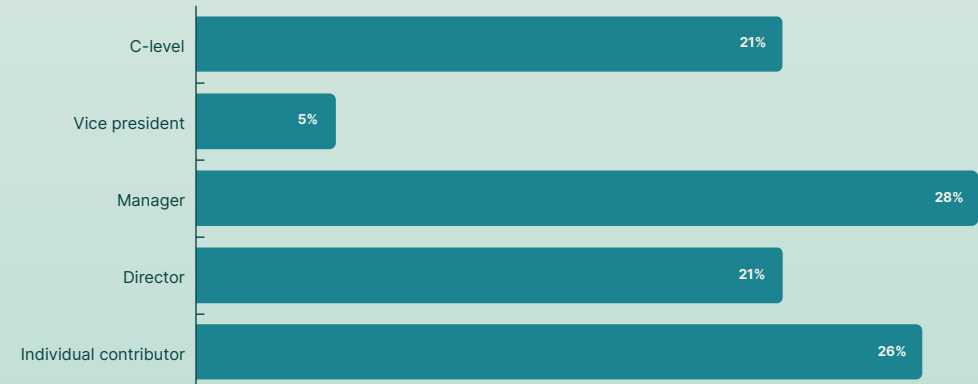
## Job level

Respondents were a mix of job levels. Managers or directors made up about half of respondents at 49% combined. C-level executives made up 21% of respondents and VPs 5%. Individual contributors made up 26% of respondents. Segmentation-based analysis for executive respondents refers only to C-level.

Which of the following best describes your organization?

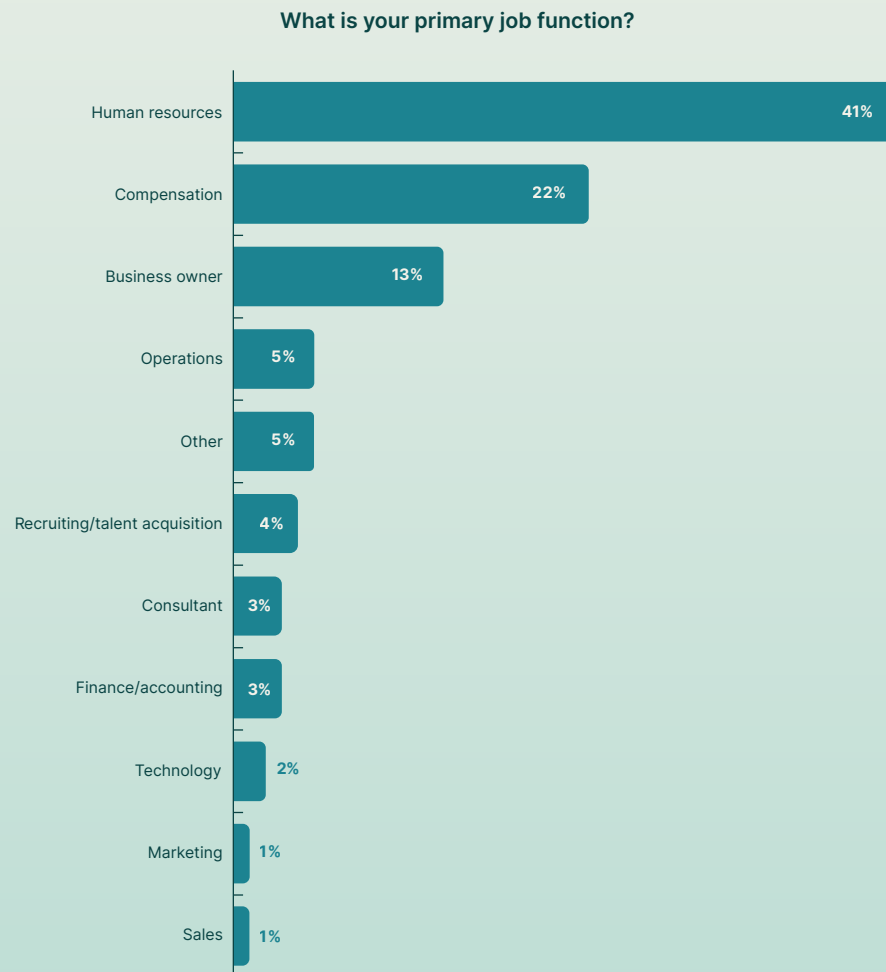


What is your job level?



## Job function

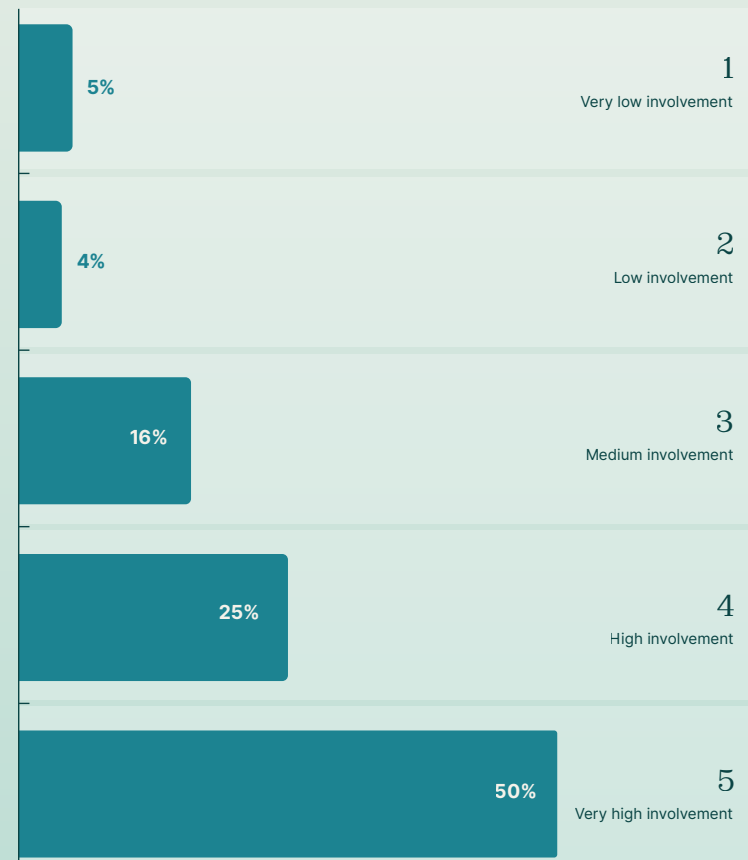
Respondents occupied a variety of job functions. While human resources and compensation dominate at 63% combined, we also saw responses from business owners (13%), operations (5%), and other functions.



## Involvement in compensation

Despite the variance in job function, the vast majority of Payscale survey participants (91%) report having at least medium-level involvement in compensation activities such as benchmarking, pay increase decisions, or compensation strategy.

Rate your level of involvement in compensation activities such as benchmarking, pay increase decisions, and compensation strategy on a scale of 1 (very low involvement) to 5 (very high involvement):



# Make compensation your strategic lever to accelerate business growth

Get access to trusted market data and technology-assisted expertise in benchmarking, compensation planning, and compensation intelligence to communicate “the why” behind pay decisions with confidence, monitor the health of your workforce, and invigorate your talent strategy.

**Request a demo**

**Participate in next year’s survey and receive the report when it is available.**

**Sign up here**

## About Payscale

Payscale is the original compensation innovator for organizations who want to scale their business with pay and transform their largest investment into their greatest advantage. With decades of innovation in sourcing reputable data and developing AI-powered tools, Payscale delivers actionable insights that turn pay from a cost to a catalyst. Its suite of solutions — Payfactors, Marketpay, and Paycycle — empower top companies in the U.S. and businesses like Cintas, ZoomInfo, Chipotle, Brookdale Senior Living, Ohio State University, American Airlines, and TJX Companies.

**Create confidence in your compensation. Payscale.**

To learn more, visit [www.payscale.com](https://www.payscale.com).

